A/80/5/Add.9

United Nations

United Nations Human Settlements Programme

Financial report and audited financial statements

for the year ended 31 December 2024

and

Report of the Board of Auditors

General Assembly
Official Records
Eighteenth Session
Supplement No. 5I

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Official Records
Eightieth Session
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Report of the Board of Auditors

United Nations • New York, 2025

Note

Symbols of United Nations documents are composed of letters combined with figures. Mention of such a symbol indicates a reference to a United Nations document.

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Letters of transmittal

Letter dated 31 March 2025 from the Executive Director of the United Nations Human Settlements Programme addressed to the Chair of the Board of Auditors

In accordance with regulation 6.2 and rule 106.1 of the Financial Regulations and Rules of the United Nations, I am transmitting the financial report and accounts of the United Nations Human Settlements Programme, and other related accounts, for the year ended 31 December 2024, which I approve on the basis of the attestations of the Chief Finance Officer, United Nations Office at Nairobi, and the Director, Management, Advisory and Compliance Service of the United Nations Human Settlements Programme.

Copies of these financial statements are made available to both the Advisory Committee on Administrative and Budgetary Questions and The Board of Auditors.

(*Signed*) Anacláudia **Rossbach**
Executive Director
United Nations Human Settlements Programme

Letter dated 23 July 2025 from the Chair of the Board of Auditors addressed to the President of the General Assembly

I have the honour to transmit to you the report of the Board of Auditors, together with the financial report and the audited financial statements of the United Nations Human Settlements Programme for the year ended 31 December 2024.

(*Signed*) Pierre **Moscovici**
First President of the French Cour des comptes
Chair of the Board of Auditors

Chapter I

Report of the Board of Auditors on the financial statements: audit opinion

Opinion

We have audited the financial statements of the United Nations Human Settlements Programme (UN-Habitat), which comprise the statement of financial position (statement I) as at 31 December 2024 and the statement of financial performance (statement II), the statement of changes in net assets (statement III), the statement of cash flows (statement IV) and the statement of comparison of budget and actual amounts (statement V) for the year then ended, as well as the notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of UN-Habitat as at 31 December 2024 and its financial performance and cash flows for the year then ended in accordance with the International Public Sector Accounting Standards (IPSAS).

Basis for opinion

We conducted our audit in accordance with the International Standards on Auditing and the International Standards of Supreme Audit Institutions. Our responsibilities under those standards are described in the section below entitled "Auditor's responsibilities for the audit of the financial statements". We are independent of UN-Habitat, in accordance with the ethical requirements relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with those requirements. We believe that the audit evidence that we have obtained is sufficient and appropriate to provide a basis for our opinion.

Information other than the financial statements and the auditor's report thereon

The Executive Director of UN-Habitat is responsible for the other information, which comprises the financial overview for the year ended 31 December 2024, contained in chapter IV below, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information, and we do not express any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, on the basis of the work that we have performed, we conclude that there is a material misstatement in the other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

The Executive Director of UN-Habitat is responsible for the preparation and fair presentation of the financial statements in accordance with IPSAS and for such internal control as management determines to be necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Executive Director is responsible for assessing the ability of UN-Habitat to continue as a going concern, disclosing, as applicable, matters related to the going concern and using the going concern basis of accounting unless management intends either to liquidate UN-Habitat or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the financial reporting process of UN-Habitat.

Auditors' responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance as to whether the financial statements as a whole are free from material misstatements, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with the International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with the International Standards on Auditing, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

(a) Identify and assess the risks of material misstatement in the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting one resulting from error, as fraud may involve collusion, forgery, intentional omission, misrepresentation or the overriding of internal control;

(b) Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control of UN-Habitat;

(c) Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management;

(d) Draw conclusions as to the appropriateness of management's use of the going-concern basis of accounting and, on the basis of the audit evidence obtained, whether a material uncertainty exists in relation to events or conditions that may cast significant doubt on the ability of UN-Habitat to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the

audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause UN-Habitat to cease to continue as a going concern;

(e) Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other legal and regulatory requirements

Furthermore, in our opinion, the transactions of UN-Habitat that have come to our notice or that we have tested as part of our audit have, in all significant respects, been in accordance with the Financial Regulations and Rules of the United Nations and legislative authority.

In accordance with article VII of the Financial Regulations and Rules of the United Nations, we have also issued a long-form report on our audit of UN-Habitat.

(*Signed*) Pierre **Moscovici**
First President of the French Cour des comptes
Chair of the Board of Auditors

(*Signed*) **Hou** Kai
Auditor General of the People's Republic of China
(Lead Auditor)

(*Signed*) Vital **do Rêgo Filho**
President of the Brazilian Federal Court of Accounts

23 July 2025

Chapter II
Long-form report of the Board of Auditors

Summary

The Board of Auditors audited the financial statements and reviewed the operations of the United Nations Human Settlements Programme (UN-Habitat) for the year ended 31 December 2024.

Audit opinion

In the Board's opinion, the financial statements present fairly, in all material respects, the financial position of UN-Habitat as at 31 December 2024 and its financial performance and cash flows for the year then ended, in accordance with the International Public Sector Accounting Standards (IPSAS).

Overall conclusion

The Board did not identify material deficiencies in accounts and records that might affect the fair presentation of the financial statements of UN-Habitat. However, the Board noted scope for improvement in a number of areas, specifically with regard to financial management, programme and project management, strategy management, property management and human resources management.

Key findings

Weakness in allocating and refunding interest income

The Board noted from the Umoja system that among the financially closed grants during the period from 2019 to 2024, 104 grant agreements required interest income refunds to donors, with an estimated total refundable amount of $2.16 million. However, 99 grants with approximately $2.06 million in interest income remained unallocated and unrefunded. In addition, for the 126 grants that reached financial closure in 2024, written donor confirmation was required to ascertain whether interest refunds were needed. Preliminary estimates indicate approximately $2.47 million in interest income relating to these grants. Written confirmation from donors regarding interest treatment were not properly documented in Umoja.

Need to improve oversight of the Sustainable Cities and Communities Foundation

To diversify funding, in 2021, UN-Habitat cooperated with a private company to establish the Sustainable Cities and Communities Foundation, which committed to contributing 2.5 percent of its annual yield to UN-Habitat. The Board noted that annual contributions from the Foundation were not provided to UN-Habitat as required; the annual financial statements and audit report were not submitted as required; the utilization of the remaining per annum yield was not clearly specified in the memorandum of understanding and the contribution agreement; and the Foundation had issued misleading information. Enhanced measures should be taken to safeguard the institutional interests of UN-Habitat and mitigate potential financial and reputational risks.

Weakness in evaluation management processes hindering the comprehensive utilization of evaluations

The Board reviewed the evaluation practices at UN-Habitat and observed the following weaknesses: insufficient planning; lack of coordination between the Evaluation Unit and the regional offices in the disclosure of evaluation reports and management responses; insufficient management responses, hindering follow-up; insufficient efforts to share knowledge and track evaluation performance; evaluations were not conducted as stated in the project documents in the Regional Office for Asia and the Pacific; and evaluation requirements for projects with budgets below $300,000 were not followed in the Regional Office for Asia and the Pacific. The relevant policy needed to be further clarified.

Unsatisfactory project performance and insufficient progress in monitoring and reporting

A total of 862 of the 1,417 indicators in the Umoja integrated planning, management and reporting module, for 234 projects, with estimated start dates between 2021 and 2023, were not on track. Of the 234 projects, the number of projects with over 50 per cent of indicators "not on track" was 127 (54.3 per cent). None of the 127 under-performing projects were provided with sufficient progress remarks or risk mitigation measures for identified risks, and supporting documents for validating status or progress had only been uploaded for 6 projects.

Main recommendations

With regard to the above findings, the Board recommends that UN-Habitat:

Weakness in allocating and refunding interest income

(a) **Conduct a review of interest allocation and refunds for closed grants to determine whether an internal procedure should be established to strengthen the handling of interest income, particularly in cases where donor agreements include provisions that differ from the trust fund's terms of reference;**

Need to improve oversight of the Sustainable Cities and Communities Foundation

(b) **Consult with the Sustainable Cities and Communities Foundation to ensure the timely submission of financial statements and audit reports as required in the contribution agreement;**

(c) **Engage with the Sustainable Cities and Communities Foundation to update its website where applicable, to ensure that publicity and reporting accurately reflect the actual situation;**

Weakness in evaluation management processes hindering the comprehensive utilization of evaluations

(d) **Strengthen compliance with the UN-Habitat evaluation policy and the administrative instruction on evaluation in the United Nations Secretariat (ST/AI/2021/3) and further enhance evaluation results use by refining online knowledge-sharing and establishing an evaluation repository or tracking platform or taking other measures;**

(e) **Ensure adequate capacity and conditions for the evaluation function to strengthen coordination between the Evaluation Unit and the regional offices;**

Unsatisfactory project performance and insufficient progress in monitoring and reporting

(f) **Take measures to enhance the accountability of project managers for ensuring compliance with the guidelines of the Programme Review Committee and the integrated planning, management and reporting solution and improve the ratio of on-track indicators.**

Follow-up to previous recommendations

As at 31 December 2024, of the 58 outstanding recommendations issued up to the year ended 31 December 2023, 22 recommendations (38 per cent) had been implemented, 33 (57 per cent) were under implementation, and 3 (5 per cent) had been overtaken by events.

Key facts	
$21.90 million	Original annual resources (regular budget and foundation non-earmarked budget)
$651.40 million	Total assets
$157.00 million	Total liabilities
$227.36 million	Total revenue
$154.20 million	Voluntary contributions revenue
$188.26 million	Total expenses

A. Mandate, scope and methodology

1. The United Nations Human Settlements Programme (UN-Habitat) is mandated by the General Assembly to promote socially and environmentally sustainable towns and cities. It is the focal point for all urbanization and human settlement matters within the United Nations system. The General Assembly, through its resolution 73/239, established a new governance structure for UN-Habitat, consisting of the universal UN-Habitat Assembly, the Executive Board and the Committee of Permanent Representatives.

2. The headquarters of UN-Habitat is in Nairobi, with four main regional offices covering Africa, the Arab States, Asia and the Pacific, and Latin America and the Caribbean. UN-Habitat also has liaison offices, country offices and project offices in 64 countries across the world. As at 31 December 2024, UN-Habitat employed 377 staff members.

3. The Board has audited the financial statements of UN-Habitat and has reviewed its operations for the financial period ended 31 December 2024 in accordance with General Assembly resolution 74 (I) of 1946. The audit was conducted in conformity with the Financial Regulations and Rules of the United Nations, as well as the International Standards on Auditing and the International Standards of Supreme Audit Institutions for the financial audit of public sector entities. The standards require that the Board comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

4. The audit was conducted primarily to enable the Board to form an opinion as to whether the financial statements present fairly the financial position of UN-Habitat as at 31 December 2024 and its financial performance and cash flows for the year then ended, in accordance with the International Public Sector Accounting Standards (IPSAS). That effort included an assessment as to whether the expenses recorded in the financial statements had been incurred for the purposes approved by the governing bodies and whether revenue and expenses had been classified and recorded in accordance with the Financial Regulations and Rules of the United Nations. The audit included a general review of financial systems and internal controls and a test examination of the accounting records and other supporting evidence to the extent that the Board considered necessary to form an opinion on the financial statements.

5. The Board also reviewed UN-Habitat operations under financial regulation 7.5 of the Financial Regulations and Rules of the United Nations, which requires the Board to make observations on the efficiency of the financial procedures, the accounting system, the internal controls and, in general, the administration and

management of operations. The report also includes a brief commentary on the status of implementation of the recommendations made in previous years.

6. The interim audit at UN-Habitat headquarters and the Regional Office for Asia and the Pacific was carried out in Nairobi and Fukuoka, Japan, respectively, from 22 October to 20 November 2024. The final audit was carried out at UN-Habitat headquarters in Nairobi from 1 April to 4 May 2025.

7. The Board's observations and conclusions were discussed with UN-Habitat management, whose views have been appropriately reflected in the report.

B. Findings and recommendations

1. Follow-up on previous recommendations

8. The Board followed up on the implementation status of its recommendations of previous years and acknowledged that progress had been made in implementing the outstanding recommendations. Of the 58 outstanding recommendations issued up to the year ended 31 December 2023, 22 recommendations (38 per cent) had been implemented, 33 (57 per cent) were under implementation, and three (5 per cent) had been overtaken by events. The relevant details are provided in the annex to the present report.

9. The Board carried out an analysis of the 33 recommendations under implementation and noted that 9 (27 per cent) related to project management, 8 (24 per cent) to implementing partner management, 5 (15 per cent) to property, plant and equipment management, 5 (15 per cent) to financial management, 4 (13 per cent) to human resources management, 1 (3 per cent) to information and communications technology, and 1 (3 per cent) to strategy management.

10. With regard to the ageing of the above-mentioned 33 outstanding recommendations, 7 (22 per cent) had been pending for more than three years, mainly because the revision of the relevant policies and related corrective actions were still in progress. Six recommendations (18 per cent) had been open for three years, 9 (27 per cent) for two years, and 11 (33 per cent) for one year.

2. Financial overview

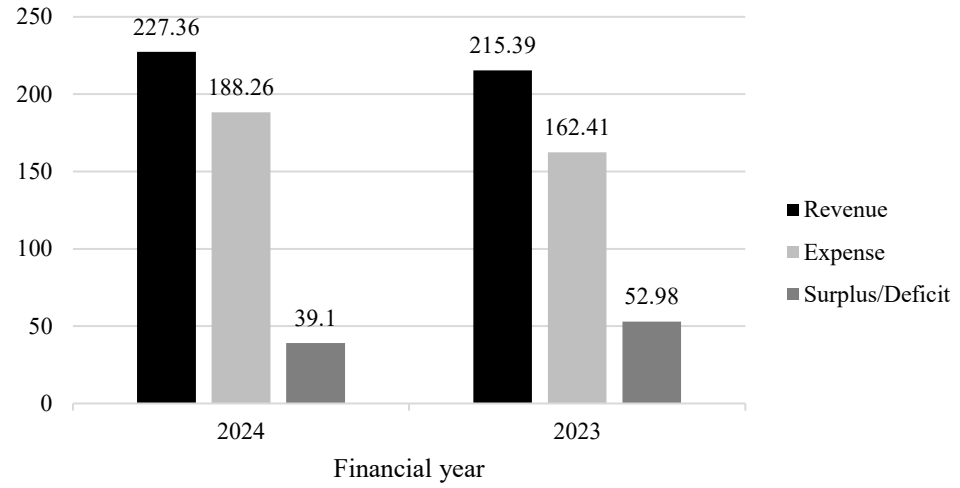
Revenue and expenses

11. UN-Habitat revenue includes assessed contributions (regular budget), voluntary contributions, investment revenue, other transfers and allocations, and other revenue. During the period under review, total revenue increased by $11.97 million (5.56 per cent), from $215.39 million in 2023 to $227.36 million in 2024. The increase was attributable mainly to an increase in voluntary contributions from $149.08 million in 2023 to $154.20 million in 2024.

12. With regard to expenses, total expenses increased by $25.85 million (15.92 per cent), from $162.41 million in 2023 to $188.26 million in 2024. The increase relates mainly to the implementation of projects. The major categories of expenses included other operating expenses of $53.65 million (2023: $45.73 million) and grants and other transfers amounting to $31.30 million (2023: $24.39 million).

13. UN-Habitat recorded a total surplus of $39.10 million in 2024, a decrease of $13.88 million compared with 2023 (2023: surplus of $52.98 million). A comparison of revenue and expenses for 2024 and 2023 is shown in figure II.I.

Figure II.I
Comparison of revenue and expenses
(Millions of United States dollars)



Source: UN-Habitat financial statements for 2023 and 2024.

Ratio analysis

14. Table II.1 contains key financial ratios analysed from the financial statements, mainly from the statements of financial position and financial performance for the financial years 2022, 2023 and 2024.

Table II.1
Ratio analysis

Ratio	*31 December 2024*	*31 December 2023*	*31 December 2022*
Cash ratio[a]			
Cash plus short-term investments: current liabilities	2.04	1.80	2.12
Quick ratio[b]			
Cash plus short-term investments plus accounts receivable: current liabilities	3.76	3.44	4.16
Current ratio[c]			
Current assets: current liabilities	4.20	3.77	4.40
Solvency ratio[d]			
Total assets: total liabilities	4.15	3.77	4.05

Source: UN-Habitat 2022, 2023 and 2024 financial statements.
[a] The cash ratio is an indicator of an entity's liquidity by measuring the amount of cash, cash equivalents or invested funds included in current assets to cover current liabilities.
[b] The quick ratio is more conservative than the current ratio because it excludes inventory and other current assets, which are more difficult to turn into cash. A higher ratio means a more liquid current position.
[c] A high ratio indicates an entity's ability to pay off its short-term liabilities.
[d] A high ratio is a good indicator of solvency.

15. The key financial indicators of UN-Habitat remain sound, as shown by the high ratios of current assets to current liabilities and total assets to total liabilities, which increased slightly compared with 2023.

16. Revenue for the non-earmarked fund increased by $1.48 million (31.16 per cent), from $4.75 million in 2023 to $6.23 million in 2024. The expenses for the non-earmarked fund increased by $0.71 million (23.43 per cent), from $3.03 million in 2023 to $3.74 million in 2024. This led to the non-earmarked fund realizing a surplus of $2.49 million in 2024, an increase of $0.77 million compared with 2023 (2023: surplus of $1.72 million). In addition, as at 31 December 2024, the non-earmarked fund had net assets of $9.15 million (2023: net assets position of $6.65 million).

3. Financial management

Weakness in allocating and refunding interest income

17. United Nations Office at Nairobi budget and financial management standard operating procedure 114, on the financial closure of projects and grants,[1] states that financial closure of a grant can only take place once all technical and financial transactions for the donor agreement are completed, a final financial report is issued to the donor, and any unspent balance is refunded to the donor or, if the donor approves, reprogrammed to another project or transferred to another grant.

18. The standard operating procedure states that certifying officers are responsible for ensuring that the donor's decision on how to utilize the unspent balance is received in writing and adhered to. If not reprogrammed or transferred, the unspent balance must be deposited to the donor's bank account upon confirmation of the donor's bank details in the relevant United Nations treasury form. The standard operating procedure also requires the refund or transfer to another project of any unexpended balances and/or interest income earned, as per the agreement with the donor.

19. Article 6.2 of the Guidelines for the Acceptance of Voluntary Contributions, issued by the Department of Management Strategy, Policy and Compliance in 2022, states that the contribution agreement shall also include provisions for the treatment of interest. Interest may only be refunded upon the closure of the project. With the consent of the donor, unspent balances and interest not exceeding $1,000 may be reprogrammed.

20. The Board noted from the Umoja system that among the financially closed grants of UN-Habitat during the period from 2019 to 2024, 104 grant agreements required interest income refunds to donors, with an estimated total refundable amount of $2.16 million.[2] However, 99 grants with approximately $2.06 million in interest income remained unallocated and unrefunded, of which 20 grants were financially closed in 2024, with an estimated interest income amounting to $0.49 million.

21. In addition, for 126 grants that were financially closed in 2024, written donor confirmation was required to ascertain whether interest refunds were needed. Preliminary estimates indicated that these grants had approximately $2.47 million in interest income. However, the Board found that written donor confirmations regarding interest treatment were not properly documented in Umoja.

22. UN-Habitat clarifies that the treatment and classification of interest income within the Umoja system cannot be solely relied upon. The fields are updated

[1] The United Nations Office at Nairobi provides financial management services to UN-Habitat.

[2] Owing to data limitations, the Board applied an estimated average interest rate of 1.57 per cent derived from a financially closed grant to approximate the related interest incomes. These estimates are for indicative purposes only and should not be used for actual refund calculations.

manually, which makes them susceptible to errors and not definitive indicators of whether interest refunds are needed. In addition, all grants are managed within trust funds, each of which has its own terms of reference. The terms of reference explicitly reference the reinvestment of interest earnings back into the trust fund and are overseen by the governing body of the fund.

23. While noting management's comments, the Board is of the view that the data within the system should be maintained with the highest possible level of accuracy. Furthermore, in cases where agreements explicitly require the return of interest income, communication and confirmation with donors could be further enhanced. Considering the materiality of interest income, improved classification, oversight, and compliance mechanisms could support effective use of available resources.

24. **The Board recommends that UN-Habitat conduct a review of interest allocation and refunds for closed grants to determine whether an internal procedure should be established to strengthen the handling of interest income, particularly in cases where donor agreements include provisions that differ from the trust fund's terms of reference.**

25. UN-Habitat accepted the recommendation.

Need to improve oversight of the Sustainable Cities and Communities Foundation

26. To address the objective of diversifying the UN-Habitat donor base, the Sustainable Cities and Communities Foundation (formerly the Sustainable Human Settlements Foundation), was established in 2021 in accordance with a letter of intent signed between UN-Habitat and a private company (the Foundation's guardian and founder). The stated purpose is to strengthen the core funding of UN-Habitat through contributions to the Foundation non-earmarked segment, which remains under the authority of the Executive Board.

27. On 30 November 2023, UN-Habitat entered into a contribution agreement with the Foundation with an initial validity period of 10 years. The agreement stipulated that the Foundation would place at the disposal of UN-Habitat annual contributions equivalent to 2.5 per cent of the per annum yield of the Foundation.

28. According to the Foundation, it is a registered not-for-profit foundation for charitable purposes, with UN-Habitat specifically being its sole purpose, meaning that the Foundation is not legally able to benefit any entity other than UN-Habitat. The initial intent is to raise $1 billion by 2028, to be invested in an investment portfolio. Under the Foundation, donations will be pooled to create an endowment-type fund, which is to be invested to generate consistent annuity returns for the benefit of UN-Habitat (and only UN-Habitat). The target market for donors sought is the States Members of the United Nations, multinational corporations, other foundations, philanthropic organizations, family offices and ultra-high-net-worth individuals. The Foundation is managed by a council composed of representatives of the founder and a firm that acts as a trustee.

29. After reviewing the Foundation's 2024 annual report, the memorandum of understanding and the contribution agreement between UN-Habitat and the Foundation, and the Foundation's official website, the Board made the following observations:

(a) Annual contributions were not provided to UN-Habitat as required

30. The contribution agreement states that the Foundation shall place at the disposal of UN-Habitat annual contributions equivalent to 2.5 per cent of the per annum yield of the Foundation. However, according to the Foundation's annual report, the

Foundation has not been able to actively raise funds to support the contribution agreement and UN-Habitat in 2024. UN-Habitat did not receive the annual contribution for 2024 as planned.

(b) Annual financial statements and other reports were not submitted as required

31. The contribution agreement stipulates that throughout the term of that agreement, including any extensions thereof, the Foundation shall submit to UN-Habitat annual financial statements, audited by a globally recognized audit firm, with the first audit report to cover the period from its establishment. In addition, the Foundation states on its official website that it will engage one of the so-called big four accounting and audit firms to prepare monthly accounts and six-monthly financial accounts reports to the Foundation, donor investors, the Executive Board of UN-Habitat and others, and that an annual certified audit will also be undertaken, with similar distribution.

32. However, the Board noted that UN-Habitat had not received any audited financial statements, monthly accounts or six-monthly financial accounts reports since the signing of the contribution agreement in 2023. UN-Habitat could not verify the Foundation's actual financial standing, leaving unresolved the question of whether no funds whatsoever were raised or whether limited funds were raised but the contribution equivalent to 2.5 per cent of the annual yield was not provided as required. Furthermore, the annual environmental and sustainability report of the Foundation was also not provided.

(c) The utilization of the remaining per annum yield has not been clearly specified in the memorandum of understanding and the contribution agreement

33. The Foundation states that it will invest donated funds with suitably qualified third-party investment managers, who will have mandates to make investments focused on capital preservation and stability of income. The annual target rate of return to be achieved from the portfolio is at least 6 per cent of the invested funds held. However, beyond the stipulated 2.5 per cent annual yield allocated to UN-Habitat, the provisions regulating the distribution of the remaining annual yield are ambiguous, and the rationale for establishing the 6 per cent return rate benchmark is unspecified.

(d) Misleading information issued by the Foundation

34. The Foundation states on its website that there is a weekly "Heartbeat" call between the Foundation and UN-Habitat to ensure alignment and progress in collaborating and working together towards the implementation of the United Nations system-wide strategy on sustainable urban development. However, UN-Habitat has confirmed that no such standing meeting arrangement was ever instituted. In addition, according to the Foundation, it is a registered not-for-profit foundation for charitable purposes, with UN-Habitat specifically being its sole purpose, meaning that the Foundation is not legally able to benefit any entity other than UN-Habitat. The Board observed that the Foundation has entered into a memorandum of understanding with a university to fund master's degree programmes, an arrangement that is inconsistent with its mandate to exclusively benefit UN-Habitat.

35. UN-Habitat replied that it had implemented measures to monitor and manage its risk exposure effectively, ensuring it remains within acceptable limits. These measures include regular reviews by senior management and by the Risk Oversight and Advisory Committee, ongoing reporting and strategic discussions with the Executive Board (the governing body of UN-Habitat), and enhanced oversight practices. In addition, the Executive Director recently informed the Executive Board

that an independent due diligence assessment of the Foundation will be conducted in coordination with United Nations Headquarters.

36. While acknowledging the efforts of UN-Habitat to mitigate potential risks relating to the Foundation, the Board is of the view that this innovative financing mechanism, developed through a decade-long partnership with the private sector, requires more prudent implementation with enhanced continuous oversight.

37. The Board is concerned that failure to submit financial statements and audit reports in a timely manner could result in UN-Habitat remaining unaware if the Foundation has raised even a minimal portion of the funds, thereby exposing the organization to potential financial risks. In addition, the Foundation's publication of misleading information on its website, such as references to non-existent weekly calls and its "sole purpose" slogan, misrepresent the actual situation. This could affect donors' willingness to contribute, while also exposing UN-Habitat to potential reputational risks.

38. **The Board recommends that UN-Habitat consult with the Sustainable Cities and Communities Foundation to ensure the timely submission of financial statements and audit reports as required in the contribution agreement.**

39. **The Board recommends that UN-Habitat engage with the Sustainable Cities and Communities Foundation to update its website where applicable, to ensure that publicity and reporting accurately reflect the actual situation.**

40. UN-Habitat accepted the recommendations.

Large balances of accounts receivable to be collected, especially from closing grants

41. Paragraph 83 of the instructions for year-end accounts closure and preparation of IPSAS financial statements for the year ending 31 December 2024, issued by the United Nations Office at Nairobi, states that assessed and voluntary contributions receivable should be carefully reviewed individually for collectability, and any indications that balances will not be collected (e.g. a project has been fully implemented and balance of funds are no longer needed) must be examined and necessary adjustments compiled and cleared by the respective management offices.

42. The Board reviewed the accounts receivable relating to voluntary contributions from the financial years 2022 to 2024. Over the three years, the average gross year-end balance of voluntary contributions receivable was $254.43 million, representing 45 per cent of the average total assets. As at 31 December 2024, the amount of accounts receivable from voluntary contributions was $270.57 million. The allowance for expected credit loss was $4.06 million, with an average loss rate of 1.50 per cent.

43. The Board reviewed the breakdown of accounts receivable and grant life cycle status, identifying 35 closing grants with outstanding receivables. The gross accounts receivable from these grants totalled $7.73 million, with expected credit loss allowances of $1.39 million, reflecting an 18 per cent average loss rate. Within this balance, $4.95 million (64 per cent of the total) were aged over three years; the expected credit loss allowance for these long-outstanding receivables reached $1.37 million, reflecting a loss rate of 28 per cent.

44. The Board is concerned that large amounts of accounts receivable from voluntary contributions may adversely affect the financial stability and liquidity of UN-Habitat. Specifically, receivables from closing grants (i.e. operationally closed grants) present higher collectability risks compared with those in the award phase. Furthermore, the financial closure process risks being delayed due to both aged receivables and extensions to predetermined timelines.

45. **The Board recommends that UN-Habitat closely monitor outstanding receivables from voluntary contributions and make efforts to reduce the portion of long-outstanding receivables.**

46. UN-Habitat accepted the recommendation.

Outstanding long-term advance transfers to implementing partners remain uncleared

47. The UN-Habitat policy for implementing partners, introduced in January 2017, states that payments to implementing partners should be disbursed in instalments, within a reasonable period from the submission of satisfactory substantive and financial reports, and upon verification and confirmation by the responsible project managers, and that no instalment payment should be released prior to a satisfactory review and sign-off by the responsible project manager of the substantive and financial reports submitted by the implementing partner.

48. The Board noted that advance transfers to implementing partners totalled $41.14 million at the end of 2024, representing a 13.43 per cent increase from the previous year. An aging analysis of these transfers revealed the following: (a) advances outstanding for fewer than two years amounted to $40.53 million (98.48 per cent of the total) and involved 151 implementing partners; (b) advances outstanding for three to four years amounted to $0.17 million (0.42 per cent) and involved 5 implementing partners; and (c) advances outstanding for five years or more totalled $0.45 million (1.10 per cent) and involved 10 implementing partners.

49. The Board further noted that 15 implementing partners had maintained outstanding advance transfer balances for three years or more since their previous payment, totalling $0.62 million, of which 10 partners had maintained outstanding balances for five years or more, amounting to $0.45 million. The corresponding agreements for these implementing partners had expired but the advance transfers remained uncleared.

50. The Board is concerned that the uncleared long-outstanding payment advances might affect the ability of UN-Habitat to supervise the accountability of implementing partners in the utilization of advance transfers.

51. **The Board recommends that UN-Habitat promptly clear the long-term advance transfers to implementing partners.**

52. UN-Habitat accepted the recommendation.

Need for enhanced management of long-outstanding commitments

53. Paragraph 140 of the instructions for year-end accounts closure and preparation of IPSAS financial statements for the year ending 31 December 2024 states that all outstanding purchase orders, fund commitments and pre-commitments, and certified and approved travel requests should be reviewed by the responsible certifying officers for validity and accuracy. Any commitments or balances on commitments no longer required should be closed promptly to allow for proper budget usage and monitoring. Unspent commitments relating to closing grants should be finalized to facilitate the closure of the grants and the issuance of the final donor reports.

54. The Board noted that as at 31 December 2024, the total outstanding commitments of UN-Habitat amounted to $94.48 million. Of this amount, the long-outstanding commitments established from 2014 to 2022 amounted to $12.49 million, representing 13 per cent of the total commitments. Furthermore, the total outstanding commitments relating to closing grants amounted to $14.31 million.

55. UN-Habitat said that it acknowledged the importance of reviewing commitments at year end and was working on such a procedure to comply with the instructions for year-end accounts closure.

56. The Board is of the view that long-outstanding commitments may impede effective grant execution and project implementation, potentially compromising both organizational objectives and financial integrity.

57. The Board recommends that UN-Habitat strengthen the monitoring of outstanding commitments and enhance the review of open commitments both during the year and as part of the year-end closing processes.

58. UN-Habitat accepted the recommendation.

4. Programme and project management

Weakness in evaluation management processes hindering the comprehensive utilization of evaluations

59. The administrative instruction on evaluation in the United Nations Secretariat (ST/AI/2021/3) states that management in all entities is required to prepare a response to each evaluation and that management responses to recommendations shall be discussed with programme managers and include specific, time-bound actions. Management responses shall be made public, except for circumstances in which such response would divulge confidential information. In addition, heads of entities shall ensure that recommendations, findings and lessons learned are considered in planning and in the preparation of budgets for future cycles and are integrated into policies and programmes.

60. The UN-Habitat evaluation manual, issued in 2018, states that end-of-project evaluations must be conducted for all projects valued at $1 million and above. In addition, a self-evaluation report is required for all closing projects.

61. Paragraph 86 of the UN-Habitat evaluation policy, issued in March 2024, states that the Evaluation Unit should periodically review the evaluation portfolio of both centralized and decentralized evaluations to identify, organize and share lessons learned, good practices and innovations from a range of evaluation products.

62. The Board reviewed the evaluation practices at UN-Habitat and observed the following weaknesses:

(a) Insufficient planning

63. According to the data in the Umoja integrated planning, management and reporting solution, 23 projects (each exceeding $1 million in value) were completed in 2022 and 2023. The Board checked these projects against the centralized evaluation plans for 2022, 2023 and 2024 prepared by the Evaluation Unit and found that 18 were not scheduled for evaluation in any of those years. Further analysis revealed that, out of 47 centralized evaluations, 14 had been postponed and 6 removed from subsequent evaluation plans without being conducted.

64. In addition, in 2024, 34 projects (each exceeding $300,000 in value) were completed, yet only 30 were included in the annual evaluation plan. Of these, only 19 evaluation reports were finalized as of April 2025, representing 55.8 per cent of completed projects requiring assessment.

(b) Lack of coordination between the Evaluation Unit and regional offices in the disclosure of evaluation reports and management responses

65. The Board was provided with 24 centralized evaluation reports conducted from 2022 to 2024, and was informed that decentralized evaluation reports should be requested from the regional offices and that the Evaluation Unit only had part of the final reports. The Board observed that, although the Unit was mandated to review the decentralized evaluation portfolio to enhance quality, no periodic reviews were conducted in the period 2022–2024 due to resource constraints and inadequate coordination.

66. The Board further noted that none of the management responses had been published, despite the requirement for public disclosure of both evaluation reports and their corresponding management responses. In addition, the UN-Habitat evaluation policy lacked clear guidelines on the coordination mechanism between the Evaluation Unit and regional offices for the collection and disclosure of all decentralized evaluation reports and management responses.

(c) Insufficient management responses hindering follow-up

67. The Board reviewed the Evaluation Unit's table for tracking management responses and follow-up of recommendations on centralized projects, and identified incomplete tracking of some report recommendations. After cross-referencing with UN-Habitat evaluation reports and management responses, the Board updated the table to include 56 reports containing 658 recommendations.

68. The Board noted that of those 658 recommendations, 330 came from 31 post-2021 reports. Management responded to only 155 recommendations (18 reports), yielding non-response rates of 53 per cent (recommendations) and 42 per cent (reports). This lack of response and follow-up undermined evaluation effectiveness.

69. For the 113 recommendations received during the period 2022–2024, 76 were accepted or partially accepted, 4 were rejected and 33 lacked responses. Notably, 38 accepted recommendations had no proposed actions and 35 lacked assigned responsible units.

(d) Insufficient efforts to share knowledge and track evaluation performance

70. The Board observed that the evaluation processes of UN-Habitat were supported by effective electronic platforms, including the UN-Habitat intranet, Habnet, for knowledge-sharing, the Project Accrual and Accountability System for tracking the implementation of evaluation recommendations, and the Integrated Monitoring and Documentation Information System for monitoring evaluation performance against the UN-Habitat evaluation framework.

71. Following the retirement of the Project Accrual and Accountability System and the Integrated Monitoring and Documentation Information System, the implementation of evaluation recommendations was tracked offline manually with insufficient transparency, while the tracking of key evaluation performance targets had not been done since 2022. No evaluation reports, management responses or terms of reference had been uploaded to Habnet since 2018. In addition, analysis of data from the Umoja integrated planning, management and reporting module revealed that 219 of 566 approved projects did not document lessons learned as required.

72. Management replied that resource constraints prevented the establishment of an evaluation tracking and knowledge-sharing portal, leaving the corporate website as the sole platform for evaluation dissemination.

73. The Board is of the view that existing information technology infrastructure (e.g. SharePoint, used for project review, donor management and data monitoring) could partially fulfil the requirements for evaluation tracking, knowledge-sharing and monitoring key performance indicators, but remains underutilized by the Evaluation Unit.

74. **The Board recommends that UN-Habitat strengthen compliance with the UN-Habitat evaluation policy and the administrative instruction on evaluation in the United Nations Secretariat (ST/AI/2021/3) and further enhance evaluation results use by refining online knowledge-sharing and establishing an evaluation repository or tracking platform or taking other measures.**

75. **The Board also recommends that UN-Habitat ensure adequate capacity and conditions for the evaluation function to strengthen coordination between the Evaluation Unit and the regional offices.**

76. UN-Habitat accepted the recommendations.

Decentralized evaluation rules were not followed strictly by the Regional Office for Asia and the Pacific

77. Regulation 7.2 and rule 107.2 of the Secretary-General's bulletin on the Regulations and Rules Governing Programme Planning, the Programme Aspects of the Budget, the Monitoring of Implementation and the Methods of Evaluation (ST/SGB/2018/3) state that all activities programmed must be evaluated on a regular, periodic basis and that at the programme or subprogramme level, evaluation plans must be linked to the strategic framework.

(a) Inaccurate information regarding self-evaluations in project documents

78. The Board sampled 12 projects completed by the Regional Office for Asia and the Pacific from 2020 to 2024 and noted that two projects (valued at $300,000 and $491,688, respectively) had not been evaluated, although the project documents stated that a self-evaluation would be conducted by the country office in Afghanistan to assess the effectiveness of the two projects. However, the country office did not conduct the evaluations as required.

79. The country office explained that the United Nations Development Programme (UNDP) and the Office of the United Nations High Commissioner for Refugees, who were donors and leading agencies in the two joint projects, would in fact conduct the evaluations, instead of UN-Habitat.

80. The Board is of the view that a project document contains all the details needed to ensure the full implementation of the programme or project. Therefore, the undertakers of project evaluation, among other details, must be accurately reflected in the project document for clearance from the Programme Review Committee.

(b) Evaluation requirements for projects with budgets below $300,000 were not followed in the Regional Office for Asia and the Pacific and policy needs to be further clarified

81. The UN-Habitat evaluation manual states that for all projects, a self-evaluation report is required for all closing projects. The Board noted that the Regional Office for Asia and the Pacific did not strictly follow the evaluation rules for projects with a total budget below $300,000, as the self-evaluations were not conducted as required.

82. The Regional Office explained that all individual projects need to carry the applicable evaluation costs as direct costs. The Regional Office did not conduct evaluations for projects with a total budget below $300,000 because such projects were not required to have budget provision for evaluation, as stated in the UN-Habitat

evaluation policy, and donors would rather not provide budget allotment for evaluation, unless agreed otherwise. It was not feasible for projects to be evaluated without a proper budget being allocated.

83. The Board has identified a gap in communication between the Evaluation Unit and the Regional Office as to whether it is permissible to make no budget provision for evaluation if self-evaluation is required and how to ensure that self-evaluations are conducted even if there is no budget allocation. Detailed instructions should be provided on how to conduct self-evaluations without budget provisions.

84. **The Board recommends that UN-Habitat further clarify the evaluation requirements for projects under $300,000 and for projects where UN-Habitat is not the lead agency, to reach a consistent understanding of the UN-Habitat evaluation policy across the organization.**

85. UN-Habitat accepted the recommendation.

Unsatisfactory project performance and insufficient progress in monitoring and reporting

86. In the 2030 Agenda for Sustainable Development, it is stated that each country faces specific challenges in its pursuit of sustainable development, and that the most vulnerable countries and, in particular, African countries, least developed countries, landlocked developing countries and small island developing States, deserve special attention.

87. According to the UN-Habitat strategic plan 2020–2023, achieving the plan will require tailored and focused efforts at the country level, while bearing in mind paragraph 19 of the New Urban Agenda, which recognizes the unique and emerging urban development challenges facing all countries, in particular developing countries, including African countries, least developed countries, landlocked developing countries and small island developing States.

(a) Unsatisfactory performance according to indicators from the integrated planning, management and reporting module

88. Using the data analyser in the integrated planning, management and reporting module, the Board exported 1,417 output indicators for 234 projects in approved and operationally closed status as at 20 November 2024 and noted that 862 indicators (60.83 per cent) were “not on track” (lagging behind schedule), 25 had been terminated and 530 (37.4 per cent) were “on track” (progressing as planned). The Board further noted that, of the 234 projects, the number of projects with over 50 per cent of indicators “not on track” was 127 (54.3 per cent), indicating that more than half of the projects might encounter difficulties in project implementation.

89. Management explained that the Programme Review Committee monitored the implementation of programmes and portfolios quarterly using date from the integrated planning, management and reporting module, which meant that necessary monitoring had been put in place to improve project implementation. Nevertheless, the Board noted that as indicated in the “traffic light” monitoring report produced by the Committee, the percentage of “not on track” indicators during the period of July 2023 to October 2024 remained at 66 per cent, rather than decreasing, indicating that the effectiveness of monitoring to promote project implementation appeared to be minimal.

(b) Insufficient project progress monitoring and reporting

90. The Board reviewed the above-mentioned 127 projects using the integrated planning, management and reporting module and extracted the project progress report for each project. Besides the project summary and reporting against indicators, there were four sections that were supposed to be completed during the reporting period: progress against planned budget; risk monitoring; reporting on cross-cutting issues; and challenges and lessons learned.

91. Furthermore, it is clearly stated in the UN-Habitat integrated planning, management and reporting policy guide that the module needs to be updated and all relevant documents validating the status and progress uploaded. In addition to monitoring progress towards the identified results (logical framework), project managers should also monitor the risks identified in the logical framework in the integrated planning, management and reporting module.

92. The Board noted that of the 127 projects, none of them had sufficient progress remarks or risk mitigation measures for identified risks. Supporting documents for validating status or progress in the integrated planning, management and reporting module had only been uploaded for six projects.

93. The Board is of the view that the integrated planning, management and reporting solution is the main project monitoring module used by UN-Habitat, and in particular the Programme Review Committee, to regularly summarize the progress of project indicators and support decision-making. Together with the integrated planning, management and reporting policy guide, accompanying training, workshops, lessons learned mechanism and key performance indicators are also important to enforce management actions on non-compliant and delayed projects and to implement corrective measures.

94. **The Board recommends that UN-Habitat take measures to enhance the accountability of project managers for ensuring compliance with the guidelines of the Programme Review Committee and the integrated planning, management and reporting solution and to improve the ratio of on-track indicators.**

95. UN-Habitat accepted the recommendation.

5. Strategy management

Insufficient centralized monitoring of UN-Habitat contributions to the Sustainable Development Goals

96. In the political declaration of the high-level political forum on sustainable development convened under the auspices of the General Assembly, Heads of State and Government committed to using the review of the high-level political forum at the seventy-eighth session of the Assembly to further strengthen the follow-up and review of the implementation of the 2030 Agenda, harnessing data to track progress in implementing the Sustainable Development Goals and targets and strengthening analysis of the interlinkages across the Goals and targets, including policy implications of their synergies and trade-offs.

97. On the website of the Global Urban Indicators Database, it is noted that, in recognition of the central role of cities in the shared vision of the 2030 Agenda, a standalone goal on cities and human settlements (Goal 11) was adopted by Member States, with specific targets related to the most critical urban and development issues. UN-Habitat was mandated by the General Assembly to promote socially and environmentally sustainable towns and cities and continues to play this role as the focal point for all urbanization and human settlement matters within the United Nations system.

(a) Project tagging was incomplete at the Sustainable Development Goal target level

98. The guidelines for programme and project review and approval state that the Programme Review Committee cover page (referred to as annex B) must be completed and submitted together with the project documents. On the cover page, each outcome against the Sustainable Development Goals must be tagged at the target level.

99. The Board extracted from the Umoja data analyser a list of 263 projects with start dates between 2022 and 2024. The total consumable budget was $627.06 million. Of these, 246 projects were in approved status and 17 were in operationally closed status. The Board noted that 20 projects were not tagged with Sustainable Development Goals, and the outcomes of 151 projects were not tagged against the Goals at the target level. The Board is concerned that this will impair the accuracy of monitoring contributions towards the Goals.

(b) Progress towards the Sustainable Development Goals was not sufficiently monitored or reported

100. The Board observed inadequate monitoring of Sustainable Development Goal 11 across UN-Habitat projects. Upon reviewing the monitoring guide on the results framework core indicators for the UN-Habitat strategic plan, the Board noted that of the 12 outcomes in the framework, 10 outcomes supported 8 of the 10 targets under Goal 11, with target 11.4 and 11.b not covered by any outcome.

101. The Board further noted that according to the Umoja data analyser, 108 of the 263 projects contributed to Goal 11 (41 per cent), of which 64 projects were not tagged at the target level, which impaired the accurate monitoring of specific targets under Goal 11.

102. Management replied that the outcomes of projects may take a long time to reflect. However, the Board is of the view that real-time monitoring and reporting do not conflict with long-term outcome evaluations. The monitoring and reporting of contributions to the Goals could provide information for decision-making and identify gaps between requirements under the Goals and the current status.

103. **The Board recommends that UN-Habitat establish a mechanism to strengthen central data monitoring on UN-Habitat contributions to the Sustainable Development Goals, in particular Goal 11, ensure that Sustainable Development Goal tags are entered accurately into the integrated planning, management and reporting module, and fully leverage data in the module to support reporting on the Goals and decision-making.**

104. UN-Habitat accepted the recommendation.

Inadequate monitoring and reporting on the resource mobilization strategy

105. The UN-Habitat Results-based Management Handbook states that results-based monitoring and reporting requires a structured system or framework for the collection and analysis of performance information. A performance measurement framework is a plan to systematically collect relevant data over the time frame of the planned programme to track and demonstrate progress made towards achieving expected results. It documents the major elements of the monitoring system and ensures that performance information is collected on a regular basis.

106. The Board noted that UN-Habitat issued a resource mobilization strategy in 2020, with the goal of assuring adequate, predictable and flexible funding to deliver results for the strategic plan of the organization. To achieve that goal, UN-Habitat set out several main strategic actions with specific targets.

107. The Board reviewed the progress in the implementation of the resource mobilization strategy, as reported to the Executive Board. The Board noted that the reporting was inconsistent with the main actions and targets set out in the resource mobilization strategy, with not all targets reported on.

108. The Board noted that monitoring and reporting were not conducted for all actions. For example, UN-Habitat planned to use national committees to raise funds for its work, but progress in this regard was not reported to the Executive Board.

109. The Board was informed that there was no effective monitoring and reporting on progress in the establishment of national committees during the period of the current strategic plan.

110. The Board is concerned that insufficient monitoring and reporting diverged from the requirement of focusing on achieving results, improving performance and integrating lessons learned into management decisions, and further diminished the effectiveness and efficiency of the resource mobilization strategy.

111. **The Board recommends that UN-Habitat establish a systematic monitoring and reporting mechanism on the resource mobilization strategy and develop a report that reflects the progress made against all targets contained in the resource mobilization strategy.**

112. UN-Habitat accepted the recommendation.

6. Property management

High ratio of unassigned laptops

113. According to the United Nations procurement manual, acquisition planning is an essential phase in the overall acquisition process. The aim is to effectively and systemically forecast the Organization's requirements.

114. The administrative instruction on management of property (ST/AI/2015/4) states that information relating to the control, custody, care, use, maintenance, issuance and financial accounting for the property of the United Nations shall be maintained in the records relating to the property of the United Nations. It also states that items of tangible property that are surplus to operational requirements, unserviceable or obsolete and are not encumbered by any third-party rights shall be promptly identified, written off and disposed of.

115. The Board reviewed the list of operational laptops in Umoja as at 19 November 2024 and noted that 33.76 per cent of total operational laptops lacked user information. For laptops procured from January 2023 to November 2024, the unassigned rate was even higher, at 46.5 per cent.

116. The Board also noted that the average unassigned rate for operational laptops in the Regional Office for Asia and the Pacific, the Regional Office for Latin America and the Caribbean and the Regional Office for Africa as at 30 September 2024 was 60 per cent, according to self-reported data. The Board further noted that the average idle rate for the three regional offices as at 19 November 2024 remained at over 50 per cent. Notably, the unassigned rate at the Regional Office for Africa reached 81 per cent as at 19 November 2024, with an unassigned rate of 90 per cent for newly procured laptops.

117. The regional offices explained that some laptops stored were damaged or unserviceable and were ready to be or in the process of being disposed of. For laptops that reached the end of their serviceable life and were not in good condition, offices could keep them in storage with plans for bulk disposal by sale rather than transferring them to implementing partners.

118. The Board then compared the list provided by the United Nations Office at Nairobi with the status of laptops extracted from Umoja and noted that of the 683 unassigned laptops, 567 were in good or fair condition, accounting for 83 per cent of the total unassigned laptops.

119. While acknowledging the necessity for projects to foresee their future needs, the Board is of the view that the high ratio of unassigned laptops indicates that the organization's procurement of laptops does not align with its actual needs and will lead to the waste of resources and deviate from the best value for money. Furthermore, unserviceable or obsolete laptops should be promptly identified and disposed of to ensure the accuracy of procurement decisions.

120. **The Board recommends that UN-Habitat update Umoja property information in a timely manner and consolidate its annual procurement plan to effectively and systemically forecast demands for laptops and promptly identify laptops that are damaged and have been stored for a long time.**

121. UN-Habitat accepted the recommendation.

7. Human resources management

Weakness in the management of pre-selected personnel

122. According to the administrative instruction on consultants and individual contractors (ST/AI/2013/4/Rev.1), in the process of selecting a consultant or individual contractor, heads of entities are responsible for instituting competitive selection procedures. The competitive selection procedure can take several forms, including the evaluation of individuals identified from a roster of qualified individuals maintained by the executive, administrative or human resources offices, through the issuance of a consultancy or individual contractor opening in the electronic platform provided for this purpose, through the entity's website or through any other appropriate means. For each assignment, every effort shall be made to shortlist for consideration a minimum of three candidates from the widest possible geographical basis.

123. UN-Habitat and the United Nations Office for Project Services (UNOPS) signed a global human resources support services framework agreement in December 2022, through which UNOPS could issue contracts on behalf of UN-Habitat for personnel including consultants, individual contractors and international personnel (fixed-term contracts).

124. According to the template for the pre-selection letter, UN-Habitat confirms that in selecting the individuals, it has complied with its applicable internal rules, regulations and procedures. Furthermore, since the pre-selection is outside the control of UNOPS, UN-Habitat recognizes and agrees that UNOPS shall not be accountable, or otherwise carry any liability, for the performance of the pre-selected individuals. Through an interview with the UN-Habitat Human Resources Unit, the Board was informed that the administrative instruction on consultants and individual contractors is applied as internal procedure to pre-select personnel.

(a) Incomplete master data for personnel records

125. UN-Habitat Headquarters reported 238 contracted personnel as at 31 December 2024. Through the UNOPS recruitment report, however, the Board identified a total of 260 contracted personnel, which indicates that the master data set maintained by UN-Habitat Headquarters was incomplete.

(b) Lack of competitive selection files

126. The Board requested the recruitment files for 30 sampled personnel pre-selected by UN-Habitat, with total individual contract agreements in the amount of $1.51 million. However, no documentation was provided, which may indicate that either the competitive recruitment process was not properly conducted or the relevant documentation was not retained as required.

127. The Board is of the view that incomplete master data for personnel records may indicate that UN-Habitat lacks comprehensive oversight of its contracted personnel. Given that UN-Habitat is required to handle all suits, claims and demands made by any of the personnel engaged by UNOPS and to cover costs and expenses associated therewith, the current situation may pose potential financial and operational risks to UN-Habitat.

128. In addition, the Board is concerned that the absence of recruitment documentation indicates either circumvention of United Nations competitive hiring rules through UNOPS procurement modalities, or weaknesses in maintaining mandatory records. The competitive recruitment files must be retrained to ensure the transparency and fairness of the recruitment process.

129. **The Board recommends that UN-Habitat reconcile all personnel data in a timely manner, ensure compliance with competitive selection procedures for pre-selected personnel, and maintain recruitment documentation thereon.**

130. UN-Habitat accepted the recommendation.

C. Transmission of information by management

131. UN-Habitat made the disclosures below relating to write-offs, ex gratia payments and cases of fraud and presumptive fraud.

1. Write-off of cash, receivables and property

132. UN-Habitat reported to the Board that, in accordance with financial rule 106.7, advance payments and property, plant and equipment totalling $20,177 were written off in 2024.

2. Ex gratia payments

133. Management confirmed that UN-Habitat did not make any ex gratia payments in 2024.

3. Cases of fraud and presumptive fraud

134. In accordance with the International Standards on Auditing (ISA 240), the Board plans its audits of the financial statements so that it has a reasonable expectation of identifying material misstatements and irregularities, including those resulting from fraud. The audit, however, should not be relied upon to identify all misstatements or irregularities. The primary responsibility for preventing and detecting fraud rests with management.

135. During the audit, the Board makes enquiries of management regarding its oversight responsibility for assessing the risks of material fraud and the processes in place for identifying and responding to the risks of fraud, including any specific risks that management has identified or has been brought to its attention. The Board also enquires whether management has any knowledge of any actual, suspected or alleged fraud; this includes enquiries of the Office of Internal Oversight Services.

136. For 2024, UN-Habitat notified the Board of no cases of fraud or presumptive fraud.

D. Acknowledgement

137. The Board wishes to express its appreciation for the cooperation and assistance extended to its staff by the Executive Director and staff members of the United Nations Human Settlements Programme.

(*Signed*) Pierre **Moscovici**
First President of the French Cour des comptes
Chair of the Board of Auditors

(*Signed*) **Hou** Kai
Auditor General of the People's Republic of China
(Lead Auditor)

(*Signed*) Vital **do Rêgo Filho**
President of the Brazilian Federal Court of Accounts

23 July 2025

Annex

Status of implementation of recommendations up to the financial year ended 31 December 2023

No.	*Audit report year*	*Report reference*	*Board's recommendation*	*Management response*	*Board's assessment*	*Status after verification*			
						Implemented	*Under implementation*	*Not implemented*	*Overtaken by events*
1.	2017	A/73/5/Add.9, chap. II, para. 32	The Board recommends that UN-Habitat: (a) ensure that funds are released to implementing partners on time so that the planned activities can be completed within the scheduled period; and (b) establish a risk-based fast-track payment process for emergency and high-priority countries, as proposed by the country office in the Syrian Arab Republic.	UN-Habitat has developed a system to improve implementing partner management. The grantor module has also improved implementing partner management.	Based on the measures taken by UN-Habitat, this recommendation is considered implemented.	X			
2.	2018	A/74/5/Add.9, chap. II, para. 22	The Board recommends that UN-Habitat evaluate the application of impairment provisions to advances accounts.	UN-Habitat will conduct the evaluation and take the action necessary to implement the auditors' recommendation.	Given the response provided by UN-Habitat, this recommendation is considered under implementation.		X		
3.	2018	A/74/5/Add.9, chap. II, para. 23	The Board recommends that UN-Habitat enhance project supervision and internal control in the UN-Habitat policy for implementing partners to prevent grants under which no accounting transactions have been made for an extended period from remaining in force.	UN-Habitat has developed a system to improve implementing partner management. The Umoja grantor management module has also improved implementing partner management. The implementing partner policy is being updated and will include policy guidance on preventing inactive grants.	Given that the implementing partner policy is being updated and will include policy guidance on preventing inactive grants, this recommendation is considered under implementation.		X		
4.	2018	A/74/5/Add.9, chap. II, para. 42	The Board recommends that UN-Habitat establish a framework and methodology for full cost recovery in accordance with General Assembly resolution 67/226 applicable in all units of the entity and inform its hubs and offices of its application.	UN-Habitat will apply the policy of the Secretariat.	Considering that UN-Habitat will apply the Secretariat policy, this recommendation is considered implemented.	X			

No.	Audit report year	Report reference	Board's recommendation	Management response	Board's assessment	Status after verification: Implemented	Under implementation	Not implemented	Overtaken by events
5.	2018	A/74/5/Add.9, chap. II, para. 128	The Board recommends that UN-Habitat perform periodic and timely reviews of the leave system to identify absences and, if relevant, apply charges on the monthly salary of the staff.	UN-Habitat now has a Senior Time Administrator and a list of Time Administrators for each unit, who have undergone training.	Considering the progress regarding the Time Administrators, this recommendation is considered implemented.	X			
6.	2019	A/75/5/Add.9, chap. II, para. 195	The Board recommends that UN-Habitat update the information contained in the Umoja report on equipment in accordance with the SC119 Umoja property management overview course, assigning for each item the location and/or user responsible.	The process of enriching the asset master data of UN-Habitat is ongoing. So far, all property locations have been updated, and UN-Habitat is in the process of updating the user responsible for each item.	Considering that the process is still ongoing, this recommendation is considered under implementation.		X		
7.	2019	A/75/5/Add.9, chap. II, para. 196	The Board recommends that the assigned staff member responsible for the operational equipment be a staff member of UN-Habitat.	The process of enriching the asset master data of UN-Habitat is ongoing. Standard practice at UN-Habitat is to assign all operational equipment to United Nations staff members.	Considering that the process is still ongoing, this recommendation is considered under implementation.		X		
8.	2019	A/75/5/Add.9, chap. II, para. 207	The Board recommends that UN-Habitat headquarters take measures to monitor the proper registration of the capitalization and disposal of property, plant and equipment items, from the time when the assets are received by the entity and according to the information indicated in the corresponding delivery note or when the disposal is approved.	The first asset management training session was conducted in the third quarter of 2023 by the United Nations Office at Nairobi. The next refresher training session involving headquarters and regional focal points is set to be conducted in the second quarter of 2025. In addition, the Risk and Compliance Unit has taken up the role of property management and will, in collaboration with the United Nations Office at Nairobi, ensure assets are registered in time and records are updated.	Considering that the process is still ongoing, this recommendation is considered under implementation.		X		

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9.	2019	A/75/5/Add.9, chap. II, para. 208	The Board recommends that UN-Habitat consider the depreciation of its assets when they are available for use, pursuant to the delivery principle of the United Nations corporate guidance for IPSAS on the delivery principle and paragraph 71 of IPSAS 17.	The first asset management training session was conducted in the third quarter of 2023 by the United Nations Office at Nairobi. The next refresher training session involving headquarters and regional focal points is set to be conducted in the second quarter of 2025. In addition, the Risk and Compliance Unit has taken up the role of property management and will, in collaboration with the United Nations Office at Nairobi, ensure assets are registered in time. This will in turn ensure proper determination of the beginning of the depreciation period in line with IPSAS.	Considering that the process is still ongoing, this recommendation is considered under implementation.		X		
10.	2019	A/75/5/Add.9, chap. II, para. 292	The Board recommends that UN-Habitat hold the ICT Committee meetings periodically in order to achieve the objectives and purposes established in Secretary-General's bulletin ST/SGB/2003/17 and the Committee's terms of reference.	The UN-Habitat ICT Committee met once in 2024 and plans to hold three meetings in 2025.	Given that the ICT Committee plans to hold periodic meetings in 2025, this recommendation is considered under implementation.		X		
11.	2020	A/76/5/Add.9, chap. II, para. 101	The Board reiterates the former recommendation that UN-Habitat avoid the ex post facto situation prior to the signing of new contracts.	A standard operating procedure is being implemented to transmit contract expiry reminders to project managers on a quarterly basis with effect from the fourth quarter of 2024.	Given that the standard operating procedure is being implemented, this recommendation is considered implemented.	X			
12.	2020	A/76/5/Add.9, chap. II, para. 107	The Board recommends that UN-Habitat perform its duties on contract management to ensure that comprehensive evaluations of vendor performance are conducted before processing any	Payments to contractors/suppliers are processed only after a contractor performance report is completed by the project manager.	Considering the established payments mechanism, this recommendation is considered implemented.	X			

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			extension to existing contracts.						
13.	2020	A/76/5/Add.9, chap. II, para. 132	The Board recommends that UN-Habitat, in collaboration with the United Nations Office for Project Services (UNOPS), amend the individual contractor agreement by further specifying the scope of entitlement in compliance with the above-mentioned administrative instruction.	UN-Habitat has no authority to influence and amend UNOPS individual contractor instruments and entitlements. Furthermore, due to its dependence on field operations, the UN-Habitat business model relies on UNOPS human resources services. Since implementation of this recommendation is not within the control of UN-Habitat, management requests closure of the recommendation without implementation.	Considering management's response, this recommendation is considered overtaken by events.				X
14.	2020	A/76/5/Add.9, chap. II, para. 172	The Board recommends that UN-Habitat generate barcodes for all assets under its control, in order to keep all assets traceable, and fill in the acquisition dates that represent the beginning of the useful life of the assets.	All UN-Habitat assets without bar codes have been tracked and coded.	Considering that assets without bar codes have been tracked and coded, this recommendation is considered implemented.		X		
15.	2020	A/76/5/Add.9, chap. II, para. 181	The Board recommends that UN-Habitat strengthen its travel planning process to ensure that the booking and purchase of tickets be finalized 16 calendar days in advance of the commencement of official travel.	While it is not always possible to meet the 16 calendar days travel rule owing to circumstances that are outside of the organization's control, such as late requests by donors and Governments, UN-Habitat is monitoring travel compliance on a quarterly basis and a good level of compliance has been achieved. Travel policies are guided by the Secretariat and guidance was issued this year. Memos and guidelines have been provided by Headquarters on travel.	Considering the updated monitoring progress in this regard, this recommendation is considered implemented.		X		

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16.	2021	A/77/5/Add.9, chap. II, para. 45	The Board recommends that UN-Habitat regularly communicate with donors about the possibility of recollecting voluntary contributions receivables, especially for grants with closing status, and start the write-off or write-down process in time when eligible.	This recommendation has been overtaken by events. UN-Habitat is in the process of applying IPSAS 47, which will address the issue from 1 January 2026.	Considering management's response, this recommendation is considered overtaken by events.				X
17.	2021	A/77/5/Add.9, chap. II, para. 66	The Board also recommends that UN-Habitat review the post distribution and human resources regularly to further analyse the employment priority and resources distribution, in order to facilitate selection process whenever the necessary funding is in place.	UN-Habitat has undertaken a review of its resource distribution, including post distribution. With the support of the Executive Office of the Secretary-General, UN-Habitat analysed its employment priorities and resource distribution, which were reflected in subsequent work programmes and budgets. Furthermore, UN-Habitat adopted an internal measure of scalability model that will inform the scaling up and down of employment priorities.	Considering the measures taken by UN-Habitat, this recommendation is considered implemented.	X			
18.	2021	A/77/5/Add.9, chap. II, para. 109	The Board recommends that UN-Habitat establish a mechanism that gathers and cross-checks the data and hiring records of non-staff personnel in compliance with further clarified UN Secretariat requirements, giving due consideration of best value for money.	UN-Habitat is in the process of establishing a mechanism that gathers and cross-checks the data and hiring records of non-staff personnel. This process is still Ongoing. The unit has resolved issues on staffing and task has been assigned for implementation.	Considering that UN-Habitat is in the process of establishing the mechanism, this recommendation is considered to be under implementation.		X		

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19.	2021	A/77/5/Add.9, chap. II, para. 153	The Board recommends that UN-Habitat review its implementing partner policy and standard operating procedures for implementing partner selection to ensure that implementing partner selection is compliant with the general principles of fairness, integrity, transparency and effective competitiveness set by the Financial Regulations and Rules of the United Nations; and any necessary waiver should provide, among others, programmatic and financial justifications and detail the exceptional circumstances.	UN-Habitat is updating its implementing partner policy and standard operating procedures. The updated policy will address the auditors' recommendation.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		
20.	2021	A/77/5/Add.9, chap. II, para. 154	The Board recommends that UN-Habitat take necessary actions, including but not limited to reviewing its implementing partner policy and standard operating procedures for implementing partner selection to avoid splitting contracts.	UN-Habitat is updating its implementing partner policy and standard operating procedures. The updated policy will address the auditors' recommendation.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		
21.	2021	A/77/5/Add.9, chap. II, para. 162	The Board recommends that UN-Habitat build up and maintain a database of properly screened implementing partners for all of UN-Habitat to facilitate the implementing partner selection process and link it to the Umoja Implementing Partner Management Module to strengthen implementing partner data-sharing.	UN-Habitat will coordinate with the United Nations Secretariat at Headquarters to explore the possibility of joining the United Nations Partner Portal and the benefits thereof. In addition, the revision of the implementing partner policy is under way.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		

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22.	2021	A/77/5/Add.9, chap. II, para. 170	The Board recommends that UN-Habitat improve its standard operating procedures for implementing partner selection by setting up guidance for selecting prospective implementing partners and the threshold for accepting recommended implementing partners.	UN-Habitat is updating its implementing partner policy and standard operating procedures. The updated policy will address the audit recommendation.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		
23.	2021	A/77/5/Add.9, chap. II, para. 221	The Board recommends that UN-Habitat further clarify the laptops/computers allocation rules and standards to optimize laptops/computers procurement and allocation and reduce related operational costs.	UN-Habitat is currently comparing the number of staff with the number of operational laptops, following which a memo will be issued reiterating the guidelines for issuing laptops.	Given that UN-Habitat is currently comparing the number of staff with the number of operational laptops, this recommendation is considered under implementation.		X		
24.	2022	A/78/5/Add.9, chap. II, para. 31	The Board recommends that UN-Habitat strengthen the review of the budget for the ICT strategy by submitting the ICT budget to the Office of Information and Communications Technology for further consideration.	The UN-Habitat ICT Committee will be meeting in February 2025 to review the updated ICT strategy and related budget for 2025.	Considering the updated schedule of the ICT Committee, this recommendation is considered implemented.	X			
25.	2022	A/78/5/Add.9, chap. II, para. 48	The Board recommends that UN-Habitat develop guidance on unearmarked grants to ensure the efficient and effective management of funds.	UN-Habitat has developed guidance on unearmarked grants to ensure the efficient and effective management of funds.	Considering that UN-Habitat has developed guidance on unearmarked grants, this recommendation is considered implemented.	X			
26.	2022	A/78/5/Add.9, chap. II, para. 49	The Board recommends that UN-Habitat comply with the cash management policy, put in place a repayment plan for overdue loans, and ensure that internal loans are repaid in a timely manner.	UN-Habitat and the United Nations Office at Nairobi have a joint ongoing and regular monitoring process in place for reviewing overdue loans and taking necessary actions. UN-Habitat also updated the cash management policy that dated from 2015.	Considering that UN-Habitat and the United Nations Office at Nairobi have a joint ongoing and regular monitoring process in place for reviewing overdue loans and taking necessary actions, this recommendation is considered implemented.	X			

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27.	2022	A/78/5/Add.9, chap. II, para. 57	The Board recommends that UN-Habitat develop a policy and establish a mechanism to ensure that programme support cost rates are in line with the United Nations policy and that exceptions to standard rates are properly reviewed and approved.	The United Nations Controller is in the process of finalizing a revised policy on programme support costs which will guide all Secretariat entities, including UN-Habitat. A draft is being circulated for review and comments.	Considering the updated response provided by UN-Habitat, this recommendation is considered implemented.	X			
28.	2022	A/78/5/Add.9, chap. II, para. 65	The Board recommends that UN-Habitat take actions to strengthen the control of grants, including cleaning up deficit balances in grants accounts and settling the liability of closing grants, to ensure that projects are operationally and financially closed in a timely manner.	UN-Habitat is designing a mechanism to regularly follow up and correct grants with deficit balances.	Considering that UN-Habitat is designing a mechanism to regularly follow up and correct grants with deficit balances, this recommendation is considered under implementation.		X		
29.	2022	A/78/5/Add.9, chap. II, para. 104	The Board recommends that UN-Habitat clarify the roles of the various offices in relation to implementing partner management, and designate a unit or office responsible for the overall coordination, oversight and management of implementing partners, including supervising the use of the implementing partners module.	The updated implementing partner policy being prepared will clarify the roles of various offices relating to implementing partner management and provide other guidance required to implement the auditors' recommendations in full. The revision of the implementing partners policy is under way.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		
30.	2022	A/78/5/Add.9, chap. II, para. 105	The Board also recommends that UN-Habitat strengthen the uploading of documents related to the selection of implementing partners, including review documents of the Implementing Partners Selection Committee, and improve the maintenance of the payment schedule and report schedule functions in	UN-Habitat will review documents of the Implementing Partners Selection Committee and improve the maintenance of the payment schedule and report schedule functions in the Umoja grantor module. The revision of the implementing partner policy is under way.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		

No.	Audit report year	Report reference	Board's recommendation	Management response	Board's assessment	Status after verification			
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			the implementing partner module of Umoja.						
31.	2022	A/78/5/Add.9, chap. II, para. 115	The Board recommends that UN-Habitat appoint the members of the Implementing Partners Selection Committee through official documents signed by the person designated in the terms of reference of the Committee.	UN-Habitat will appoint members of the Implementing Partners Selection Committee through official documents signed by the person designated in the terms of reference of the Committee. The revision of the implementing partner policy is under way.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		
32.	2022	A/78/5/Add.9, chap. II, para. 116	The Board recommends that UN-Habitat review various options to solve the issue of not meeting the quorum and ensure that only appointed members and designated alternates can participate in meetings.	UN-Habitat will ensure that the quorum is met and that only appointed members can participate. It will also ensure that the designated signatories are the ones signing the appointment letters. The revision of the implementing partner policy is under way.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		
33.	2022	A/78/5/Add.9, chap. II, para. 117	The Board recommends that each member of the Implementing Partners Selection Committee sign a non-conflict of interest statement at every meeting prior to the review of proposals.	UN-Habitat will ensure that all official documents are signed by the person designated in the terms of reference of the Committee. The revision of the implementing partner policy is under way.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		
34.	2022	A/78/5/Add.9, chap. II, para. 127	The Board recommends that UN-Habitat ensure that the ICT requirements of all divisions and offices are effectively coordinated and consolidated in the development of applications.	The UN-Habitat ICT Committee has established an entity-wide ICT network of focal points at the headquarters, division, region and country levels, tasked with supporting the coordination and consolidation of the development of an ICT initiative entity-wide.	Considering the establishment of an entity-wide ICT network, this recommendation is considered implemented.	X			

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35.	2022	A/78/5/Add.9, chap. II, para. 162	The Board recommends that UN-Habitat continue to develop a clear strategy regarding the total number of core operational staff who are under UNDP and UNOPS contracts, implement the "lift and shift" project and move core operational staff with UNDP and UNOPS contracts to United Nations Secretariat contracts.	UN-Habitat has transitioned all UNOPS fixed-term staff to United Nations Secretariat contracts and is in the process of converting UNDP contracts as part of the Secretariat's "lift and shift" project. UNOPS confirms a declining trend in fixed-term staff contracts since 2021, with the final ongoing contract ending in April 2025.	Considering that UN-Habitat is in the process of converting UNDP contracts as part of the Secretariat's "lift and shift" project, this recommendation is considered under implementation.		X		
36.	2022	A/78/5/Add.9, chap. II, para. 167	The Board recommends that UN-Habitat strengthen its management of consultants and individual contractors by further clearly defining their roles, responsibilities and authorization levels within the agency's hierarchy to ensure that they do not exceed their delegation of authority.	The delegation of authority role has recently been taken up by the Risk and Compliance Unit and will henceforth be managed by the team. Monthly reviews will be done and quarterly delegation of authority reports will be shared.	Considering that these measures are still in process, this recommendation is considered under implementation.		X		
37.	2022	A/78/5/Add.9, chap. II, para. 172	The Board recommends that UN-Habitat follow strictly break-in-service regulations and develop mechanisms to ensure that the reappointment of staff fully meets the break-in-service requirement.	UN-Habitat, in collaboration with the United Nations Office at Nairobi, will strengthen its compliance with the break-in-service policy. The Human Resources and Training Unit will closely monitor staff members on temporary appointments to ensure compliance with the mandatory break-in-service in accordance with the administrative instruction on the administration of temporary appointments (ST/AI/2010/4/Rev.1). Three months before the appointment reaches the maximum 729-day duration, the Unit will notify the recommending officers, reminding them of the requirement to separate the staff member upon contract expiration. The staff member will also be informed accordingly.	Considering that these measures are still in process, this recommendation is considered under implementation.		X		

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38.	2022	A/78/5/Add.9, chap. II, para. 180	The Board recommends that UN-Habitat track the evaluation recommendations in time and complete implementation of recommendations according to established timelines.	UN-Habitat consistently tracks and evaluates recommendations to ensure full compliance and implementation of recommendations.	Considering that UN-Habitat tracks and evaluates recommendations thereon, this recommendation is considered implemented.	X			
39.	2023	A/79/5/Add.9, chap. II, para. 25	The Board recommends that UN-Habitat obtain the consent or official evidence of consultation from the donor before transferring balances of earmarked voluntary contributions to the unearmarked grant and specify clearly the utilization of the balances in the project financial reports or grant agreements in the future.	UN-Habitat, in consultation with the United Nations Office at Nairobi, has now established a mechanism ensuring consultation with donors on the use of any remaining balances from earmarked voluntary contributions.	Considering that the mechanism has been established, this recommendation is considered implemented.	X			
40.	2023	A/79/5/Add.9, chap. II, para. 31	The Board recommends that UN-Habitat review the status and cash balances of grants regularly and address cash balances in accordance with donor agreements before grants are closed, thereby enhancing the efficient utilization of funds.	Cash balances can be monitored using the Budget and Financial Management Service Power BI dashboard.	The Board acknowledges the progress made, but notes that such progress is related to monitoring, while "enhancing the efficient utilization of funds" has not been sufficiently achieved. Therefore, the recommendation is considered under implementation.		X		
41.	2023	A/79/5/Add.9, chap. II, para. 40	The Board recommends that UN-Habitat obtain and review implementing partners' reports to monitor project progress and the utilization of advances in a timely manner, effectively measure advances and expenses and appropriately disclose accrued expenses.	The revision of the implementing partner policy is under way.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		

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42.	2023	A/79/5/Add.9, chap. II, para. 50	The Board recommends that UN-Habitat allocate adequate funds for evaluations in the project budget and conduct evaluations of projects in line with the evaluation policies in order to ensure that evaluation activities are carried out effectively and that evaluation reports are publicly available.	This recommendation was overtaken by a new recommendation contained in the 2024 interim audit, in which the Board of Auditors comprehensively reviewed UN-Habitat evaluation practices and issued new recommendations (being finalized) on straightening the funding and compliance with the UN-Habitat evaluation policy.	This recommendation, which was updated in 2024 final audit, is considered overtaken by events.				X
43.	2023	A/79/5/Add.9, chap. II, para. 60	The Board recommends that UN-Habitat disclose information on extrabudgetary posts more transparently and strengthen the monitoring of long-term positions, to ensure that the extrabudgetary resource estimates presented in the budget fascicles are as complete and accurate as possible.	UN-Habitat complies with the Secretariat instructions on disclosure of positions. UN-Habitat cannot deviate since the instructions are strictly enforced by the Controller. UN-Habitat has strengthened the monitoring of positions and as a result, any position not encumbered for more than 24 months is abolished and cleaned up from the system.	Considering the updated response provided by UN-Habitat, this recommendation is considered implemented.	X			
44.	2023	A/79/5/Add.9, chap. II, para. 76	The Board recommends that UN-Habitat initiate implementation of the mainstreaming indicator, improve the quantity and quality of national reports and strengthen data analysis on the global urban monitoring framework to improve data availability for more robust monitoring and reporting on the New Urban Agenda.	1. "Road map to the New Urban Agenda – reinvigorating the 2026 momentum" finalized. 2. Four New Urban Agenda-related sessions and one training session held at the twelfth session of the World Urban Forum. 3. Advocacy on the New Urban Agenda and the national reporting done in Executive Board. 4. New Urban Agenda task team meetings held prior to the World Urban Forum. 5. E-learning on New Urban Agenda reporting launched. 6. Webinar on New Urban Agenda reporting being developed.	Considering the measures taken by UN-Habitat, this recommendation is considered implemented.	X			

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				7. New Urban Agenda Platform being renovated. 8. New Urban Agenda Asia-Pacific Regional platform being developed.					
45.	2023	A/79/5/Add.9, chap. II, para. 86	The Board recommend that UN-Habitat enhance its capacities in monitoring and reporting on the achievement of Sustainable Development Goal 11 and produce a progress report on indicators 1.4.1 and 1.4.2 demonstrating horizontal collaboration and coordination as a custodian agency for the Goal and the indicators.	UN-Habitat is still working to strengthen its capacities regarding Goal 11. It is on track to fill the P-4 Statistician position that is key for reporting on Goal 11. It is awaiting the financing of the scalability model where key positions have been earmarked to strengthen the data and Goal 11 and indicators 1.4.1 and 1.4.2 monitoring roles. In 2023, UN-Habitat produced a synthesis report on Goal 11, in which it documented progress on all targets and indicators. In 2024, UN-Habitat was not able to produce the relevant reports for target 1.4 (indicators 1.4.1 and 1.4.2) due to limited funding and austerity measures. These two indicators still lack the volume of data required to produce the global and regional reports. UN-Habitat is hopeful that in future, with more staff and increased finances, it will be able to build up the relevant capacities in countries to produce the data and the relevant progress reports.	Considering that UN-Habitat is still working to strengthen capacities related to Goal 11, as well as the production of the relevant progress reports, this recommendation is considered under implementation.		X		

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46.	2023	A/79/5/Add.9, chap. II, para. 87	The Board also recommends that UN-Habitat strengthen the monitoring of Sustainable Development Goal progress at the project level by ensuring that every approved project makes correct indicator links and that it draw clear conclusions on project sustainability in the evaluation report.	Project compliance with Sustainable Development Goal tagging at target level in the integrated planning, management and reporting module has been addressed in the fourth quarter monitoring report and will be monitored and followed up to further increase compliance.	Considering that project compliance with Sustainable Development Goal tagging at target level in the integrated planning, management and reporting module has been addressed, this recommendation is considered implemented.	X			
47.	2023	A/79/5/Add.9, chap. II, para. 94	The Board recommends that UN-Habitat optimize Cities Investment Facility portal and exploit the Facility's potential as the accelerator of the Sustainable Development Goal Cities' flagship initiative in terms of fundraising.	Only proposals that meet the required criteria are uploaded to the portal. At the time of the audit, only 15 proposals had met the criteria and been uploaded to the portal. There was no plan and no need to upload all 99 project proposals to the portal. UN-Habitat has adopted a new vision under its new Executive Director. A new fundraising approach with the international financial institutions has been established. Negotiations with various institutions are currently ongoing.	Considering the updated progress reported by UN-Habitat, this recommendation is considered implemented.	X			
48.	2023	A/79/5/Add.9, chap. II, para. 109	The Board recommends that UN-Habitat strengthen the background and risk assessments in the project planning stage and improve the accuracy of budget preparations, to ensure that projects are completed within the planned time frame and budget.	Improving the accuracy of budgets and the completion of projects within given budgets is ensured by the membership in the Programme Review Committee of the Management, Advisory and Compliance Service, which reviews budgets. Risk frameworks are entered in the integrated planning, management and reporting module and will be followed up accordingly through the quarterly monitoring reports, beginning in the first quarter of 2025. The Committee has established a quarterly monitoring	Considering the measures taken by UN-Habitat, for instance, the fact that it has improved the accuracy of budgets and the completion of projects within given budgets by expanding the Programme Review Committee, that risk frameworks are entered in the integrated planning, management and reporting module and followed up accordingly through quarterly monitoring reports, and that the Risk and Compliance Unit has been included in the Committee to	X			

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				process to identify projects at risk and share information with project managers for action. The Risk and Compliance Unit has also been included in the Committee to ensure quality assessment of project risks at the planning stage.	ensure quality assessment of project risks at the planning stage, this recommendation is considered implemented.				
49.	2023	A/79/5/Add.9, chap. II, para. 110	The Board recommends that UN-Habitat strengthen expenditure control to ensure consistency with budgets through the conduct of a regular review of a project's substantive work and consolidate it with financial information in the Enterprise Core Component module, and regularly submit high-quality financial and progress reports to donors, in order to enhance the latter's confidence in UN-Habitat.	UN-Habitat will establish a monitoring mechanism for project expenditure and budget performance.	Considering that UN-Habitat will establish a monitoring mechanism for project expenditure and budget performance, this recommendation is considered under implementation.		X		
50.	2023	A/79/5/Add.9, chap. II, para. 111	The Board also recommends that UN-Habitat update the information regarding projects in the integrated planning, management and reporting module on a timely basis to ensure consistency with the actual status.	UN-Habitat issues quarterly monitoring reports to ensure indicators are updated on a regular basis. Non-compliance is followed up and escalated for action. Results-based management training now also includes a session on the integrated planning, management and reporting module. The updated guidelines of the Programme Review Committee also contain guidance on the integrated planning, management and reporting module to improve compliance, reduce errors and prevent information from being entered in different ways by project teams.	Considering that UN-Habitat issues quarterly monitoring reports to ensure indicators are updated on a regular basis and that non-compliance is followed up and escalated for action, this recommendation is considered implemented.	X			

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51.	2023	A/79/5/Add.9, chap. II, para. 118	The Board recommends that UN-Habitat comply with the Programme Review Committee guideline and the integrated planning, management and reporting module deployment policy to ensure that the projects are approved firstly in the module, and update the guideline to clarify the role of the module in programme and project approval.	UN-Habitat has issued a guideline that no money should be spent for a project before the integrated planning, management and reporting process is complete. In addition, UN-Habitat is starting a process of identifying unapproved projects in the integrated planning, management and reporting module for correction.	Considering that UN-Habitat is starting a process of identifying unapproved projects in the integrated planning, management and reporting module for correction, this recommendation is considered under implementation.		X		
52.	2023	A/79/5/Add.9, chap. II, para. 126	The Board recommends that UN-Habitat strengthen compliance oversight of the signing of community agreements, review the existing payment terms of community agreement, considering the on-the-ground reality in the relevant country office, and establish appropriate payment terms to control financial risks.	The revision of the implementing partner policy is under way.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		
53.	2023	A/79/5/Add.9, chap. II, para. 132	The Board recommends that UN-Habitat integrate regulations of community agreement management into the implementing partner policy, include the standardized completion report at the organization level and review the existing community agreement template to ensure compliance with the updated implementing partner policy.	The revision of the implementing partner policy is under way.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		

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						Implemented	Under implementation	Not implemented	Overtaken by events
54.	2023	A/79/5/Add.9, chap. II, para. 140	The Board recommends that UN-Habitat enhance the overall oversight of payments in agreements between United Nations entities, present prerequisites and payment ratios clearly and upload all prerequisite documents to the Umoja grantor management module to facilitate payment verification.	The revision of the implementing partner policy is underway.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		
55.	2023	A/79/5/Add.9, chap. II, para. 151	The Board recommends that UN-Habitat standardize the due diligences criteria for implementing partners and adhere strictly to them to ensure quality and effectiveness.	The revision of the implementing partner policy is under way.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		
56.	2023	A/79/5/Add.9, chap. II, para. 152	The Board also recommends that UN-Habitat expand the indicators for assessing implementing partner performance to ensure a comprehensive and objective evaluation, link the indicators to the overall performance rate and share the evaluation results of all implementing partners within the organization.	The revision of the implementing partner policy is under way.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		
57.	2023	A/79/5/Add.9, chap. II, para. 159	The Board recommends that UN-Habitat adhere strictly to the implementing partner policy regarding the selection of implementing partner auditors, the allocation of budgets for implementing partner audits and the provisions for implementing partner payments; conduct comprehensive audits on implementing partners,	The revision of the implementing partner policy is under way.	Considering that the revision of the implementing partner policy is under way, this recommendation is considered under implementation.		X		

No.	Audit report year	Report reference	Board's recommendation	Management response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
			covering all required audit services in line with the terms of reference; and establish a knowledge base or audit findings and recommendations to identify key control risks for future collaborations.						
58.	2023	A/79/5/Add.9, chap. II, para. 165	The Board recommends that UN-Habitat not split requirements for the same or related requirements in an effort to bypass the bidding process.	The Afghanistan country office has already aligned its procurement in line with the country requirement and already planned to make procurements of less than $50,000 within Afghanistan and over that amount by the Regional Office for Arab States or the United Nations Office at Nairobi. The Regional Office for Arab States has a delegation of authority for $300,000. On top of that, procurement training is planned for the fourth quarter of 2024 to sensitize staff on procurement processes and ensure ongoing full compliance with the procurement policy and procurement manual.	Considering the updated measures taken by UN-Habitat, this recommendation is considered implemented.		X		
Total number of recommendations						**58**	**22**	**33**	**0**	**3**
Percentage of the total number of recommendations						**100**	**38**	**57**	**0**	**5**

Chapter III
Certification of the financial statements

Letter dated 31 March 2025 from the Chief Finance Officer of the United Nations Office at Nairobi addressed to the Chair of the Board of Auditors

The financial statements of the United Nations Human Settlements Programme (UN-Habitat) for the year ended 31 December 2024 have been prepared in accordance with financial rule 106.1 of the Financial Regulations and Rules of the United Nations and rule 306.10 of the supplement to the Financial Regulations and Rules of the United Nations (ST/SGB/2015/4).

The summary of significant accounting policies applied in the preparation of these statements is included as notes to the financial statements. These notes, and the accompanying schedules, provide additional information and clarification of the financial activities undertaken by UN-Habitat during the period covered by these statements.

The certification function defined in financial rules 105.5 and 105.7 to 105.9 of the Financial Regulations and Rules of the United Nations is assigned to UN-Habitat. Responsibility for the accounts and the performance of the approving function, as defined in article VI and financial rule 105.6 of the Financial Regulations and Rules of the United Nations, is assigned to the United Nations Office at Nairobi.

In accordance with the authority assigned to me, I hereby certify that the appended financial statements of UN-Habitat for the year ended 31 December 2024 are correct.

(*Signed*) Vanda **Andromeda**
Chief Finance Officer
United Nations Office at Nairobi

Chapter IV
Financial overview for the year ended 31 December 2024[1]

[1] In the light of the liquidity situation affecting the regular budget of the United Nations and the related management measures implemented by the Secretary-General, chapter IV is made available online at https://digitallibrary.un.org/record/4090387.

Chapter V

Financial statements and related explanatory notes for the year ended 31 December 2024

United Nations Human Settlements Programme

I. Statement of financial position as at 31 December 2024

(Thousands of United States dollars)

	Note	*31 December 2024*	*31 December 2023*
Assets			
Current assets			
Cash and cash equivalents	7	35 694	37 801
Investments	8	214 073	194 821
Voluntary contributions receivable	9	209 542	212 297
Other receivables	10	62	271
Advance transfers	11	41 136	36 265
Other assets	12	13 527	5 877
Total current assets		**514 034**	**487 332**
Non-current assets			
Investments	8	78 296	60 942
Voluntary contributions receivable	9	56 968	66 475
Other receivables	10	–	–
Property, plant and equipment	14	2 060	2 554
Intangible assets	15	27	–
Total non-current assets		**137 351**	**129 971**
Total assets		**651 385**	**617 303**
Liabilities			
Current liabilities			
Accounts payable and accrued liabilities	16	18 647	19 489
Funds received in advance and deferred revenue	17	–	32
Employee benefits liabilities	18	3 732	3 035
Provisions	19	–	–
Liabilities for conditional arrangements	20	99 935	106 770
Total current liabilities		**122 314**	**129 326**
Non-current liabilities			
Employee benefits liabilities	18	34 653	34 299
Total non-current liabilities		**34 653**	**34 299**
Total liabilities		**156 967**	**163 625**
Net of total assets and total liabilities		**494 418**	**453 678**
Net assets			
Accumulated surplus (deficit)	21	473 842	432 814
Reserves	21	20 576	20 864
Total net assets		**494 418**	**453 678**

The accompanying notes to the financial statements are an integral part of these financial statements.

United Nations Human Settlements Programme

II. Statement of financial performance for the year ended 31 December 2024

(Thousands of United States dollars)

	Note	*2024*	*2023*
Revenue			
Assessed contributions	22	15 619	16 578
Voluntary contributions	22	154 200	149 084
Other transfers and allocations	22	32 618	28 508
Investment revenue	25	14 664	11 668
Other revenue	23	10 263	9 555
Total revenue		**227 364**	**215 393**
Expenses			
Employee salaries, allowances and benefits	24	52 247	46 817
Non-employee compensation and allowances	24	40 535	37 129
Grants and other transfers	24	31 302	24 387
Supplies and consumables	24	1 208	1 053
Depreciation	14	305	421
Amortization	15	3	–
Travel	24	8 864	6 770
Other operating expenses	24	53 653	45 731
Other expenses	24	147	97
Total expenses		**188 264**	**162 405**
Surplus/(deficit) for the period		**39 100**	**52 988**

The accompanying notes to the financial statements are an integral part of these financial statements.

United Nations Human Settlements Programme

III. Statement of changes in net assets for the year ended 31 December 2024[a]

(Thousands of United States dollars)

	Accumulated surpluses/(deficits) – unrestricted	*Reserves*	*Total*
Net assets, 1 January 2024	**432 814**	**20 864**	**453 678**
Fair value transferred to reserves	911	(911)	–
Net assets, 1 January 2024 (restated)[b]	**433 725**	**19 953**	**453 678**
Change in net assets			
Fair value gains/(losses) on investments	–	530	530
Transfers to/from unrestricted/restricted/reserves	(93)	93	–
Actuarial gains/(losses)	1 110	–	1 110
Surplus/(deficit) for the year	39 100	–	39 100
Net assets, 31 December 2024	**473 842**	**20 576**	**494 418**

[a] See note 21.
[b] See note 4.

The accompanying notes to the financial statements are an integral part of these financial statements.

United Nations Human Settlements Programme

IV. Statement of cash flows for the year ended 31 December 2024

(Thousands of United States dollars)

	Note	*31 December 2024*	*31 December 2023*
Cash flow from operating activities			
Surplus/(deficit) for the year		**39 100**	**52 988**
Non-cash movements			
Depreciation and amortization	14, 15	287	399
Loss on disposal of property, plant and equipment	14	56	185
Actuarial gain/(loss) on employee benefits liabilities	18	1 110	2 730
Unrealized gain/(loss) on cash pool investments	25	530	(911)
Transfers and donated property, plant and equipment and intangibles		–	–
Changes in assets			
(Increase)/decrease in voluntary contributions receivable	9	12 262	(60 748)
(Increase)/decrease in other receivables	10	209	(182)
(Increase)/decrease in advance transfers	11	(4 871)	(20 694)
(Increase)/decrease in other assets	12	(7 650)	(535)
Changes in liabilities			
Increase/(decrease) in accounts payable and accrued liabilities	16	(842)	7 185
Increase/(decrease) in funds received in advance and deferred revenue	17	(32)	32
Increase/(decrease) in employee benefits liabilities	18	1 051	(739)
Increase/(decrease) in liabilities for conditional arrangements	20	(6 835)	34 113
Increase/(decrease) in provision	19	–	(20)
Investment revenue presented as investing activities	25	(14 664)	(11 668)
Net cash flows from/(used in) operating activities		**19 711**	**2 135**
Cash flow from investing activities			
Pro rata share of net decrease/(increase) in the cash pool	8	(36 606)	(35 507)
Investment revenue presented as investing activities	25	14 664	11 668
Sale/(acquisition) of property, plant and equipment	14	154	(785)
Sale/(acquisition) of intangibles	15	(30)	–
Net cash flows from/(used in) investing activities		**(21 818)**	**(24 624)**
Cash flow from financing activities			
Adjustments to net assets		–	23 239
Net cash flows from/(used in) financing activities		**–**	**23 239**
Net increase/(decrease) in cash and cash equivalents		**(2 107)**	**750**
Cash and cash equivalents – beginning of year		37 801	37 051
Cash and cash equivalents – end of year	**7**	**35 694**	**37 801**

The accompanying notes to the financial statements are an integral part of these financial statements.

United Nations Human Settlements Programme

V. Statement of comparison of budget and actual amounts for the year ended 31 December 2024

(Thousands of United States dollars)

Budget part	*Publicly available budget*			*Actual expenditure (budget basis)*	*Difference (percentage)*[b]
	Original biennial	*Original annual*[a]	*Final annual*		
Foundation non-earmarked					
Reduced spatial inequality and poverty in communities across the urban-rural continuum	–	630.7	630.7	788.5	25.0
Enhanced shared prosperity of cities and regions	–	1 011.3	1 011.3	471.1	(53.4)
Strengthened climate action and improved urban environment	–	401.7	401.7	117.6	(70.7)
Effective urban crisis prevention and response	–	299.8	299.8	376.2	25.5
Subtotal	**–**	**2 343.5**	**2 343.5**	**1 753.4**	**(25.2)**
Policymaking organs	–	163.0	163.0	144.2	(11.5)
Executive direction and management	–	1 195.5	1 195.5	1 535.9	28.5
Programme support	–	272.4	272.4	403.7	48.2
Subtotal	**–**	**1 630.9**	**1 630.9**	**2 083.8**	**27.8**
Total, Foundation non-earmarked	**–**	**3 974.4**	**3 974.4**	**3 837.2**	**(3.5)**
Regular budget					
Section 15: Human settlements	–	13 018.4	13 018.4	11 868.2	(8.8)
Section 23: Regional programme of technical cooperation	–	1 440.3	1 440.3	1 103.1	(23.4)
Section 35: Development account[a]	–	1 120.0	1 120.0	1 115.9	(0.4)
Total, regular budget	**–**	**15 578.7**	**15 578.7**	**14 087.2**	**(32.6)**
Grand total	**–**	**19 553.1**	**19 553.1**	**17 924.4**	**(8.3)**

[a] Budget relates to the current year publicly available budgets which are approved for a one-year period.

[b] Actual expenditure (budget basis) less final budget. Differences greater than 10.0 per cent are considered in note 6.

The accompanying notes to the financial statements are an integral part of these financial statements.

United Nations Human Settlements Programme
Notes to the 2024 financial statements

Note 1
Reporting entity

The United Nations Human Settlements Programme and its activities

1. On 16 December 1974, the General Assembly adopted its resolution 3327 (XXIX), by which it created the United Nations Habitat and Human Settlements Foundation.

2. On 19 December 1977, the General Assembly adopted its resolution 32/162, by which it established a secretariat (the United Nations Centre for Human Settlements (Habitat)) and a Commission on Human Settlements.

3. On 21 December 2001, the General Assembly adopted its resolution 56/206, by which, with effect from 1 January 2002, it transformed the United Nations Centre for Human Settlements, including the United Nations Habitat and Human Settlements Foundation, into the United Nations Human Settlements Programme (UN-Habitat) and the Commission on Human Settlements into the Governing Council of the United Nations Human Settlements Programme. By the same resolution, the Assembly confirmed that the Executive Director of the United Nations Human Settlements Programme should be responsible for the management of the United Nations Habitat and Human Settlements Foundation and UN-Habitat would become an autonomous body and a separate reporting entity within the United Nations.

4. UN-Habitat is a separate financial reporting entity of the United Nations system owing to the uniqueness of the governance and budgetary process. Its financial statements comprise activities managed through various funds, including general and related funds, technical cooperation activities, general trust funds and other activities.

5. UN-Habitat is supported by a United Nations regular budget allocation and voluntary contributions from Governments, intergovernmental organizations, foundations, the private sector and other non-governmental sources. UN-Habitat headquarters is located on United Nations Avenue in Nairobi, Kenya, at the United Nations Office at Nairobi complex.

6. The objectives of UN-Habitat are as follows:

(a) To improve the shelter conditions of the world's poor and to ensure the development of sustainable human settlements;

(b) To monitor and assess progress towards the attainment of the Habitat Agenda goals and the targets of the Millennium Declaration and the Johannesburg Plan of Implementation on slums, safe drinking water and sanitation;

(c) To strengthen the formulation and implementation of urban and housing policies, strategies and programmes and to develop related capacities, primarily at the national and local levels;

(d) To facilitate the mobilization of investments from international and domestic sources in support of adequate shelter, related infrastructure development programmes and housing finance institutions and mechanisms, particularly in developing countries and in countries with economies in transition.

7. UN-Habitat undertook a major reform in 2011 to sharpen the programmatic focus of its mandate to address strategic urbanization challenges and achieve more efficient and effective service delivery, with the goal of maintaining its role as the lead programme of the United Nations for providing guidance and technical support on sustainable urbanization and shelter, both globally and at the regional and country

levels. These reforms were incorporated in the 2014–2019 strategic plan, which ended in the previous fiscal year.

8. UN-Habitat undertook further reforms in the 2018–2019 biennium which were implemented from the year 2019. These reforms included:

(a) Adoption of a new governance structure. The new governance structure comprises: the UN-Habitat Assembly; the Executive Board; and the Committee of Permanent Representatives. The UN-Habitat Assembly replaced the Governing Council. It is a universal body responsible for providing political leadership, strategic direction and oversight of the normative and policy work of UN-Habitat, including approval of its strategic plan, submitted by the Executive Board. The Assembly meets every four years. The Committee of Permanent Representatives convenes in an open-ended manner, twice every four years. The Executive Board comprises 36 members elected by the Assembly and meets two to three times in a year. It is responsible for the direct oversight of UN-Habitat normative and operational activities, including the approval of the UN-Habitat annual work programme and budget;

(b) Adoption of a new strategic plan for the period 2020–2023, which was approved by the UN-Habitat Assembly in May 2019. The strategic plan was extended to 2025 in June 2023. The plan underpins all UN-Habitat programmes of work from 2020 to 2025;

(c) A new organizational structure which complements the new governance structure in realizing the mandate of the organization through the new strategic plan.

9. The main strategic objectives of UN-Habitat were delivered through four subprogrammes and various policies:

(a) Reduced spatial inequality and poverty in communities across the urban-rural continuum, which provides policy and operational support to national and local governments to reduce inequality between and within communities, and to reduce poverty in communities across the urban-rural continuum through increased and equal access to basic services, sustainable mobility, accessible and safe public space, increased and secure access to land, adequate and affordable housing and effective human settlements growth and regeneration;

(b) Enhanced shared prosperity of cities and regions, which provides policy and operational support to national and local governments to enhance the shared prosperity of cities and regions through improved spatial connectivity and productivity, increased and equitably distributed locally generated revenue and expanded deployment of frontier technologies and innovation;

(c) Strengthened climate action and improved urban environment, which provides policy and operational support to national and local governments to strengthen climate action and improve urban environments through reducing greenhouse gas emissions and improving air quality, improving resource efficiency and protecting ecological assets, and through the effective adaptation of communities and infrastructure to climate change;

(d) Effective urban crisis prevention and response, which provides policy and operational support to national and local governments to enhance urban crisis prevention and response. This is done through promoting social integration and inclusive communities, improved living standards, the inclusion of migrants, refugees, internally displaced persons and returnees, and enhancing the resilience of the built environment and infrastructure.

Note 2
Basis of preparation and authorization for issue

Basis of preparation

10. In accordance with the Financial Regulations and Rules of the United Nations, the financial statements are prepared on an accrual basis in accordance with the International Public Sector Accounting Standards (IPSAS). They have been prepared on a going-concern basis and the accounting policies have been applied consistently in their preparation and presentation. In accordance with the requirements of IPSAS, the financial statements, which present fairly the assets, liabilities, revenue and expenses of the Programme, consist of the following:

(a) Statement of financial position (statement I);

(b) Statement of financial performance (statement II);

(c) Statement of changes in net assets (statement III);

(d) Statement of cash flows (using the indirect method) (statement IV);

(e) Statement of comparison of budget and actual amounts (statement V);

(f) Notes to the financial statements comprising a summary of significant accounting policies and other explanatory notes;

(g) Comparative information in respect of all amounts presented in the financial statements indicated in (a) to (d) above and, where relevant, comparative information for narrative and descriptive information presented in the notes to these financial statements.

Going concern

11. The going-concern assertion is based on the approval by the General Assembly of the regular budget appropriations for 2025 in its resolution 79/259, the positive historical trend of collection of assessed and voluntary contributions over the past years and the fact that the Assembly has taken no decision to cease the operations of UN-Habitat.

Authorization for issue

12. These financial statements are certified by the Controller and approved by the Secretary-General. In accordance with financial regulation 6.2, the Secretary-General transmitted the financial statements as at 31 December 2024 to the Board of Auditors by 31 March 2025. In accordance with financial regulation 7.12, the reports of the Board of Auditors are to be transmitted to the General Assembly through the Advisory Committee on Administrative and Budgetary Questions, together with the audited financial statements.

Measurement basis

13. These financial statements are prepared using the historical cost convention, except for financial investments held in the cash pool recorded at fair value through net asset/equity.

Functional and presentation currency

14. The functional currency and the presentation currency of the organization is the United States dollar. The financial statements are expressed in thousands of United States dollars unless otherwise stated.

15. Transactions in currencies other than the functional currency (foreign currencies) are translated into United States dollars at the United Nations operational rate of exchange as at the date of the transaction. The United Nations operational rates of exchange approximate the spot rates prevailing at the dates of the transactions. At year end, monetary assets and liabilities denominated in foreign currencies are translated at the United Nations operational rates of exchange. Non-monetary foreign currency-denominated items that are measured at fair value are translated at the United Nations operational rate of exchange at the date on which the fair value was determined. Non-monetary items measured at historical cost in a foreign currency are not translated at year end.

16. Foreign exchange gains and losses resulting from the settlement of foreign currency transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year-end exchange rates are recognized in the statement of financial performance on a net basis.

Materiality and use of judgment and estimation

17. Materiality is central to the preparation and presentation of the organization's financial statements, and its materiality framework provides a systematic method in guiding accounting decisions relating to presentation, disclosure, aggregation, offsetting and retrospective versus prospective application of changes in accounting policies. In general, an item is considered material if its omission or its aggregation would have an impact on the conclusions or decisions of the users of the financial statements.

18. Preparing financial statements in accordance with IPSAS requires the use of estimates, judgments and assumptions in the selection and application of accounting policies and in the reported amounts of certain assets, liabilities, revenue and expenses.

19. Accounting estimates and underlying assumptions are reviewed on an ongoing basis and revisions to estimates are recognized in the year in which the estimates are revised and in any future year affected. Significant estimates and assumptions that may result in material adjustments in future years include: actuarial measurement of employee benefits; selection of useful lives and the depreciation/amortization methods for property, plant and equipment/intangible assets; impairment of assets; classification of financial instruments; valuation of inventory; inflation and discount rates used in the calculation of the present value of provisions; and classification of contingent assets/liabilities.

Future accounting pronouncements

20. The progress and impact of the following significant IPSAS Board accounting pronouncements on the financial statements of UN-Habitat continue to be monitored:

(a) Exposure draft 1: Climate-related disclosures, proposes requirements for public sector entities to disclose information about climate-related risks to and opportunities for their own operations and climate-related public policy programmes and their outcomes;

(b) Exposure draft 92: Tangible natural resources, proposes accounting for tangible natural resources and fills a gap in the Board's framework;

(c) Other pronouncements issued during the year, which include the following:

(i) A project on concessionary leases and other arrangements conveying rights over assets, which introduced amendments to IPSAS 43, IPSAS 47 and

IPSAS 48 (on, respectively, leases, revenue and transfer expenses). It was approved in June 2024 and will come into effect in January 2027. Concessionary leases are leases at below-market rate and are very common in the public sector. The goal of the project was to enhance the transparency and comparability between financial statements of entities that acquire assets or right-to-use assets without the exchange of consideration;

(ii) "Amendments to IPSAS Standards: Specific IFRIC Interpretations", which introduces additional guidance to clarify the application of existing accounting principles. These amendments were approved in December 2024 and will come into effect on 1 January 2026;

(iii) "Improvements to IPSAS, 2023", published in April 2024, which includes minor improvements to accrual basis IPSAS that arise through publications of the International Accounting Standards Board.

Recent and future requirements of the International Public Sector Accounting Standards

21. The IPSAS Board issued the following standards:

(a) IPSAS 43: Leases, issued in January 2022 and effective 1 January 2025;

(b) IPSAS 44: Non-current assets held for sale and discontinued operations, issued in May 2022 and effective 1 January 2025;

(c) IPSAS 45: Property, plant and equipment, issued in May 2023 and effective 1 January 2025;

(d) IPSAS 46: Measurement, issued in May 2023 and effective 1 January 2025;

(e) IPSAS 47: Revenue, issued in May 2023 and effective 1 January 2026;

(f) IPSAS 48: Transfer Expenses, issued in May 2023 and effective 1 January 2026;

(g) IPSAS 49: Retirement benefit plans, approved in September 2023 and effective 1 January 2026;

(h) IPSAS 50: Exploration for and evaluation of mineral resources, approved in September 2024 and effective 1 January 2027.

22. The impact of the above standards on the organization's financial statements and the comparative period therein has been evaluated to be as follows:

Standard	*Anticipated impact in the year of adoption*
IPSAS 43	IPSAS 43: Leases, replaced IPSAS 13: Leases aligning guidance with International Financial Reporting Standard 16. The newly issued standard introduces new contract and leases definitions and prescribes a right-of-use recognition and measurement model for all leases apart from those meeting short-term and low-value exemption categories. IPSAS 43 also provides additional guidance on the application of the risks and rewards model for lessor accounting. Adoption of the standard is mandatory for the financial year ending 31 December 2025. The operational processes and policy guidance are currently being updated for the implementation of IPSAS 43, which will be reported in the 2025 year-end financial statements. The broadened leases definition is estimated to result in the recognition of more binding arrangements as leases, with a corresponding increase in lease liabilities and right-of-use assets.

Standard	*Anticipated impact in the year of adoption*
IPSAS 44	IPSAS 44: Non-current assets held for sale and discontinued operations, promulgates accounting for assets held for sale and the presentation and disclosure requirements of discontinued operations, in alignment with International Financial Reporting Standard 5. Adoption of the standard is mandatory for the financial year ending 31 December 2025. Given the definitions and scope of non-current assets held for sale, the recognition and measurement impacts are, on a preliminarily basis, estimated as not significant for the organization, given that the presentation and disclosure changes will depend on the identification of discontinued operations, if any, in the future, starting on 1 January 2025.
IPSAS 45	IPSAS 45: Property, plant and equipment, replaces IPSAS 17: Property, plant and equipment. IPSAS 45 changes scope exclusion for heritage property, plant and equipment, provides application and implementation guidance on infrastructure assets and captures property, plant and equipment-related measurement impacts from IPSAS 46. The measurement basis will not change and there is no significant impact on the financial statements with the application of the updated standard.
IPSAS 46	IPSAS 46: Measurement, is the IPSAS Board's first measurement-dedicated standard, which draws upon International Financial Reporting Standard 13, Fair value measurement, with the addition of public sector-specific elements, including the current operational value measurement basis. The adoption of IPSAS 46 will not change the organization's accounting policy choice to apply the historical cost model to tangible and intangible assets.
IPSAS 47	IPSAS 47: Revenue, replaces the three existing revenue standards: (a) IPSAS 9: Revenue from exchange transactions; (b) IPSAS 11: Construction contracts; (c) IPSAS 23: Revenue from non-exchange transactions (taxes and transfers). IPSAS 47 aligns with the IPSAS Board's Conceptual Framework for General Purpose Financial Reporting by Public Sector Entities and presents two accounting models based on the existence of a binding arrangement. Where a binding arrangement exists, revenue accounting is aligned with International Financial Reporting Standard 15: Revenue from contracts with customers. Otherwise, the accounting model is consistent with the core principles of IPSAS 23. Adoption of the standard is mandatory for financial reporting for the financial year ending 31 December 2026. The impact of IPSAS 47 will be assessed prior to the 1 January 2026 effective date.
IPSAS 48	IPSAS 48: Transfer expenses, provides guidance on accounting for transfer expenses. The transfer expense model aligns with the Conceptual Framework and presents two accounting models based on the existence of a binding arrangement. The impact of IPSAS 48 will be assessed prior to the 1 January 2026 effective date.
IPSAS 49	IPSAS 49: Retirement benefit plans, aligns with International Accounting Standard 26: Accounting and reporting by retirement benefit plans, and prescribes the accounting and reporting requirements for public sector retirement benefit plans, which primarily provide benefits to retired public sector employees. A retirement benefit plan that prepares and presents financial statements under the accrual basis

Standard	*Anticipated impact in the year of adoption*
	of accounting shall apply IPSAS 49. The standard does not deal with other forms of employment benefits, such as employment termination benefit or health and welfare plans. The impact of IPSAS 49 will be assessed prior to the 1 January 2026 effective date.
IPSAS 50	IPSAS 50: Exploration for and evaluation of mineral resources, is aligned with International Financial Reporting Standard 6 and provides guidance related to the costs incurred for exploration for, and evaluation of, mineral resources, as well as the costs of determining the technical feasibility and commercial viability of extracting the mineral resources. The assessment is that IPSAS 50 will have no impact on financial reporting of the organization's operations.

Note 3
Significant accounting policies

Financial assets: measurement and classification

23. The organization classifies its financial assets in one of the following categories at initial recognition and re-evaluates the classification at each reporting date (see table below). The classification of financial assets depends primarily on the purpose for which the financial assets are acquired.

Categories of financial assets

Classification	*Financial assets*
Fair value through net assets/equity	Investments in cash pools
Amortized cost	Cash and cash equivalents and receivables

24. All financial assets are initially measured at fair value. The organization initially recognizes financial assets classified as loans and receivables on the date on which they originated. All other financial assets are recognized initially on the trade date, which is the date the organization becomes party to the contractual provisions of the instrument.

25. Financial assets with maturities in excess of 12 months as at the reporting date are categorized as non-current assets in the financial statements. Assets denominated in foreign currencies are translated into United States dollars at the United Nations operational rate of exchange prevailing as at the reporting date, with net gains or losses recognized in surplus or deficit in the statement of financial performance.

26. Financial assets are recognized at fair value through net asset/equity after an assessment of their contractual cash flows characteristics as well as the determination of the organization's management model of such financial assets, which is both to collect contractual cash flows and to sell the financial assets. These assets are measured at fair value at each reporting date, and any gains or losses arising from changes in the fair value are presented within a fair value reserve in the statement of net assets in the period in which they arise.

27. Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They are initially recorded at fair value plus transaction costs and subsequently reported at amortized

cost, calculated using the effective interest method. Interest revenue is recognized on a time-proportion basis using the effective interest rate method on the respective financial asset.

28. Financial assets are assessed at each reporting date to determine whether there is objective evidence of impairment. Evidence of impairment includes default or delinquency of the counterparty or permanent reduction in value of the asset. Impairment losses are recognized in the statement of financial performance in the year in which they arise.

29. Financial assets are derecognized when the rights to receive cash flows have expired or have been transferred and the organization has transferred substantially all risks and rewards of the financial asset.

30. Financial assets and liabilities are offset, and the net amount is reported in the statement of financial position when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously.

Financial assets: investment in cash pools

31. The United Nations Treasury invests funds pooled from the United Nations Secretariat entities and other participating entities, including the organization. These pooled funds are combined in two internally managed cash pools. Participation in the cash pools implies sharing the risk and returns on investments with the other participants. Since the funds are commingled and invested on a pool basis, each participant is exposed to the overall risk of the investment's portfolio to the extent of the amount of cash invested.

32. The organization's investment in the cash pools is included as part of cash and cash equivalents and short- and long-term investments in the statement of financial position, depending on the maturity period of the investments.

33. The cash pools are subject to an expected credit loss for the reporting period. The expected credit loss on investments is calculated using the Fitch default rating, with a combination of the Fitch issuer rating and the type of issuer. The historical default rates are derived by Fitch using historical data over a period of three years. The Fitch rating by type of issuer is obtained for each investment position. The default rate is obtained from the transition matrix for the specific type of issuer, for example, supranational, sovereign or corporate.

34. Due to its conservative and risk-averse investment strategy/model, the United Nations only invests in highly rated instruments. Consequently, most of the investments carry a zero-default rating and there is no history of non-collection in the past. The organization will therefore assess expected credit loss at the end of each reporting period and recognize an impairment loss if material.

Financial assets: cash and cash equivalents

35. Cash and cash equivalents comprise cash at bank and on hand, and short-term, highly liquid investments with a maturity of three months or less from the date of acquisition.

Financial assets: receivables from non-exchange transactions contributions receivable

36. Contributions receivable represent uncollected revenue from assessed and voluntary contributions committed to the organization by Member States, non-member States and other donors on the basis of enforceable agreements. These non-exchange receivables are stated at nominal value, less impairment for estimated

irrecoverable amounts, i.e. the loss allowance. Voluntary contributions receivable that will mature in more than 12 months, are reported at a discounted value calculated using the effective interest method. Voluntary contribution receivables, trade receivables and other receivables are subject to impairment using the expected credit loss model applicable to the donor or customer type.

Assessed contributions receivable

37. For assessed contributions receivable, the loss allowance is calculated using objective historical evidence of collections of the portfolio of receivables (in this case, Member States).

38. For ongoing IPSAS 41 compliance, payment data are monitored for any indication of changes in payment patterns. Where data are indicative of expected credit loss, loss allowance is recognized in accordance with IPSAS 41.

39. The forward-looking model applies historical percentages of previous credit losses as the basis for determining the expected credit losses of receivable balances. This historical percentage is updated at each year-end. The organization operates in a worldwide environment with dynamic macroeconomic variables and it is therefore difficult to factor the worldwide gross domestic product growth rate in the calculation of the loss allowance. On the basis of the analysis of historical data on the collection history of assessed contributions receivables, no expected credit loss has been established for such receivables where no historical evidence of any loss pattern for Member States exists, except for the specific receivables detailed below, where under the forward-looking model the expected credit loss shall be provided for:

(a) Assessed contributions receivables from Member States that are subject to Article 19 of the Charter of the United Nations on voting rights restrictions in the General Assembly because of arrears equalling or exceeding the amount of the contributions due from them for the preceding two full years, are included in the loss allowance. These receivables carry a higher credit risk due to a historical pattern of non-payment or delays over a certain number of years;

(b) Assessed contributions receivables that are past due for which the General Assembly has granted special treatment as regards to unpaid assessed contributions;

(c) Assessed contributions receivables outstanding for completed projects, for closed missions and for contested outstanding balances are included in the loss allowance since it is unknown if collection will be made;

(d) Long outstanding pre-2016 balances from Member States that remain unsettled until today are included in the loss allowance since there is an elevated risk of credit loss.

Voluntary contributions receivables

40. Voluntary contributions receivables have distinct characteristics compared with conventional receivables classified as financial assets. These distinctions include:

(a) Variability in amounts. Owing to their voluntary nature, the amounts associated with voluntary contributions receivables can vary, as they may fluctuate based on future funding requirements for project implementation and the intentions of donors;

(b) Flexible due date. Due dates for voluntary contributions receivables are highly adaptable and subject to adjustment in alignment with the progress of the related project implementation.

41. The inherent variability of the pledged amounts and the flexibility of due dates pose substantial challenges in formulating a reasonable estimation of loss allowance for voluntary contributions receivables. The historical amount of write-off instances over the aggregate value of voluntary contribution receivables is relatively small. The organization has therefore assessed a loss allowance on voluntary contributions on a case-by-case basis, therefore creating a 100 per cent loss allowance for delinquent receivables that are identified as uncollectible.

42. The non-trust funds voluntary contributions receivables and trust funds with a partially assessed nature will be assessed for loss allowance from historical payment pattern.

Financial assets: receivables from exchange transactions – other accounts receivables

43. Other receivables include primarily amounts receivable for goods or services provided to other entities, amounts receivable for operating lease arrangements and receivables from staff. Receivables from other United Nations reporting entities are also included in this category.

44. Other receivables are categorized by customer types with homogeneous characteristics for example, with same debt settlement patterns. The evolution of the outstanding balances is assessed over a period of years to determine the historical transition rate. The transition rate is reassessed at the end of each reporting period and applied to the exposure balance to determine the loss allowance.

Financial assets: loans receivable

45. Loans receivable consist of loans that have been given out to implementing partners under a revolving housing finance loan fund programme called Experimental Reimbursable Seeding Operations and are receivable in accordance with the amortization schedules. These loans are given at below-market rates.

Investments accounted for using the equity method

46. The equity method initially records an interest in a jointly controlled entity at cost and is adjusted thereafter for the post-acquisition change in the organization's share of net assets. The organization's share of the surplus or deficit of the investee is recognized in the statement of financial performance. The interest is recorded under non-current assets unless there is a net liability position, in which case it is recorded under non-current liabilities.

Other assets

47. Other assets include education grant advances and prepayments, including advances for the United Nations Development Programme (UNDP) Service Clearing Account, that are recorded as an asset until goods are delivered or services are rendered by the other party, at which point the expense is recognized.

Advance transfers

48. Advance transfers relate mainly to cash transferred to executing agencies/ implementing partners as an advance in order for them to provide agreed goods or services. Advances issued are initially recognized as assets, and then expenses are recognized when goods are delivered or services are rendered by the executing agencies/implementing partners and confirmed by receipt of certified expense reports, as applicable. In instances where the partner has not provided financial reports as expected, programme managers make an informed assessment as to whether an accrual is needed.

Inventories

49. Inventory balances are recognized as current assets and include the categories and subcategories set out in the table below.

Categories	*Subcategories*
Held for sale or external distribution	Books and publications, stamps
Raw materials and works in progress associated with items held for sale or external distribution	Construction materials/supplies, works in progress
Strategic reserves	Fuel reserves, bottled water and rations reserves
Consumables and supplies	Material holdings of consumables and supplies, including spare parts and medicines

50. The cost of inventory in stock is determined using the average price cost basis. The cost of inventories includes the cost of purchase plus other costs incurred in bringing the items to the destination and condition for use. A standard rate of 12.0 per cent of the cost of purchase is used in place of actual associated costs incurred. Inventory acquired through non-exchange transactions (namely, donated goods) is measured at fair value as at the date of acquisition. Inventories held for sale are valued at the lower of cost and net realizable value. Inventories held for distribution at no/nominal charge or for consumption in the production of goods/services are valued at the lower of cost and current replacement cost.

51. The carrying amount of inventories is expensed when inventories are sold, exchanged, distributed externally or consumed by the organization. Net realizable value is the net amount that is expected to be realized from the sale of inventories in the ordinary course of operations. Current replacement cost is the estimated cost that would be incurred to acquire the asset.

52. Holdings of consumables and supplies for internal consumption are capitalized in the statement of financial position only when material. Such inventories are valued by the periodic weighted average or the moving average methods on the basis of records available in the inventory management systems, such as Galileo and Umoja, which are validated through the use of thresholds, cycle counts and enhanced internal controls. Valuations are subject to impairment review, which takes into consideration the variances between moving average price valuation and current replacement cost, as well as slow-moving and obsolete items.

53. Inventories are subject to physical verification on the basis of value and risk as assessed by management. Valuations are net of write-downs from cost to current replacement cost/net realizable value, which are recognized in the statement of financial performance.

Heritage assets

54. Heritage assets are not recognized in the financial statements, but significant heritage assets are disclosed in the notes to the financial statements.

Property, plant and equipment

55. Property, plant and equipment are classified into different groups, on the basis of their nature, functions, useful life and valuation methodologies, such as vehicles; communications and information technology equipment; machinery and equipment; furniture and fixtures; and real estate assets (land, buildings, leasehold improvements, infrastructure and assets under construction). Recognition of property, plant and equipment is as follows:

(a) Property, plant and equipment are capitalized when their cost is greater than or equal to the threshold of $5,000 or $100,000 for leasehold improvements and self-constructed assets, respectively;

(b) All property, plant and equipment other than real estate assets are stated at historical cost, less accumulated depreciation and accumulated impairment losses. Historical cost comprises the purchase price, any costs directly attributable to bringing the asset to its location and condition, and the initial estimate of dismantling and site restoration costs. A standard rate of 2.0 per cent of the cost of purchase is used in place of actual associated costs incurred;

(c) Owing to the absence of historical cost information, real estate assets are initially recognized at fair value using a depreciated replacement cost methodology. Baseline costs per baseline quantity have been calculated by collecting construction cost data, utilizing in-house cost data (where it exists) or using external cost estimators for each catalogue of real estate assets. The baseline costs per baseline quantity adjusted for price escalation factor, size factor and location factor are applied to value the real estate asset and determine the replacement cost. Depreciation allowance deductions from the gross replacement cost to account for physical, functional and economic use of the assets have been made to determine the depreciated replacement cost of the assets;

(d) For property, plant and equipment acquired at nil or nominal cost, including donated assets, the fair value as at the date of acquisition is deemed to be the cost to acquire.

56. Property, plant and equipment are depreciated over their estimated useful lives using the straight-line method up to their residual value, except for land and assets under construction, which are not subject to depreciation. Given that not all components of a building have the same useful lives or the same maintenance, upgrade or replacement schedules, significant components of owned buildings are depreciated using the components approach. Depreciation commences in the month in which the organization gains control over an asset in accordance with international commercial terms and no depreciation is charged in the month of retirement or disposal. Given the expected pattern of usage of property, plant and equipment, the residual value is nil unless residual value is likely to be significant. The estimated useful lives of property, plant and equipment classes are set out in the table below.

57. As with other accounting estimates and underlying assumptions, estimated useful life assumptions are reviewed on an ongoing basis. Changes in accounting estimates result from new information, new developments, or more experience, for example, adjustment of the periodic consumption of an asset that results from the assessment of the present status of, and expected future benefits associated with assets. Such changes are accounted for as a change in the accounting estimate. It is recognized prospectively by including it as a surplus or deficit in the period of change and future periods, if the change affects both. Such prospective recognition is applied to transactions, other events and conditions from the date of the change in estimate.

58. Following recommendations of the Board of Auditors to review the useful lives of all classes of assets, the organization carried out a system-wide survey with the support of the Task Force on Accounting Standards and analysed its own historical data on asset utilization, resulting in the revision of useful lives. The updated useful lives have been applied to the organization's property plant and equipment prospectively, starting 1 January 2023. The objective of the 2022 review of estimated useful lives was to determine if, on the basis of Umoja data and experience to date, revising useful life assumptions for future asset acquisitions would in the future provide more relevant and reliable information. The review concluded that 13 of the 25 asset subclasses in the table below should have revised estimated useful lives. The estimated useful lives of property, plant and equipment classes are set out below.

Estimated useful lives of property, plant and equipment classes

Class	*Subclass*	*Estimated useful life*
Communications and information technology equipment	Information technology equipment	4–5 years[a]
	Communications	7–8 years[a]
	Audiovisual equipment	7–10 years[a]
Vehicles	Light-wheeled vehicles	6–7 years[a]
	Marine vessels	10 years
	Specialized vehicles, trailers and attachments	6–12 years
	Heavy-wheeled and engineering support vehicles	12 years
Machinery and equipment	Light engineering and construction equipment	5–8 years[a]
	Medical equipment	5–6 years[a]
	Security and safety equipment	5–6 years[a]
	Mine detection and clearing equipment	5 years
	Water treatment and fuel distribution equipment	7–10 years[a]
	Ground transportation equipment	7–10 years[a]
	Heavy engineering and construction equipment	10–12 years[a]
	Printing and publishing equipment	20 years
Furniture and fixtures	Library reference material	3 years
	Office equipment	4–5 years[a]
	Fixtures and fittings	7–10 years[a]
	Furniture	10 years
Buildings	Temporary and mobile buildings	7–10 years[a]
	Fixed buildings	Up to 50 years
	Major building components	Up to 50 years
	Finance lease or donated right-to-use buildings	Shorter of term of arrangement or life of building
Infrastructure assets	Telecommunications, energy, protection, transport, waste and water management, recreation, landscaping	Up to 50 years
Leasehold improvements	Fixtures, fittings and minor construction work	Shorter of lease term or 5 years

[a] In 2023, following the review of the estimates of the periods over which asset subclasses are expected to be available for use, estimated useful lives for 13 subclasses were increased.

59. In exceptional cases, the recorded useful lives of some assets may be different from the useful lives prescribed at the asset subclass level as set out above (although they would remain within the range at asset class level), because when preparing the 2014 IPSAS opening balance, a thorough review of the remaining economic useful lives of those assets was made and the result entered in the master record of the asset.

60. Where there is a material cost value of fully depreciated assets that are still in use, adjustments to accumulated depreciation and property, plant and equipment are incorporated into the financial statements to reflect a depreciation floor of 10.0 per cent of historical cost on the basis of an analysis of the classes and useful lives of the fully depreciated assets.

61. The organization elected to use the cost model for measurement of property, plant and equipment after initial recognition instead of the revaluation model. Costs incurred subsequent to initial acquisition are capitalized only when it is probable that future economic benefits or service potential associated with the item will flow to the organization and the subsequent cost exceeds the threshold for initial recognition. Repairs and maintenance are expensed in the statement of financial performance in the year in which they are incurred.

62. A gain or loss resulting from the disposal or transfer of property, plant and equipment arises where proceeds from disposal or transfer differ from its carrying amount. Those gains or losses are recognized in the statement of financial performance in other revenue or other expenses.

63. Impairment assessments are conducted during annual physical verification procedures and when events or changes in circumstances indicate that carrying amounts may not be recoverable. Land, buildings and infrastructure assets with a year-end net book value greater than $100,000 per unit are reviewed for impairment at each reporting date. The equivalent threshold for other property, plant and equipment items (excluding assets under construction and leasehold improvements) is $5,000.

Intangible assets

64. Intangible assets are carried at cost, less accumulated amortization and accumulated impairment loss. For intangible assets acquired at nil or nominal cost, including donated assets, the fair value as at the date of acquisition is deemed to be the cost to acquire. The threshold for recognition is $100,000 for internally generated intangible assets and $5,000 per unit for externally acquired intangible assets.

65. Acquired computer software licences are capitalized on the basis of costs incurred to acquire and bring to use the specific software. Development costs that are directly associated with the development of software for use by the organization are capitalized as an intangible asset. Directly associated costs include software development employee costs, consultant costs and other applicable overhead costs.

66. Intangible assets with definite useful lives are amortized on a straight-line method over their estimated useful lives, starting from the month of acquisition or when the intangible assets become operational.

67. The useful lives of major classes of intangible assets have been estimated as shown in the table below.

Estimates of useful lives of major classes of intangible assets

Class	*Range of estimate of useful life*
Software acquired externally	3–10 years
Software developed internally	3–10 years
Licences and rights	2–6 years (period of licence/right)
Copyrights	3–10 years
Assets under development	Not amortized

68. Annual impairment reviews of intangible assets are conducted where assets are under construction or have an indefinite useful life. Other intangible assets are subject to impairment review only when indicators of impairment are identified.

Financial liabilities: classification

69. Financial liabilities are classified as "other financial liabilities". They include accounts payable, transfers payable, unspent funds held for future refunds, and other liabilities. Financial liabilities classified as other financial liabilities are initially recognized at fair value and subsequently measured at amortized cost. Financial liabilities with a duration of less than 12 months are recognized at their nominal value. The organization re-evaluates the classification of financial liabilities at each reporting date and derecognizes financial liabilities when its contractual obligations are discharged, waived, cancelled or expired.

Financial liabilities: accounts payable and accrued liabilities

70. Accounts payables and accrued liabilities arise from the purchase of goods and services that have been received but not paid for as at the reporting date. Payables are recognized and subsequently measured at their nominal value, as they are generally due within 12 months.

Financial liabilities: transfers payable

71. Transfers payable relate to amounts owed to executing entities/implementing agencies and partners and residual balances due to be returned to donors.

Advance receipts and other liabilities

72. Advance receipts relate to contributions or payments received in advance, assessed or voluntary contributions received for future years and other deferred revenue. Advance receipts are recognized as revenue at the start of the relevant financial year or on the basis of the organization's revenue recognition policies. Other liabilities include liabilities for conditional funding arrangements and other miscellaneous items.

Leases: the organization as lessee

73. Leases of property, plant and equipment where the organization has substantially all of the risks and rewards of ownership are classified as finance leases. Finance leases are capitalized at the start of the lease at the lower of fair value or the present value of the minimum lease payments. The rental obligation, net of finance charges, is reported as a liability in the statement of financial position. Assets acquired under finance leases are depreciated in accordance with the organization's policy on

property, plant and equipment. The interest element of the lease payment is charged to the statement of financial performance as an expense over the lease term on the basis of the effective interest rate method.

74. Leases where all of the risks and rewards of ownership are not substantially transferred to the organization are classified as operating leases. Payments made under operating leases are charged to the statement of financial performance as an expense on a straight-line basis over the period of the lease.

Leases: the organization as lessor

75. The organization is the lessor for certain assets subject to operating leases. Assets subject to operating leases are reported within property, plant and equipment. Lease revenue from operating leases is recognized in the statement of financial performance over the lease term on a straight-line basis.

Donated rights to use

76. The organization occupies land and buildings and uses infrastructure assets, machinery and equipment through donated right-to-use agreements granted primarily by host Governments at nil or nominal cost. On the basis of the term of the agreement and the clauses on transfer of control and termination contained in the agreement, the donated right-to-use arrangement is accounted for as an operating lease or finance lease.

77. In the case of an operating lease, an expense and corresponding revenue equal to the annual market rent of similar properties is recognized in the financial statements. In the case of a finance lease (principally with a lease term of more than 35 years for premises), the fair market value of the property is capitalized and depreciated over the shorter of the useful life of the property or the term of the arrangement. If property is transferred with specific conditions, deferred revenue for the amount is recognized equal to the entire fair market value of the property (or share of the property) occupied by the organization, which is progressively recognized as revenue and offsets the corresponding depreciation charge. If property is transferred without any specific condition, revenue for the same amount is recognized immediately upon assuming control of the property. Donated right-to-use land arrangements are accounted for as operating leases where the organization does not have exclusive control over the land and/or title to the land is transferred under restricted deeds.

78. Long-term donated right-to-use building and land arrangements are accounted for as operating leases where the organization does not have exclusive control over the building and title to the land is not granted.

79. Where title to the land is transferred to the organization without restrictions, the land is accounted for as donated property, plant and equipment and recognized at fair value at the acquisition date.

80. The threshold for the recognition of revenue and expense is a yearly rental value equivalent to $5,000 for donated right-to-use premises and $5,000 for machinery and equipment.

Employee benefits

81. Employees comprise staff members, as described under Article 97 of the Charter of the United Nations, whose employment and contractual relationship with the organization are defined by a letter of appointment subject to regulations promulgated by the General Assembly pursuant to Article 101, paragraph 1, of the Charter.

Employee benefits are classified into short-term benefits, long-term benefits, post-employment benefits and termination benefits.

Short-term employee benefits

82. Short-term employee benefits are employee benefits (other than termination benefits) that are payable within 12 months after the end of the year in which the employee renders the related services. Short-term employee benefits comprise first-time employee benefits (assignment grants), regular daily/weekly/monthly benefits (wages, salaries, allowances), compensated absences (paid sick leave, maternity/paternity leave) and other short-term benefits (death grant, education grant, reimbursement of taxes, home leave) provided to current employees on the basis of services rendered. All such benefits that are accrued but not paid are recognized as current liabilities within the statement of financial position.

Post-employment benefits

83. Post-employment benefits comprise the after-service health insurance plan and end-of-service repatriation benefits that are accounted for as defined-benefit plans, in addition to the pension through the United Nations Joint Staff Pension Fund.

Defined-benefit plans

84. The following benefits are accounted for as defined-benefit plans: after-service health insurance; repatriation benefits (post-employment benefits); and accumulated annual leave that is commuted to cash upon separation from the organization (other long-term benefits). Defined-benefit plans are those where the organization's obligation is to provide agreed benefits, and therefore the organization bears the actuarial risks. The liability for defined-benefit plans is measured at the present value of the defined-benefit obligation. Changes in the liability for defined-benefit plans, excluding actuarial gains and losses, are recognized in the statement of financial performance in the year in which they occur. The organization has elected to recognize changes in the liability for defined-benefit plans from actuarial gains and losses directly through the statement of changes in net assets. As at the end of the reporting year, the organization did not hold any plan assets as defined by IPSAS 39: Employee benefits.

85. The defined-benefit obligations are calculated by independent actuaries using the projected unit credit method. The present value of the defined-benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds with maturity dates approximating those of the individual plans.

86. After-service health insurance provides worldwide coverage for necessary medical expenses of eligible former staff members and their dependants. Upon end of service, staff members and their dependants may elect to participate in a defined-benefit health insurance plan of the United Nations, provided they have met certain eligibility requirements, including 10 years of participation in a United Nations health insurance plan for those who were recruited after 1 July 2007 and 5 years for those who were recruited prior to that date. The after-service health insurance liability represents the present value of the share of the organization's medical insurance costs for retirees and the post-retirement benefit accrued to date by active staff. A factor in the valuation is to consider contributions by all plan participants in determining the organization's residual liability. Contributions from retirees are deducted from the gross liability and a portion of the contributions from active staff is also deducted to arrive at the organization's residual liability, in accordance with cost-sharing ratios authorized by the General Assembly.

87. Repatriation benefits: upon end of service, staff who meet certain eligibility requirements, including residency outside their country of nationality at the time of separation, are entitled to a repatriation grant, which is based on length of service, and travel and removal expenses. A liability is recognized from when the staff member joins the organization and is measured as the present value of the estimated liability for settling these entitlements.

88. Annual leave: the liabilities for annual leave represent unused accumulated leave days that are projected to be settled through a monetary payment to employees upon their separation from the organization. The United Nations recognizes as a liability the actuarial value of the total accumulated unused leave days of all staff members, up to a maximum of 60 days (18 days for temporary staff) as at the date of the statement of financial position. The methodology applies a last-in-first-out assumption in the determination of the annual leave liabilities, whereby staff members access current period leave entitlements before they access accumulated annual leave balances relating to prior periods. Effectively, the accumulated annual leave benefit is accessed more than 12 months after the end of the reporting period in which the benefit arose and, overall, there is an increase in the level of accumulated annual leave days, pointing to the commutation of accumulated annual leave to a cash settlement at the end of service as the true liability of the organization. The accumulated annual leave benefit reflecting the outflow of economic resources from the organization at the end of service is therefore classified under the category of other long-term benefits, it being noted that the portion of the accumulated annual leave benefit that is expected to be settled through monetary payment within 12 months after the reporting date is classified as a current liability. In line with IPSAS 39, other long-term benefits must be valued similarly to post-employment benefits; therefore, the United Nations values its accumulated annual leave benefit liability as a defined, post-employment benefit that is actuarially valued.

Pension plan: United Nations Joint Staff Pension Fund

89. UN-Habitat is a member organization participating in the United Nations Joint Staff Pension Fund, which was established by the United Nations General Assembly to provide retirement, death, disability and related benefits to employees. The Fund is a funded, multi-employer defined benefit plan. As specified in article 3 (b) of the Regulations of the Fund, membership in the Fund shall be open to the specialized agencies and to any other international, intergovernmental organization which participates in the common system of salaries, allowances and other conditions of service of the United Nations and the specialized agencies

90. The Fund exposes participating organizations to actuarial risks associated with the current and former employees of other organizations participating in the Fund, with the result that there is no consistent and reliable basis for allocating the obligation, plan assets and costs to individual organizations participating in the Fund. UN-Habitat and the Fund, in line with the other participating organizations in the Fund, are not in a position to identify the proportionate share of UN-Habitat of the defined benefit obligation, the plan assets and the costs associated with the plan with sufficient reliability for accounting purposes. Hence, UN-Habitat has treated this plan as if it were a defined contribution plan in line with the requirements of IPSAS 39: Employee benefits. The contributions of UN-Habitat to the Fund during the financial period are recognized as employee benefit expenses in the statement of financial performance.

Termination benefits

91. Termination benefits are recognized as an expense only when the organization is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate the employment of a staff member before the normal retirement date or provide termination benefits as a result of an offer made in order to encourage voluntary redundancy. Termination benefits to be settled within 12 months are reported at the amount expected to be paid. Where termination benefits fall due more than 12 months after the reporting date, they are discounted if the impact of discounting is material.

Other long-term employee benefits

92. Other long-term employee benefit obligations are benefits, or portions of benefits, that are not due to be settled within 12 months after the end of the year in which employees provide the related service.

93. Appendix D to the Staff Rules of the United Nations governs compensation in the event of death, injury or illness attributable to the performance of official duties on behalf of the United Nations. Actuaries value these liabilities and actuarial gains or losses are recognized in the statement of changes in net assets.

Provisions

94. Provisions are liabilities recognized for future expenditure of uncertain amount or timing. A provision is recognized if, as a result of a past event, the organization has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. The amount of the provision is the best estimate of the expenditures expected to be required to settle the present obligation as at the reporting date. Where the effect of the time value of money is material, the provision is the present value of the amount required to settle the obligation.

Contingent liabilities

95. Any possible obligations that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the organization are disclosed as contingent liabilities. Contingent liabilities are also disclosed where present obligations that arise from past events cannot be recognized because it is not probable that an outflow of resources embodying economic benefits or service potential will be required to settle the obligations, or the amount of the obligations cannot be reliably measured.

96. Provisions and contingent liabilities are assessed continually to determine whether an outflow of resources embodying economic benefits or service potential has become more or less probable. If it becomes more probable that such an outflow will be required, a provision is recognized in the financial statements of the year in which the change of probability occurs. Similarly, where it becomes less probable that such an outflow will be required, a contingent liability is disclosed in the notes to the financial statements.

97. An indicative threshold of $10,000 applies in recognizing provisions and/or disclosing contingent liabilities in the notes to the financial statements.

Contingent assets

98. Contingent assets are possible assets that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the effective control of the organization. Contingent assets are disclosed in the notes to the financial statements when it is more likely than not that economic benefits will flow to the organization.

Commitments

99. Commitments are future expenses to be incurred by the organization on contracts entered into by the reporting date and that the organization has minimal, if any, discretion to avoid in the ordinary course of operations. Commitments include capital commitments (amount of contracts for capital expenses that are not paid or accrued by the reporting date), contracts for the supply of goods and services that will be delivered to the organization in future periods, non-cancellable minimum lease payments and other non-cancellable commitments.

Non-exchange revenue: assessed contributions

100. Assessed contributions for the organization comprise the UN-Habitat regular budget allocation. Assessed contributions are assessed and approved for a budget period of one or more years. A one-year proportion of the assessed contributions is recognized as revenue at the beginning of that year. Assessed contributions include the amounts assessed to the Member States to finance the activities of the organization in accordance with the agreed scale of assessments. Revenue from assessed contributions from Member States is presented in the statement of financial performance.

Non-exchange revenue: voluntary contributions

101. Voluntary contributions and other transfers that are supported by legally enforceable agreements are recognized as revenue at the time at which the agreement becomes binding, which is the point at which the organization is deemed to acquire control of the asset. However, where cash is received subject to specific conditions or when contributions are explicitly given for a specific operation to commence in a future financial year, recognition is deferred until those conditions have been satisfied. Revenue will be recognized up front for all conditional arrangements up to the threshold of $50,000.

102. Voluntary pledges and other promised donations are recognized as revenue when the arrangement becomes binding. Pledges and promised donations, as well as agreements not yet formalized by acceptance, are disclosed as contingent assets. For unconditional multi-year agreements, the full amount is recognized as revenue when the agreement becomes binding.

103. Unused funds returned to the donor are netted against revenue.

104. Revenue received under inter-organizational arrangements represents allocations of funding from agencies to enable the organization to administer projects or other programmes on their behalf.

105. In-kind contributions of goods above the recognition threshold of $5,000 are recognized as assets and revenue once it is probable that future economic benefits or service potential will flow to the organization and the fair value of those assets can be measured reliably.

106. Contributions in kind are initially measured at their fair value as at the date of receipt determined by reference to observable market values or by independent

appraisals. The organization has elected not to recognize in-kind contributions of services but to disclose in-kind contributions of services above a threshold of $5,000 in the notes to the financial statements.

Exchange revenue

107. Exchange transactions are those in which the organization sells goods or services. Revenue comprises the fair value of consideration received or receivable for the sale of goods and services. Revenue is recognized when it can be reliably measured, when the inflow of future economic benefits is probable and when specific criteria have been met, as follows:

(a) Revenue from sales of publications, books and stamps by the United Nations Gift Centre is recognized when the sale occurs, and risks and rewards have been transferred;

(b) Revenue from commissions and fees for technical, procurement, training, administrative and other services rendered to Governments, United Nations entities and other partners is recognized when the service is performed;

(c) Exchange revenue also includes income from the rental of premises, the sale of used or surplus property, services provided to visitors in relation to guided tours and income from net gains resulting from currency exchange adjustments;

(d) An indirect cost recovery called a “programme support cost” is charged to trust funds as a percentage of direct costs, including commitments and other “extrabudgetary” activities, to ensure that the additional costs of supporting activities financed from extrabudgetary contributions are not borne by assessed funds and/or other core resources of the Secretariat. The programme support cost is eliminated for the purposes of the preparation of financial statements, as disclosed in note 5, Segment reporting. The funding for the programme support cost charge agreed upon with the donor is included as part of voluntary contributions.

Investment revenue

108. Investment revenue includes interest income and the organization’s net share of cash pool investment income and transaction costs associated with the operation of investments.

109. The net cash pool revenue includes any gains and losses on the sale of investments, which are calculated as the difference between the sales proceeds and book value. Transaction costs that are directly attributable to the investment activities are netted against revenue, and the net revenue is distributed proportionately to all cash pool participants on the basis of their average daily balances.

Expenses

110. Expenses are decreases in economic benefits or service potential during the reporting year in the form of outflows or consumption of assets or incurrence of liabilities that result in decreases in net assets and are recognized on an accrual basis when goods are delivered and services are rendered, regardless of the terms of payment.

111. Employee salaries include international, national and general temporary staff salaries, post adjustments and staff assessments. The allowances and benefits include other staff entitlements, including pension and insurance, staff assignment, repatriation, hardship and other allowances. Non-employee compensation and allowances consist of United Nations Volunteers living allowances and post-employment benefits, consultant and contractor fees, ad hoc experts, International

Court of Justice judges' allowances and non-military personnel compensation and allowances.

112. Supplies and consumables relate to the cost of inventory used and expenses for supplies and consumables.

113. Grants and other transfers include outright grants and transfers to implementing agencies, partners and other entities as well as quick-impact projects. For outright grants, an expense is recognized at the point at which the organization has a binding obligation to pay.

114. Programme activities, distinct from commercial or other arrangements where the United Nations expects to receive equal value for funds transferred, are implemented by executing entities/implementing partners to service a target population that typically includes Governments, non-governmental organizations and agencies of the United Nations system. Transfers to implementing partners are initially recorded as advances, and balances that are not expensed during the year remain outstanding at the end of the year and are reported in the statement of financial position. These executing entities/implementing partners provide the organization with certified expense reports documenting their use of resources, which are the basis for recording expenses in the statement of financial performance. In instances where the partner has not provided financial reports as expected, programme managers make an informed assessment as to whether an accrual or an impairment should be recorded against the advance and submit the accounting adjustment. Where a transfer of funds is deemed to be an outright grant, an expense is recognized at the point at which the organization has a binding obligation to pay, which is generally upon disbursement. Binding agreements to fund executing entities/implementing partners not paid out by the end of the reporting period are shown as commitments in the notes to the financial statements.

115. Other operating expenses include acquisition of goods and intangible assets under capitalization thresholds, maintenance, utilities, contracted services, training, security services, shared services, rent, insurance and loss allowance. Other expenses relate to in-kind contributions, hospitality and official functions, foreign exchange losses and donations or transfers of assets.

Multi-partner trust funds

116. Multi-partner trust fund activities are pooled resources from multiple financial partners that are allocated to multiple implementing entities to support specific national, regional or global development priorities. They are assessed to determine the existence of control and whether the organization is considered to be the principal of the programme or activity. Where control exists and the organization is exposed to the risks and rewards associated with the multi-partner trust fund activities, such programmes or activities are considered to be the organization's operations and are therefore reported in full in the financial statements.

Note 4
Prior period reclassification

117. During the financial year ended 31 December 2023, the organization adopted a policy of measuring its investments at fair value through net asset/equity. This change aligns with the requirements of IPSAS 41, Financial instruments. As a result of this change, a revaluation gain of $0.5 million (2023: revaluation loss of $0.9 million) was reclassified from unrestricted accumulated surplus to reserves. The reclassification made as at 1 January 2024 represents the initial adjustment to reflect the fair value of the investments separately. There was no material impact on the

financial statements other than a reclassification of the fair value reserve from accumulated surplus, within net assets.

Note 5
Segment reporting

118. A segment is a distinguishable activity or group of activities for which financial information is reported separately in order to evaluate an entity's past performance in achieving its objectives and for making decisions about the future allocation of resources.

119. Segment reporting information is provided on the basis of six segments:

(a) Foundation non-earmarked;

(b) Regular budget;

(c) Foundation earmarked;

(d) Technical cooperation;

(e) Programme support;

(f) End-of-service and post-retirement benefits.

120. Both the statement of financial position and the statement of financial performance are as shown below.

All funds – statement of financial position as at 31 December 2024, by segment

(Thousands of United States dollars)

	Foundation non-earmarked	*Foundation earmarked*	*Technical cooperation*	*Programme support*	*End-of-service and post-retirement benefits*	*Intersegment eliminations*	*31 December 2024*	*31 December 2023*
Assets								
Current assets								
Cash and cash equivalents	966	8 935	20 635	2 575	2 583	–	35 694	37 801
Investments	5 801	53 580	123 747	15 426	15 519	–	214 073	194 821
Voluntary contributions receivable	1 150	52 925	155 467	–	–	–	209 542	212 297
Other receivables	–	665	501	1 000	–	(2 104)	62	271
Advance transfers	75	5 952	35 109	–	–	–	41 136	36 265
Other assets	185	2 633	10 325	384	–	–	13 527	5 877
Total current assets	**8 177**	**124 690**	**345 784**	**19 385**	**18 102**	**(2 104)**	**514 034**	**487 332**
Non-current assets								
Investments	2 122	19 597	45 259	5 642	5 676	–	78 296	60 942
Voluntary contributions receivable	–	10 936	46 032	–	–	–	56 968	66 475
Property, plant and equipment	13	384	1 662	1	–	–	2 060	2 554
Intangible assets	–	–	27	–	–	–	27	–
Total non-current assets	**2 135**	**30 917**	**92 980**	**5 643**	**5 676**	**–**	**137 351**	**129 971**
Total assets	**10 312**	**155 607**	**438 764**	**25 028**	**23 778**	**(2 104)**	**651 385**	**617 303**
Liabilities								
Accounts payable and accrued liabilities	15	3 820	10 038	4 774	–	–	18 647	19 489
Funds received in advance and deferred revenue	–	–	–	–	–	–	–	32
Employee benefits liabilities	148	903	832	245	1 604	–	3 732	3 035
Liabilities for conditional arrangements	–	31 522	68 413	–	–	–	99 935	106 770
Provisions	–	–	–	–	–	–	–	–
Other liabilities	1 000	712	392	–	–	(2 104)	–	–
Total current liabilities	**1 163**	**36 957**	**79 675**	**5 019**	**1 604**	**(2 104)**	**122 314**	**129 326**

	Foundation non-earmarked	*Foundation earmarked*	*Technical cooperation*	*Programme support*	*End-of-service and post-retirement benefits*	*Intersegment eliminations*	*31 December 2024*	*31 December 2023*
Non-current liabilities								
Employee benefits liabilities	–	–	–	–	34 653	–	34 653	34 299
Total non-current liabilities	**–**	**–**	**–**	**–**	**34 653**	**–**	**34 653**	**34 299**
Total liabilities	**1 163**	**36 957**	**79 675**	**5 019**	**36 257**	**(2 104)**	**156 967**	**163 625**
Net of total assets and liabilities	**9 149**	**118 650**	**359 089**	**20 009**	**(12 479)**	**–**	**494 418**	**453 678**
Net assets								
Accumulated surplus/(deficit)	6 158	114 722	347 950	17 463	(12 451)	–	473 842	432 814
Reserves	2 991	3 928	11 139	2 546	(28)	–	20 576	20 864
Total net assets	**9 149**	**118 650**	**359 089**	**20 009**	**(12 479)**	**–**	**494 418**	**453 678**

All funds – statement of financial performance for the period ended 31 December 2024, by segment

(Thousands of United States dollars)

	Foundation non-earmarked	*Regular budget*	*Foundation earmarked*	*Technical cooperation*	*Programme support*	*End-of-service and post-retirement benefits*	*Intersegment eliminations*	*Total as at 31 December 2024*	*Total as at 31 December 2023*
Revenue									
Assessed contributions	–	15 619	–	–	–	–	–	15 619	16 578
Voluntary contributions	5 782	–	30 649	117 767	2	–	–	154 200	149 084
Other transfers and allocations	–	–	3 753	28 693	293	–	(121)	32 618	28 508
Investment revenue	402	–	3 507	8 553	1 199	1 003	–	14 664	11 668
Other revenue	43	–	4 387	5 751	13 315	2 705	(15 938)	10 263	9 555
Total revenue	**6 227**	**15 619**	**42 296**	**160 764**	**14 809**	**3 708**	**(16 059)**	**227 364**	**215 393**
Expenses									
Employee salaries, allowances and benefits	2 261	14 085	14 481	15 194	7 443	1 471	(2 688)	52 247	46 817
Non-employee compensation and allowances	234	832	11 202	27 767	500	–	–	40 535	37 129
Grants and other transfers	8	60	7 024	24 210	–	–	–	31 302	24 387
Supplies and consumables	7	5	311	875	10	–	–	1 208	1 053
Depreciation	10	21	59	212	3	–	–	305	421
Amortization	–	–	–	3	–	–	–	3	–
Travel	326	221	4 730	3 307	401	–	(121)	8 864	6 770
Other operating expenses	888	395	16 604	43 928	5 085	3	(13 250)	53 653	45 731
Other expenses	9	–	14	124	–	–	–	147	97
Total expenses	**3 743**	**15 619**	**54 425**	**115 620**	**13 442**	**1 474**	**(16 059)**	**188 264**	**162 405**
Surplus/(deficit) for the period	**2 484**	**–**	**(12 129)**	**45 144**	**1 367**	**2 234**	**–**	**39 100**	**52 988**

Note 6
Comparison to budget

121. The organization prepares budgets on a modified cash basis, as opposed to the IPSAS full accrual basis, as presented in the statement of financial performance, which reflects expenses by nature. The statement of comparison of budget and actual amounts (statement V) presents the difference between budget amounts and actual expenditure on a comparable basis.

122. Approved budgets are those that permit expenses to be incurred and are approved by the Executive Board. For IPSAS reporting purposes, approved budgets are the appropriations authorized for each category through General Assembly and Executive Board resolutions for regular budget and non-earmarked Foundation respectively.

123. The original budget amounts are the 2024 appropriations approved by the General Assembly and the Executive Board for the year 2024.

124. The final budget reflects the original budget appropriation with any amendments by the Executive Director in consideration of actual cash flows.

125. Differences between original and final budget amounts are considered in statement V.

126. Explanations for material differences between the final budget appropriation and actual expenditure on a modified accrual basis which are deemed to be those greater than 10.0 per cent are considered below.

Differences between actual and final annual budget amounts

Budget area	*Material differences greater than 10.0 per cent*
Foundation non-earmarked funds:	
Reduced spatial inequality and poverty in communities across the urban-rural continuum	Expenditure 25.0 per cent more than final budget
Enhanced shared prosperity of cities and regions	Expenditure 53.4 per cent less than final budget
Strengthened climate action and improved urban environment	Expenditure 70.7 per cent less than final budget
Effective urban crisis prevention and response	Expenditure 25.5 per cent more than final budget
Policymaking organs	Expenditure 11.5 per cent less than final budget
Executive direction and management	Expenditure 28.5 per cent more than final budget
Programme support	Expenditure 48.2 per cent more than final budget
Regular budget funds:	
Section 15: Human settlements	Within range
Section 23: Regional programme of technical cooperation	Expenditure 23.4 per cent less than final budget
Section 35: Development account	Within range

127. Actual expenditure for the budget areas varied due to the impact of the ongoing liquidity situation on programme planning and the rescheduling of activities to 2025 owing to personnel vacancies.

Reconciliation between actual amounts on a comparable basis and the statement of cash flows

128. A reconciliation between the actual amounts on a comparable basis in the statement of comparison of budget and actual amounts and the actual amounts in the statement of cash flows is shown in the table below.

Reconciliation of actual amounts on a comparable basis with the statement of cash flows

(Thousands of United States dollars)

Reconciliation	*Operating*	*Investing*	*Financing*	*Total 2024*
Actual amounts on comparable basis (statement V)	(17 824)	–	–	(17 824)
Basis differences[a]	(20 827)	124	–	(20 703)
Entity differences[b]	(168 902)	–	–	(168 902)
Presentation differences[c]	227 364	(21 942)	–	205 422
Actual amount in statement of cash flows (statement IV)	**19 711**	**(21 818)**	**–**	**(2 107)**

[a] Basis differences capture the differences resulting from preparing the budget on a modified cash basis. In order to reconcile the budgetary results with the statement of cash flows, the non-cash elements, such as unliquidated obligations, payments against prior-year obligations, property, plant and equipment, and outstanding assessed contributions, are included as basis differences.

[b] Entity differences represent cash flows of fund groups other than the organization that are reported in the financial statements. The financial statements include results for all fund groups.

[c] Presentation differences are differences in the format and classification schemes in the statement of cash flows and the statement of comparison of budget and actual amounts, which is related primarily to the latter not recording income and the net changes in cash pool balances.

Note 7
Cash and cash equivalents

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Cash pool	35 636	37 766
Other cash and cash equivalents	58	35
Total cash and cash equivalents	**35 694**	**37 801**

129. Cash and cash equivalents include trust fund monies, which are for the specific purposes of the respective trust funds.

Note 8
Investments

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Current		
Cash pool	214 073	194 821
Subtotal	**214 073**	**194 821**
Non-current		
Cash pool	78 296	60 942
Subtotal	**78 296**	**60 942**
Total	**292 369**	**255 763**

130. Investments include amounts in relation to trust funds.

Note 9
Receivables from non-exchange transactions: voluntary contributions

(Thousands of United States dollars)

	Current	*Non-current*	*31 December 2024*	*31 December 2023*
Member States	26 063	12 735	38 798	38 723
Other governmental organizations	50 023	19 958	69 981	79 481
United Nations organizations	23 517	5 217	28 734	30 395
Intergovernmental and non-governmental organizations	113 999	19 058	133 057	136 250
Total voluntary contributions receivable before loss allowance	**213 602**	**56 968**	**270 570**	**284 849**
Loss allowance on voluntary contribution receivable	(4 060)	–	(4 060)	(6 077)
Total voluntary contributions receivable	**209 542**	**56 968**	**266 510**	**278 772**

Note 10
Other receivables

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Other receivables (current)		
Other accounts receivable	51	281
Loans receivable	11	33
Subtotal	**62**	**314**
Loss allowance on other receivables	–	(43)
Total other receivables (current)	**62**	**271**

Note 11
Advance transfers

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Advances to implementing partners	41 136	36 265
Total advance transfers	**41 136**	**36 265**

Note 12
Other assets

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Advances to UNDP and other agencies of the United Nations system[a]	11 423	4 985
Advances to vendor	296	84
Advances to staff	1 278	450
Other personnel	–	1
Other assets – other	530	357
Other assets (current)	**13 527**	**5 877**

[a] Includes UNDP Service Clearing Account and advances to other entities to provide administrative and operational support services.

Note 13
Heritage assets

131. Certain assets are categorized as heritage assets because of their cultural, educational or historical significance. The organization's heritage assets were acquired over many years by various means, including purchase, donation and bequest. These heritage assets do not generate any future economic benefits or service potential; accordingly, the organization elected not to recognize heritage assets on the statement of financial position.

132. There were no heritage assets acquired during the reporting period.

Note 14
Property, plant and equipment

133. In accordance with IPSAS 17, opening balances of property, plant and equipment are initially recognized at cost or fair value as at 1 January 2014 and measured at cost thereafter. The opening balance for buildings was obtained on 1 January 2014 on the basis of depreciated replacement cost and was validated by external professionals. Machinery and equipment are valued using the cost method.

134. During the year, the organization registered a write-down on property, plant and equipment owing to accidents, malfunctions and other losses with a net book value of $0.02 million. As at the reporting date, the organization did not identify any impairment. Assets under construction represent projects of a capital nature begun by the organization on behalf of end-user communities that had not yet been finalized and handed over at year end. UN-Habitat did not have any outstanding assets under construction as at 31 December 2024.

Property, plant and equipment

(Thousands of United States dollars)

	Buildings	*Infrastructure assets*	*Assets under construction*[a]	*Machinery and equipment*	*Vehicles*	*Communications and information technology equipment*	*Furniture and fixtures*	*Total*
Cost as at 1 January 2024	**–**	**–**	**–**	**1 092**	**6 976**	**537**	**121**	**8 726**
Additions	–	–	–	(662)[c]	499	9	–	(154)
Transfers	–	–	–	–	–	–	–	–
Disposals	–	–	–	–	–	–	–	–
Retirement	–	–	–	(13)	(430)	(172)	(28)	(643)
Cost as at 31 December 2024	**–**	**–**	**–**	**417**	**7 045**	**374**	**93**	**7 929**
Accumulated depreciation as at 1 January 2024	**–**	**–**	**–**	**(368)**	**(5 278)**	**(438)**	**(88)**	**(6 172)**
Depreciation[b]	–	–	–	39[c]	(306)	(16)	(1)	(284)
Depreciation on retirements	–	–	–	13	425	160	28	626
Depreciation – post-capitalization	–	–	–		(39)	–	–	(39)
Disposals	–	–	–	–	–	–	–	–
Other movements	–	–	–	1	–	(1)	–	–
Accumulated depreciation as at 31 December 2024	**–**	**–**	**–**	**(315)**	**(5 198)**	**(295)**	**(61)**	**(5 869)**
Net carrying amount as at 31 December 2024	**–**	**–**	**–**	**102**	**1 847**	**79**	**32**	**2 060**

[a] Assets under construction are meant for distribution to project beneficiaries upon completion.
[b] Table excludes depreciation of $21,000 on assets in the communications and information technology equipment contributed by the regular budget segment.
[c] Adjustment to reverse recognition of assets incorrectly capitalized.

Note 15
Intangible assets

135. All intangible assets acquired before 1 January 2014, except for the capitalized costs associated with the Umoja project, are subject to IPSAS transition exemption and are therefore not recognized.

Intangible assets

(Thousands of United States dollars)

	Software acquired externally
Cost as at 1 January 2024	**32**
Additions	30
Cost as at 31 December 2024	**62**
Accumulated amortization and impairment as at 1 January 2024	**(32)**
Amortization	(3)
Accumulated amortization and impairment as at 31 December 2024	**(35)**
Net carrying amount as at 31 December 2024	**27**

Note 16
Accounts payable and accrued liabilities

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Vendor payables (accounts payable)	2 482	2 965
Payables to other United Nations entities	3 878	2 631
Transfers payable	–	–
Accruals for goods and services	1 842	5 641
Accounts payable – other	10 444	8 252
Payables to Member States	1	–
Total accounts payable and accrued liabilities	**18 647**	**19 489**

Note 17
Funds received in advance and deferred revenue

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Deferred revenue	–	32
Advance receipts from Member States	–	–
Total accounts payable and accrued liabilities	**–**	**32**

Note 18
Employee benefits liabilities

(Thousands of United States dollars)

	Current	*Non-current*	*31 December 2024*	*31 December 2023*
After-service health insurance	334	27 038	27 372	26 390
Annual leave	509	3 013	3 522	3 896
Repatriation benefits	761	4 602	5 363	5 723
Subtotal, defined benefit liabilities	**1 604**	**34 653**	**36 257**	**36 009**
Accrued salaries and allowances	1 864	–	1 864	1 120
Pension contribution liabilities	263	–	263	203
Insurance liabilities	1	–	1	2
Total, employee benefits liabilities	**3 732**	**34 653**	**38 385**	**37 334**

136. The liabilities arising from end-of-service/post-employment benefits and the workers' compensation programme under appendix D to the Staff Rules of the United Nations are determined by independent actuaries and are established in accordance with IPSAS 39: Employee benefits. The full actuarial valuation for after-service health insurance, annual leave and repatriation benefits is usually undertaken every two years with rolled-forward valuation performed between valuation cycles. The most recent full actuarial valuation was conducted as at 31 December 2023, while actuarially valued balances as at 31 December 2024 represent a roll-forward of the December 2023 valuation results.

Actuarial valuation: assumptions

137. The organization reviews and selects assumptions and methods used by the actuaries in the year-end valuation to determine the expense and contribution requirements for employee benefits. The principal actuarial assumptions used to determine the employee benefit obligations as at 31 December 2024 are as follows.

Actuarial assumptions

(Percentage)

Assumptions	*After-service health insurance*	*Repatriation benefits*	*Annual leave*
Discount rates, 31 December 2024	5.18	5.52	5.56
Discount rates, 31 December 2023	4.61	4.95	4.93
Inflation, 31 December 2024	2.15–9.00	2.50	–
Inflation, 31 December 2023	2.35–8.00	2.30	–

138. The yield curves used in the calculation of the discount rates in respect of the United States dollar, the euro and the Swiss franc are those developed by Aon Hewitt, a human capital and management consulting firm, consistent with the recommendation of the United Nations Task Force on Accounting Standards to harmonize actuarial assumptions across the United Nations system. The salary increase assumptions for the Professional staff category were 9.37 per cent for a staff member 19 years of age, grading down to 4.07 per cent for a staff member 65 years of age. The salaries of the General Service staff category were assumed to increase by 6.94 per cent for staff 19 years of age, grading down to 4.07 per cent for staff 65 years of age.

139. The per capita claim costs for the after-service health insurance plans are updated to reflect recent claims and enrolment experience. The health-care cost trend rate assumption is revised to reflect the current short-term expectations of the after-service health insurance plan cost increases and the economic environment. Medical cost trend assumptions used for the valuation as at 31 December 2024 were updated to include escalation rates for future years. As at 31 December 2024, these escalation rates were as follows:

Medical cost trend assumptions

(Percentage)

	2024			*2023*		
Cost trend assumptions	*Initial*	*Final*	*Grade down*	*Initial*	*Final*	*Grade down*
United States non-Medicare	9.00	3.85	8 years	8.00	3.65	7 years
United States Medicare	8.85	3.85	8 years	7.40	3.65	7 years
United States dental	6.80	3.85	8 years	7.80	3.65	7 years
Non-United States (Switzerland)	6.00	2.15	8 years	8.00	2.35	4 years
Non-United States (eurozone)	6.90	3.75	10 years	7.70	3.95	12 years

140. With regard to the valuation of repatriation benefits as at 31 December 2024, inflation in travel costs was assumed to be 2.5 per cent (2023: 2.30 per cent), on the basis of the projected United States inflation rate over the next 20 years.

141. Annual leave balances were assumed to increase at the following annual rates during the staff member's projected years of service: 0–1 year, 8.1 days; 2–3 years, 4.1 days; 4–8 years, 1.9 days; 9–15 years, 1.0 day; and more than 16 years, 0.4 days, up to the maximum of 60 days. The attribution method is used for annual leave actuarial valuation.

142. For defined-benefit plans, assumptions regarding future mortality are based on published statistics and mortality tables. Salary increases, retirement, withdrawal and mortality assumptions are consistent with those used by the United Nations Joint Staff Pension Fund in making its actuarial valuation. In line with the recommendations of the Task Force on Accounting Standards, the post-retirement mortality table applied for the December 2023 and December 2024 valuations is the weighted headcount mortality table provided by Buck, a firm which provides pensions and employee benefits consulting services.

Movement in employee benefits liabilities accounted for as defined benefits plans

Reconciliation of opening to closing total defined-benefit liability

(Thousands of United States dollars)

	After-service health insurance	*Repatriation benefits*	*Annual leave*	*Total*
Net defined-benefit liability as at 1 January 2024	**26 390**	**5 723**	**3 896**	**36 009**
Current service cost	1 040	245	162	1 447
Interest cost	1 182	261	178	1 621
Actual benefits paid	(259)	(888)	(563)	(1 710)
Total costs recognized in the statement of financial performance in 2024	**1 963**	**(382)**	**(223)**	**1 358**
Subtotal	**28 353**	**5 341**	**3 673**	**37 367**
Actuarial (gains)/losses	(981)	22	(151)	(1 110)
Net defined liability as at 31 December 2024	**27 372**	**5 363**	**3 522**	**36 257**

Discount rate sensitivity analysis

143. The changes in discount rates are driven by the discount curve, which is calculated on the basis of corporate bonds. The bond markets varied over the reporting period and the volatility has an impact on the discount rate assumption. Should the assumption vary by 0.50 per cent, its impact on the obligations would be as shown below.

Discount rate sensitivity analysis: year-end employee benefits liabilities

(Thousands of United States dollars and percentage)

	After-service health insurance	*Repatriation benefits*	*Annual leave*
Increase of discount rate by 0.50 per cent	(2 757)	(152)	(108)
As percentage of end-of-year liability	(10)	(3)	(3)
Decrease of discount rate by 0.50 per cent	3 206	162	115
As percentage of end-of-year liability	12	3	3

Medical cost sensitivity analysis

144. The principal assumption in the valuation of after-service health insurance is the rate at which medical costs are expected to increase in the future. The sensitivity analysis looks at the change in liability resulting from changes in the medical cost rates while holding other assumptions, such as the discount rate, constant. Should the medical cost trend assumption vary by 0.50 per cent, this would have an impact on the measurement of the defined benefit obligations as shown below.

Medical cost sensitivity analysis: 0.50 per cent movement in the assumed medical cost trend rates

(Percentage and thousands of United States dollars)

2024	*Increase*		*Decrease*	
Effect on the defined-benefit obligation	12.5%	3 421	(10.8%)	(2 954)
Effect on the aggregate of the current service cost and interest cost	15.5%	345	(12.9%)	(287)
Total effect		**3 766**		**(3 241)**

2023	*Increase*		*Decrease*	
Effect on the defined-benefit obligation	11.3%	3 160	(10.4%)	(2 737)
Effect on the aggregate of the current service cost and interest cost	12.9%	333	(10.8%)	(277)
Total effect		**3 493**		**(3 014)**

Other defined-benefit plan information

145. Benefits paid for 2024 are estimates of what would have been paid to separating staff and/or retirees during the year on the basis of the pattern of rights acquisition under each scheme: after-service health insurance, repatriation and commutation of accrued annual leave. The estimated defined-benefit payments (net of participants' contributions in these schemes) are shown in the table below.

Estimated defined-benefit payments net of participants' contributions

(Thousands of United States dollars)

	After-service health insurance	*Repatriation benefits*	*Annual leave*	*Total*
Estimated 2024 defined-benefit payments net of participants' contributions	334	761	509	1 604
Estimated 2023 defined-benefit payments net of participants' contributions	259	888	563	1 710

Historical information: total liability for after-service health insurance, repatriation benefits and annual leave as at 31 December

(Thousands of United States dollars)

	2024	*2023*	*2022*	*2021*	*2020*	*2019*
Present value of the defined-benefit obligations	36 257	36 009	36 904	46 357	44 229	36 993

Other employee benefit liabilities

Accrued salaries and allowances

146. Accrued salaries and allowances comprise $0.5 million relating to home leave benefits.

United Nations Joint Staff Pension Fund

147. UN-Habitat is a member organization participating in the United Nations Joint Staff Pension Fund, which was established by the General Assembly to provide retirement, death, disability and related benefits to employees. The Fund is a funded, multi-employer defined-benefit plan. As specified in article 3 (b) of the Regulations of the Fund, membership in the Fund shall be open to the specialized agencies and to any other international, intergovernmental organization which participates in the common system of salaries, allowances and other conditions of service of the United Nations and the specialized agencies.

148. The Fund exposes participating organizations to actuarial risks associated with the current and former employees of other organizations participating in the Fund, with the result that there is no consistent and reliable basis for allocating the obligation, plan assets and costs to individual organizations participating in the Fund. UN-Habitat and the Fund, in line with the other participating organizations in the Fund, are not in a position to identify the proportionate UN-Habitat share of the defined-benefit obligation, the plan assets and the costs associated with the plan with sufficient reliability for accounting purposes. UN-Habitat has therefore treated this plan as if it were a defined-contribution plan in line with the requirements of IPSAS 39: Employee benefits. UN-Habitat contributions to the Fund during the financial period are recognized as expenses in the statement of financial performance.

149. The Fund's Regulations state that the Pension Board shall have an actuarial valuation made of the Fund at least once every three years by the Consulting Actuary. The practice of the Pension Board has been to carry out an actuarial valuation every two years. The primary purpose of the actuarial valuation is to determine whether the current and estimated future assets of the Fund will be sufficient to meet its liabilities into perpetuity.

150. The financial obligation of UN-Habitat to the Fund consists of its mandated contribution, at the rate established by the General Assembly (currently at 7.90 per cent for participants and 15.80 per cent for member organizations) together with any share of any actuarial deficiency payments under article 26 of the Regulations of the Pension Fund. Such deficiency payments are only payable if and when the Assembly has invoked the provision of article 26, following determination that there is a requirement for deficiency payments based on an assessment of the actuarial sufficiency of the Fund as of the valuation date. Each member organization shall contribute to this deficiency an amount proportionate to the total contributions which each paid during the three years preceding the valuation date. It has never been necessary to invoke article 26 and no deficiency payments have ever been requested.

151. The latest actuarial valuation for the Fund was completed as at 31 December 2023. A roll-forward of the participation data as at 31 December 2023 to 31 December 2024 will be used by the Fund for the purpose of reporting an actuarial present value of accumulated plan benefits in its 2024 financial statements.

152. The actuarial valuation as at 31 December 2023 reported a funded ratio of actuarial assets to actuarial liabilities of 111.0 per cent (117.0 per cent in the 2021 valuation), when future expected pension adjustments (cost-of-living indexation on benefits) were taken into account. The reported funded ratio was 152.0 per cent (158.2

per cent in the 2021 valuation) when the current system of pension adjustments was not taken into account.

153. After assessing the actuarial sufficiency of the Fund, the Consulting Actuary concluded that there was no requirement, as at 31 December 2023, for deficiency payments under article 26 of the Regulations of the Fund as the actuarial value of assets exceeded the actuarial value of all accrued liabilities under the plan. At the time of the present report, the General Assembly had not invoked the provision of article 26.

154. Should article 26 be invoked due to an actuarial deficiency, either during the ongoing operation or due to the termination of the Fund, deficiency payments required from each member organization would be based upon the proportion of that member organization's contributions to the total contributions paid to the Fund during the three years preceding the valuation date. Total contributions paid to the Fund during the preceding three years (2021, 2022 and 2023) amounted to $9,499.41 million, of which 0.29 per cent was contributed by UN-Habitat.

155. During 2024, contributions paid to the Fund by UN-Habitat amounted to $10.58 million (2023: $9.58 million). Expected contributions due in 2025 are approximately $11.22 million.

156. Membership of the Fund may be terminated by decision of the General Assembly, upon the affirmative recommendation of the Pension Board. A proportionate share of the total assets of the Fund at the date of termination shall be paid to the former member organization for the exclusive benefit of its staff who were participants in the Fund at that date, pursuant to an arrangement mutually agreed between the organization and the Fund. The amount is determined by the United Nations Joint Staff Pension Board based on an actuarial valuation of the assets and liabilities of the Fund on the date of termination; no part of the assets which are in excess of the liabilities are included in the amount.

157. The United Nations Board of Auditors carries out an annual audit of the Fund and reports to the Pension Board and to the General Assembly on the audit every year. The Fund publishes quarterly reports on its investments, and these can be viewed by visiting the Fund at www.unjspf.org.

Fund for compensation payments maintained with Volume I: appendix D/ worker's compensation

158. The fund for compensation payments relates to the payment of compensation with regard to death, injury or illness attributable to the performance of official duties. The rules governing the compensation payments are under appendix D to the Staff Rules. The fund allows the organization to continue to fulfil its obligation to make compensation payments for death, injury or illness. The fund derives its revenue from a charge of 1.0 per cent of the net base remuneration, including post adjustment for eligible personnel. It covers appendix D claims submitted by personnel, covering monthly death and disability benefits and lump sum payment for injury or illness as well as medical expenses.

Impact of the General Assembly resolutions on staff benefits

159. On 23 December 2015, the General Assembly adopted its resolution 70/244, by which it approved certain changes to the conditions of service and entitlements for all staff serving in the organizations of the United Nations common system, as recommended by the International Civil Service Commission. Some of the changes affect the calculation of other long-term and end-of-service employee benefits liabilities. In addition, a revised education grant scheme has been implemented, which

affects the computation of this short-term benefit. The impact of these changes is shown in the table below.

Change	*Details*
Increase in mandatory age of separation	The mandatory age of retirement for staff who joined the United Nations on or after 1 January 2014 is 65; for those who joined before 1 January 2014, it is 60 or 62. The General Assembly decided to extend the mandatory age of separation for staff recruited before 1 January 2014 by organizations of the United Nations common system to 65 years, at the latest by 1 January 2018, taking into account the acquired rights of staff. This change has been implemented as at 1 January 2018 and affects future calculations of employee benefits liabilities.
Unified salary structure	The salary scales for internationally recruited staff (Professional and Field Service) as at 31 December 2016 were based on single or dependency rates. Those rates affected staff assessment and post adjustment amounts. The General Assembly approved a unified salary scale that resulted in the elimination of single and dependency rates as from 1 January 2017 and was implemented in September 2017. The dependency rate was replaced by allowances for staff members who have recognized dependants in accordance with the Staff Regulations and Rules of the United Nations. A revised staff assessment scale and pensionable remuneration scale was implemented together with the unified salary structure. The implementation of the unified salary scale was not designed to result in reduced payments for staff members. However, it is expected that the unified salary scale will affect the calculation and valuation of the repatriation benefit and the commuted annual leave benefit. Currently, the repatriation benefit is calculated on the basis of gross salary and staff assessment at the date of separation, whereas commuted annual leave is calculated on the basis of gross salary, post adjustment and staff assessment at the date of separation.
Repatriation benefit	Staff members are eligible to receive a repatriation grant upon separation, provided they have been in service for at least one year in a duty station outside their country of nationality. The General Assembly has since revised eligibility for the repatriation grant from one year to five years for prospective employees, while current employees retain the one-year eligibility. This change in eligibility criteria has already been implemented effective January 2017 in September 2017 and is expected to affect future calculations of employee benefits liabilities.
Education grant	With effect from the school year in progress on 1 January 2018, the computation of the education grant provided to eligible staff members utilizes a global sliding scale that is set in one single currency (United States dollar) with the same maximum amount of the grant for all countries. In addition, this revised education grant scheme changes boarding assistance and education grant travel provided by the organization.

The impact of these changes, other than the education grant, was fully reflected in the actuarial valuation conducted in 2024.

Note 19
Provisions

160. As at the reporting date, the organization had no legal claims that required the recognition of provisions.

Note 20
Liabilities for conditional arrangements[a]

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Liabilities for conditional arrangements[a]	99 935	106 770
Total liabilities for conditional arrangements	**99 935**	**106 770**

[a] Conditional represents pending delivery in line with the conditional agreements funded by the European Union.

Note 21
Net assets

Accumulated surpluses/deficits

161. The unrestricted cumulative surplus includes the accumulated deficit for employee benefits liabilities and the net positions of after-service health insurance, repatriation benefit and annual leave liabilities.

162. The table below shows the status of the organization's net assets balances and movements.

Net assets balances and movements[a]

(Thousands of United States dollars)

	1 January 2024	*Adjustments[b]*	*1 January 2024 (restated)*	*Surplus/(deficit)*	*Transfers to/ (from) reserves*	*Other[c]*	*31 December 2024*
Unrestricted cumulative surplus							
Foundation non-earmarked	3 646	28	3 674	2 484	–	–	6 158
Foundation earmarked	126 623	228	126 851	(12 129)	–	–	114 722
Technical cooperation	302 280	526	302 806	45 144	–	–	347 950
Programme support	16 122	67	16 189	1 367	(93)	–	17 463
End-of-service liabilities	(15 857)	62	(15 795)	2 234	–	1 110	(12 451)
Subtotal unrestricted fund	**432 814**	**911**	**433 725**	**39 100**	**(93)**	**1 110**	**473 842**
Reserves							
Foundation non-earmarked	3 000	(28)	2 972	–	–	19	2 991
Foundation earmarked	4 023	(228)	3 795	–	–	133	3 928
Technical cooperation	11 360	(526)	10 834	–	–	305	11 139
Programme support	2 481	(67)	2 414	–	93	39	2 546
End-of-service liabilities	–	(62)	(62)	–	–	34	(28)
Subtotal reserves	**20 864**	**(911)**	**19 953**	**–**	**93**	**530**	**20 576**

	1 January 2024	*Adjustments[b]*	*1 January 2024 (restated)*	*Surplus/(deficit)*	*Transfers to/ (from) reserves*	*Other[c]*	*31 December 2024*
Total net assets							
Foundation non-earmarked	6 646	–	6 646	2 484	–	19	9 149
Foundation earmarked	130 646	–	130 646	(12 129)	–	133	118 650
Technical cooperation	313 640	–	313 640	45 144	–	305	359 089
Programme support	18 603	–	18 603	1 367	–	39	20 009
End-of-service liabilities	(15 857)	–	(15 857)	2 234	–	1 144	(12 479)
Total reserves and fund balances	**453 678**	–	**453 678**	**39 100**	–	**1 640**	**494 418**

[a] Net assets movements, including fund balances, are based on IPSAS.
[b] See note 4 for reclassification of fair value gains and losses from accumulated surplus to reserves.
[c] Balance includes $1.1 million related to actuarial gains and $0.5 million of fair value gains on cash pool investments. In accordance with IPSAS 1, the gains and losses on financial assets measured at fair value through net assets/equity are to be presented in a dedicated reserve. This unrealized gain reported represents the net cumulative impact of the year-end revaluation on investments.

Note 22
Revenue from non-exchange transactions

Assessed contributions

163. Each biennium, the organization receives an allocation from the regular budget, which is included in assessed contributions. These are reported under Volume I and are included in these financial statements for completeness. For the reporting period, the organization received $15.6 million.

(Thousands of United States dollars)

	2024	*2023*
Assessed contributions		
Allocations from regular budget	15 619	16 578
Amount reported in statement II – assessed contributions	**15 619**	**16 578**
Voluntary contributions		
Voluntary contributions – in cash	162 953	155 865
Voluntary in-kind contributions – land and premises	585	703
Voluntary in-kind contributions of plant, equipment, intangible assets and other goods	–	55
Total voluntary contributions received	**163 538**	**156 623**
Refunds to donors	(9 338)	(7 539)
Net voluntary contributions received	**154 200**	**149 084**
Other transfers and allocations		
Allocations received from internal United Nations funds	31 230	28 508
Inter-organizational arrangements	1 388	–
Total other transfers and allocations	**32 618**	**28 508**

164. All voluntary contributions under binding agreements signed during 2024 are recognized as revenue in 2024, including the future portion of multi-year agreements.

For the recognized contribution revenue, a breakdown of the amount intended to be contributed by donors per year is shown below.

(Thousands of United States dollars)

	Voluntary contribution
2024	77 147
2025	39 735
2026	25 202
2027	9 552
Beyond 2027	2 564
Net voluntary contribution	**154 200**

165. Revenue from non-exchange transactions includes transfers and allocations.

Services in kind

166. In-kind contributions of services received during the year are not recognized as revenue and therefore are not included in the above in-kind contributions' revenue. Services in kind confirmed during the year are shown in the table below.

Services in kind

(Thousands of United States dollars)

	2024	*2023*
Technical assistance/expert services	65	46
Administrative support	9	22
Total	**74**	**68**

Note 23
Other revenue

167. Revenue from miscellaneous revenue sources amounts to $10.3 million.

	2024	*2023*
Foreign exchange gains	9 846	8 250
Other/miscellaneous revenue	417	1 305
Total other exchange revenue	**10 263**	**9 555**

Note 24
Expenses

Employee salaries, allowances and benefits

168. Employee salaries include international, national, and general temporary staff salaries, post adjustments and staff assessments; allowances and benefits include other staff entitlements, including pension and insurance, staff assignment, repatriation, hardship, and other allowances, as set out in the table below.

Employee salaries, allowances, and benefits

(Thousands of United States dollars)

	2024	*2023*
Salary and wages	42 182	36 708
Pension and insurance benefits	9 943	9 762
Other benefits	122	347
Total employee salaries, allowances, and benefits	**52 247**	**46 817**

Non-employee compensation and allowances

169. Non-employee compensation and allowances consist of United Nations Volunteers living allowances and post-employment benefits, consultant and contractor fees, ad hoc experts, and non-military personnel compensation and allowances.

Non-employee compensation and allowances

(Thousands of United States dollars)

	2024	*2023*
United Nations Volunteers	2 812	2 149
Consultants and contractors	37 723	34 980
Total non-employee compensation and allowances	**40 535**	**37 129**

Grants and other transfers

170. Grants and other transfers include outright grants and transfers to implementing agencies, partners, and other entities, as set out in the table below.

Grants and other transfers

(Thousands of United States dollars)

	2024	*2023*
Grants to end beneficiaries	6 528	2 131
Transfers to implementing partners (note 30)	24 774	22 256
Total grants and other transfers	**31 302**	**24 387**

Supplies and consumables.

171. Supplies and consumables include consumables, fuel and lubricants, and spare parts, as set out in the table below.

Supplies and consumables

(Thousands of United States dollars)

	2024	*2023*
Fuel and lubricants	327	146
Rations	–	6
Spare parts	42	137
Consumables	839	764
Total supplies and consumables	**1 208**	**1 053**

Travel

172. Travel includes staff and non-staff travel, as set out in the table below.

Travel

(Thousands of United States dollars)

	2024	*2023*
Staff travel	5 151	3 564
Non-staff travel	3 713	3 206
Total travel	**8 864**	**6 770**

Other operating expenses

173. Other operating expenses include maintenance, utilities, contracted services, training, security services, shared services, rent, insurance, loss allowance and write-off expenses, as set out in the table below.

Other operating expenses

(Thousands of United States dollars)

	2024	*2023*
Air transport	46	46
Ground transport	791	514
Communications and information technology	3 596	3 562
Other contracted services	23 792	17 066
Acquisitions of goods	2 602	3 640
Contributions in kind	505	783
Acquisitions of intangible assets	214	101
Rent – offices and premises	3 099	3 818
Rental – equipment	186	50
Maintenance and repair	811	1 134
Bad debt write-off/loss allowance expense	(2 040)	(2 150)
Net foreign exchange losses	14 365	6 134
Other/miscellaneous operating expenses	5 686	11 033
Total other operating expenses	**53 653**	**45 731**

Other expenses

174. Other expenses relate to hospitality and official functions, contributions in kind and donation/transfer of assets.

(Thousands of United States dollars)

	2024	*2023*
Other/miscellaneous expenses	147	97
Compensation claims	–	–
Total other expenses	**147**	**97**

Note 25
Financial instruments and financial risk management

(Thousands of United States dollars)

	2024	*2023*
Financial assets		
Fair value through net assets/equity		
Short-term investments, cash pools	214 073	194 821
Short-term investments, other	–	–
Total short-term investments	**214 073**	**194 821**
Long-term investments, cash pools	78 296	60 942
Total long-term investments	**78 296**	**60 942**
Total fair value of investments	**292 369**	**255 763**
Cash, loans and receivables		
Cash and cash equivalents, cash pools	35 636	37 766
Cash and cash equivalents, other	58	35
Voluntary contributions	266 510	278 772
Other receivables	62	271
Total cash, loans and receivables	**302 266**	**316 844**
Total carrying amount of financial assets	**594 635**	**572 607**
Of which relates to financial assets held in cash pool	**328 004**	**293 529**
Financial liabilities		
Accounts payable and accrued liabilities	18 647	19 489
Other liabilities (excluding conditional liabilities)	–	–
Total carrying amount of financial liabilities	**18 647**	**19 489**
Summary of net income from cash pools		
Investment revenue	14 664	11 668
Financial exchange gains/(losses)	–	–
Net income from cash pools	**14 664**	**11 668**
Other investment revenue	–	–
Total net income from financial instruments	**14 664**	**11 668**

Financial risk management: overview

175. The organization has exposure to the following financial risks: credit risk, liquidity risk and market risk.

176. The present note and note 26, Financial instruments: cash pools, present information on the organization's exposure to those risks; the objectives, policies and processes for measuring and managing risk; and the management of capital.

Financial risk management: risk management framework

177. The organization's risk management practices are in accordance with its Financial Regulations and Rules and the United Nations Investment Management Guidelines. The United Nations Treasury is responsible for investment and risk management for the cash pools, including conducting investment activities in accordance with the Guidelines. The organization manages its capital in the light of global economic conditions, the risk characteristics of the underlying assets and its current and future working capital requirements.

Financial risk management: credit risk

178. Credit risk is the risk of financial loss if the counterparty to a financial instrument fails to meet its contractual obligations. Credit risk arises from cash and cash equivalents, investments and deposits with financial institutions and credit exposures to outstanding receivables. The carrying value of financial assets less loss allowances is the maximum exposure to credit risk.

Credit risk management

179. The investment management function is centralized at United Nations Headquarters, and in normal circumstances other areas are not permitted to engage in investing. An area may receive exceptional approval when conditions warrant investing locally under specified parameters that comply with the Guidelines.

Credit risk: cash pool investments and deposits

180. The organization's investment management guidelines, risk and investment strategies define certain limits and restrictions in order to limit the exposure to credit risk of the portfolio, which is limited to a minimum investment grade AA- for medium/long-term maturities and A-1, P-1, F-1 for short-term maturities. Furthermore, there is a limit of 5.0 per cent of any single outstanding issue or bond offering per pool, and any new issuer is subject to a credit review process and approval by the Treasurer prior to an investment decision. The expected credit loss assessment was conducted using the Fitch annual global default rating by applying the default rates based on the credit rating of each issuer with which the organization holds an investment. As investments are limited to highly rated institutions, the impairment loss on such investment is relatively small and not material.

Expected credit loss calculation on financial instruments

Financial instruments	*Expected credit loss calculation method*	*Calculation for 2024*
Cash and cash equivalents	Using the (Fitch) annual global default and rating transition study	Considered not material
Money market funds investments	Using the (Fitch) annual global default and rating transition study	Considered not material
Bond investments	Using the (Fitch) annual global default and rating transition study	Considered not material

Credit risk: contributions receivable and other accounts receivables

181. A large portion of the contributions receivable is due from sovereign Governments and supranational agencies, including other United Nations entities that do not have significant credit risk. As at the reporting date, the organization does not hold any collateral as security for receivables.

Credit risk: loss allowance

182. The organization uses the simplified approach to evaluate the lifetime expected credit loss at each reporting date. The loss allowance is established based on the historical loss rate and the exposure balance at the year end for each financial assets category. Management-approved write-offs under the Financial Regulations and Rules or reversals of previously impaired receivables are recognized directly in the statement of financial performance. The movement in the allowances account during the year is shown below.

Movement in loss allowance for receivables

(Thousands of United States dollars)

As at 1 January 2024	6 120
Additional/(reduced) loss allowance	(2 040)
Receivables written off during the period as uncollectable	(20)
Unused amounts reversed	–
As at 31 December 2024	**4 060**

Assessed contributions receivable and loss allowance

183. Since the organization does not have assessed contributions receivable, there is no ageing of assessed contributions receivable and associated allowance.

Voluntary contributions receivable and loss allowance

184. No expected credit loss allowance has been established for regular trust fund activities currently presented under voluntary contributions receivable due to the nature of these transactions. Write-off instances are infrequent and immaterial; however, where these are identified as uncollectible, amounts will be subject to 100 per cent expected credit loss. The receivables characterized by a partially assessed nature and funds other than trust funds should adhere to the other accounts receivables methodology.

Ageing of receivables for voluntary contributions

(Thousands of United States dollars)

	Gross receivable	*Allowance*
Neither past due nor impaired/less than one year	228 311	–
One to two years	10 694	210
Two to three years	12 363	167
More than three years	19 202	3 683
Total	**270 570**	**4 060**

Other accounts receivables and loss allowance

185. The expected credit loss rate for other receivables is calculated by the customer type. The historical outstanding balances for each customer type have been analysed and used to determine the historical loss rate. The rates vary and are applied to the current year outstanding receivables balances for the loss allowance.

Ageing of other receivables

(Thousands of United States dollars)

	Gross receivable	*Allowance*
Neither past due nor impaired/less than one year	62	–
One to two years	–	–
Total	**62**	**–**

Credit risk: cash and cash equivalents

186. The organization had cash and cash equivalents of $35.7 million as at 31 December 2024, which is the maximum credit exposure on these assets. Cash and cash equivalents are held with bank and financial institution counterparties rated at “A-” and above, based on the Fitch viability rating.

Financial risk management: liquidity risk

187. Liquidity risk is the risk that the organization might not have adequate funds to meet its obligations as they fall due. The organization’s approach to managing liquidity is to ensure that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the organization’s reputation.

188. The Financial Regulations and Rules require that expenses be incurred after receipt of funds from donors, thereby considerably reducing the liquidity risk with regard to contributions, which are a largely stable annual cash flow. Exceptions to incurring expenses prior to the receipt of funds are permitted only if specified risk management criteria are adhered to with regard to the amounts receivable.

189. The organization performs cash flow forecasting and monitors rolling forecasts of liquidity requirements to ensure that it has sufficient cash to meet operational needs.

190. Investments are made with due consideration to the cash requirements for operating purposes on the basis of cash flow forecasting. The organization maintains

a large portion of its investments in cash equivalents and short-term investments sufficient to cover its commitments as and when they fall due.

Liquidity risk: financial liabilities

191. The exposure to liquidity risk is based on the notion that the entity may encounter difficulty in meeting its obligations associated with financial liabilities. This is highly unlikely owing to receivables, cash and investments available to the entity and internal policies and procedures put in place to ensure that there are appropriate resources to meet its financial obligations. As at the reporting date, the organization had not pledged any collateral for any liabilities or contingent liabilities, and during the year no accounts payable or other liabilities were forgiven by third parties. Maturities for financial liabilities based on the earliest date at which the organization can be required to settle each financial liability are set out in the table below.

Maturities for financial liabilities as at 31 December 2024

(Thousands of United States dollars)

	<3 months	*3 to 12 months*	*>1 year*	*Total*
Accounts payable and accrued liabilities	9 384	9 263	–	18 647

Financial risk management: market risk

192. Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and prices of investment securities, will affect the organization's income or the value of its financial assets and liabilities. The objective of market risk management is to manage and control market risk exposures within acceptable parameters while optimizing the organization's fiscal position.

Market risk: interest rate risk

193. Interest rate risk is the risk of variability in financial instruments' fair values or future cash flows owing to changes in interest rates. In general, as the interest rate rises, the price of a fixed-rate security falls, and vice versa. Interest rate risk is commonly measured by the fixed-rate security's duration, with duration being a number expressed in years. The longer the duration, the greater the interest rate risk. The main exposure to interest rate risks relates to the cash pools and is considered in note 25, Financial instruments: cash pools.

Market risk: currency risk

194. Currency risk refers to the risk that the fair value or future cash flows of a financial instrument will fluctuate owing to changes in foreign exchange rates. The organization has transactions, assets and liabilities in currencies other than in its functional currency and is exposed to currency risk arising from fluctuations in exchange rates. Management policies and the Guidelines require the organization to manage its currency risk exposure.

195. The organization's financial assets and liabilities are primarily denominated in United States dollars. Non-United States dollar financial assets relate primarily to investments in addition to cash and cash equivalents and receivables held in order to support local operating activities where transactions are made in local currencies. The organization maintains a minimum level of assets in local currencies and, whenever possible, maintains bank accounts in United States dollars. The organization mitigates

currency risk exposure by structuring contributions from donors in foreign currency to correspond to foreign currency needs for operational purposes.

196. The most significant exposure to currency risk relates to cash-pool cash and cash equivalents. As at the reporting date, the non-United States dollar denominated balances in these financial assets were primarily euros and Swiss francs, together with over 30 other currencies, as shown in the table below.

Currency exposure of the cash pools as at 31 December 2024

(Thousands of United States dollars)

	United States dollars	*Euros*	*Swiss francs*	*Others*	*Total*
Cash pool[a]	324 797	1 381	1 310	516	328 004

[a] The cash pool balance of $328,004 does not include the balance of $5.26 relating for fund 10RCR under UN-Habitat. This amount, included in statement 1 of the financial statements, also excludes petty cash, imprest cash and cash at bank.

Currency risk: sensitivity analysis

197. A strengthening/weakening of the euro and Swiss franc United Nations operational rate of exchange as at 31 December 2024 would have affected the measurement of investments denominated in a foreign currency and increased/decreased net assets and surplus or deficit by the amounts shown in the table below. This analysis is based on foreign currency exchange rate variances considered to be reasonably possible as at the reporting date. The analysis assumes that all other variables, in particular interest rates, remain constant.

Effect on net assets, surplus or deficit

(Thousands of United States dollars)

	As at 31 December 2024		*As at 31 December 2023*	
	Effect on net assets, surplus or deficit		*Effect on net assets, surplus or deficit*	
	Strengthening	*Weakening*	*Strengthening*	*Weakening*
Euro (10 per cent movement)	138	(138)	233	(233)
Swiss franc (10 per cent movement)	131	(131)	34	(34)
British pound (10 per cent movement)	14	(14)	24	(24)
Colombia peso (10 per cent movement)	8	(8)	22	(22)
West African franc (10 per cent movement)	–	–	–	–
Moroccan dirham (10 per cent movement)	–	–	–	–

Other market risk

198. The organization is not exposed to significant other price risk, as it has limited exposure to price-related risk related to expected purchases of certain commodities used regularly in operations. A change in those prices may alter cash flows by an immaterial amount.

Classification and measurement

199. Investments in the cash pool are carried at fair value through net asset. Cash and cash equivalents, receivables – including non-current voluntary contributions receivable, which are reported at amortized cost calculated using the effective interest

method – and accounts payable are valued at amortized cost, which is a fair approximation of fair value as at 31 December 2024.

Fair value hierarchy

200. The table below analyses financial instruments carried at fair value by the fair value hierarchy levels. The levels are defined as follows:

(a) Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities;

(b) Level 2: inputs other than quoted prices included in level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices);

(c) Level 3: inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs).

201. The fair value of financial instruments traded in active markets is based on quoted market prices as at the reporting date and is determined by the independent custodian on the basis of the valuation of securities sourced from third parties. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's-length basis. The quoted market price used for financial assets held by the cash pools is the current bid price.

202. The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques. These valuation techniques maximize the use of observable market data where it is available. If all significant inputs required to determine the fair value of an instrument are observable, the instrument is included in level 2.

203. There were no level 3 financial assets or any liabilities carried at fair value, or any significant transfers of financial assets between fair value hierarchy classifications.

Fair value hierarchy for investments as at 31 December 2024: cash pools

(Thousands of United States dollars)

	31 December 2024			*31 December 2023*		
	Level 1	*Level 2*	*Total*	*Level 1*	*Level 2*	*Total*
Financial assets at fair value through net asset/equity						
Cash pool						
Bonds – corporate	2 577	–	2 577	3 002	–	3 002
Bonds – non-United States agencies	70 848	–	70 848	62 746	–	62 746
Bonds – supranational	13 004	–	13 004	19 577	–	19 577
Bonds – United States treasuries	21 548	–	21 548	30 120	–	30 120
Bonds – non-United States sovereigns	2 703	–	2 703	2 486	–	2 486
Cash pool – commercial papers	–	25 387	25 387	–	12 967	12 967
Cash pool – certificates of deposit	–	88 152	88 152	–	75 800	75 800
Cash pool – term deposits	–	64 372	64 372	–	46 258	46 258
Total	**110 680**	**177 911**	**288 591**	**117 931**	**135 025**	**252 956**

	31 December 2024			31 December 2023		
	Level 1	*Level 2*	*Total*	*Level 1*	*Level 2*	*Total*
Euro pool						
Bonds – corporate	–	–	–	–	–	–
Bonds – non-United States sovereigns	–	–	–	–	–	–
Subtotal, euro pool	**–**	**–**	**–**	**–**	**–**	**–**
Total	**110 680**	**177 911**	**288 591**	**117 931**	**135 025**	**252 956**

Note 26
Financial instruments: cash pools

204. In addition to directly held cash and cash equivalents and investments, UN-Habitat participates in the United Nations Treasury cash pool. The cash pool comprises operational bank account balances in a number of currencies and investments in United States dollars.

205. Pooling the funds has a positive effect on overall investment performance and risk, because of economies of scale and the ability to spread yield curve exposures across a range of maturities. The allocation of cash pool assets (cash and cash equivalents, short-term investments and long-term investments) and revenue is based on each participating entity's principal balance.

206. As at 31 December 2024, the organization participated in the cash pool, which held total assets of $12,076.1 million (2023: $11,548.7 million), of which $328.0 million was due to the organization (2023: $293.5 million) and its share of revenue from the cash pool was $14.629 million (2023: $11.644 million).

Summary of assets and liabilities of the cash pool as at 31 December 2024

(Thousands of United States dollars)

	Cash pool
Fair value through net asset/equity	
Short-term investments	7 742 472
Long-term investments	2 882 612
Total fair value through net asset/equity investments	**10 625 084**
Loans and receivables	
Cash and cash equivalents	1 312 000
Accrued investment revenue	139 050
Total loans and receivables	**1 451 050**
Total carrying amount of financial assets	**12 076 134**
Cash pool liabilities	
Payable to UN-Habitat	328 004
Payable to other cash pool participants	11 748 130
Total liabilities	**12 076 134**
Net assets	–

Summary of revenue and expenses of the cash pool for the year ended 31 December 2024

(Thousands of United States dollars)

	Cash pool
Investment revenue	577 165
Investment revenue from cash pool[a]	**577 165**
Foreign exchange gains/(losses)	8 723
Bank fees	(733)
Operating expenses from cash pool	**7 990**
Revenue and expenses from cash pool	**585 155**

[a] Unrealized gains/losses from cash pools mark to market revaluation is reported under the statement of net assets in accordance with IPSAS 41.

Financial risk management

207. The United Nations Treasury is responsible for investment and risk management for the cash pool, including conducting investment activities in accordance with the Guidelines.

208. The objective of investment management is to preserve capital and ensure sufficient liquidity to meet operating cash requirements while attaining a competitive market rate of return on each investment pool. Investment quality, safety and liquidity are emphasized over the market rate of return component of the objectives.

209. An investment committee periodically evaluates investment performance and assesses compliance with the Guidelines and makes recommendations for updates thereto.

Financial risk management: credit risk

210. The Guidelines require ongoing monitoring of issuer and counterparty credit ratings. Permissible cash pool investments may include, but are not restricted to, bank deposits, commercial paper, supranational securities, government agency securities and government securities with maturities of five years or less. The cash pools do not invest in derivative instruments such as asset-backed and mortgage-backed securities or equity products.

211. The Guidelines require that investments not be made in issuers whose credit ratings are below specifications and also provide for maximum concentrations with given issuers. These requirements were met at the time the investments were made.

212. The credit ratings used for the cash pools are those determined by major credit-rating agencies; Standard & Poor's (S&P), Moody's and Fitch are used to rate bonds, certificates of deposit and discounted instruments, and the Fitch viability rating is used to rate bank term deposits. At year-end, the credit ratings were as shown below.

Investments of the cash pool by credit ratings as at 31 December 2024

(Percentage)

Ratings as at 31 December 2024					*Ratings as at 31 December 2023*				
Bonds (long-term ratings)					**Bonds (long-term ratings)**				
	AAA	**AA+/AA-/AA**		**NA**		**AAA**	**AA+/AA-/AA**		**NA**
S&P	22.2	77.8		–	S&P	37.1	62.9		–
	AAA	**AA+/AA/AA-**	**A+**	**NA/NR**		**AAA**	**AA+/AA/AA-**	**A+**	**NA/NR**
Fitch	9.9	69.4		20.7	Fitch	28.4	53.3	1.3	17.0
	Aaa	**Aa1/Aa2/Aa3**		**NA**		**Aaa**	**Aa1/Aa2/Aa3**		**NA**
Moody's	37.7	53.6		8.7	Moody's	61.9	30.5		7.6
Commercial papers/certificates of deposit (short-term ratings)					**Commercial papers/certificates of deposit (short-term ratings)**				
	A-1+/A-1					**A-1+/A-1**			
S&P	100.0				S&P	100.0			
	F1+/F1			**NR**		**F1+/F1**			**NR**
Fitch	97.6			2.4	Fitch	98.8			1.2
	P-1/P-2					**P-1/P-2**			
Moody's	100.0				Moody's	100.0			
Term deposits/demand deposit account (Fitch viability ratings)					**Term deposits/demand deposit account (Fitch viability ratings)**				
	aa/aa-	**a+/a/a-**	NR			**aa/aa-**	**a+/a/a-**		
Fitch	33.7	64.9	1.4		Fitch	23.8	76.2		

Abbreviations: NA, not applicable; NR, not rated.

213. The United Nations Treasury actively monitors credit ratings and, given that the organization has invested only in securities with high credit ratings, management does not expect any counterparty to fail to meet its obligations, except for any impaired investments.

Financial risk management: liquidity risk

214. The cash pools are exposed to liquidity risk associated with the requirement of participants to make withdrawals on short notice. It maintains sufficient cash and marketable securities to meet participants' commitments as and when they fall due. The major portion of cash and cash equivalents and investments are available within a day's notice to support operational requirements. The cash pool liquidity risk is therefore considered to be low.

Financial risk management: interest rate risk

215. The cash pools comprise the organization's main exposure to interest rate risk, with fixed-rate cash and cash equivalents and investments being interest-bearing financial instruments. As at the reporting date, the cash pool had invested primarily in securities with shorter terms to maturity, with the maximum being less than five years (2023: four years). The average duration of the cash pool on 31 December 2024 was 0.78 years (2023: 0.65 years), which is considered to be an indicator of low risk.

Cash pools interest rate risk sensitivity analysis

216. The analysis below shows how the fair value of the cash pools as at the reporting date would increase or decrease should the overall yield curve shift in response to changes in interest rates. Given that the investments are accounted for at fair value

through net assets/equity, the change in fair value represents the increase/decrease in net assets. The impact of a shift up or down of up to 200 basis points in the yield curve is shown (100 basis points equals 1.0 per cent). These basis point shifts are illustrative.

Cash pool interest rate risk sensitivity analysis as at 31 December 2024

Shift in yield curve (basis points)	*-200*	*-150*	*-100*	*-50*	*0*	*+50*	*+100*	*+150*	*+200*
Increase/(decrease) in fair value (Millions of United States dollars)									
Cash pool total	**180.84**	**135.62**	**90.41**	**45.20**	**0**	**(45.20)**	**(90.39)**	**(135.57)**	**(180.75)**

Cash pool interest rate risk sensitivity analysis as at 31 December 2023

Shift in yield curve (basis points)	*-200*	*-150*	*-100*	*-50*	*0*	*+50*	*+100*	*+150*	*+200*
Increase/(decrease) in fair value (Millions of United States dollars)									
Cash pool total	**144.78**	**108.58**	**72.38**	**36.19**	**0**	**(36.19)**	**(72.37)**	**(108.55)**	**(144.73)**

Other market price risk

217. The cash pools are not exposed to significant other price risk, because it does not sell short, borrow securities or purchase securities on margin, which limits the potential loss of capital.

Accounting classifications and fair value hierarchy

218. All investments are reported at fair value through net asset/equity. Cash and cash equivalents carried at nominal value are deemed to be an approximation of fair value.

219. The levels are defined as:

(a) Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities;

(b) Level 2: inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices);

(c) Level 3: inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs).

220. The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date and is determined by the independent custodian based on the valuation of securities sourced from third parties. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's-length basis. The quoted market price used for financial assets held by the cash pools is the current bid price.

221. The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques that maximize the use of observable market data. If all significant inputs required to determine the fair value of an instrument are observable, the instrument is included in level 2.

222. The following fair value hierarchy presents the cash pool assets that are measured at fair value as at the reporting date. There were no level 3 financial assets, nor any liabilities carried at fair value or any significant transfers of financial assets between fair value hierarchy classifications.

Fair value hierarchy for investments as at 31 December 2024: cash pool
(Thousands of United States dollars)

	31 December 2024			*31 December 2023*		
	Level 1	*Level 2*	*Total*	*Level 1*	*Level 2*	*Total*
Financial assets at fair value through net asset/equity						
Bonds – corporate	94 875	–	94 875	118 115	–	118 115
Bonds – non-United States agencies	2 608 429	–	2 608 429	2 468 680	–	2 468 680
Bonds – supranational	478 759	–	478 759	770 234	–	770 234
Bonds – United States treasuries	793 328	–	793 328	1 185 059	–	1 185 059
Bonds – non-United States sovereigns	99 527	–	99 527	97 824	–	97 824
Cash pool – commercial papers	–	934 677	934 677	–	510 193	510 193
Cash pool – certificates of deposit	–	3 245 489	3 245 489	–	2 982 310	2 982 310
Cash pool – term deposits	–	2 370 000	2 370 000	–	1 820 000	1 820 000
Total	**4 074 918**	**6 550 166**	**10 625 084**	**4 639 912**	**5 312 503**	**9 952 415**

Note 27
Related parties

Key management personnel

223. Key management personnel are those with the ability to exercise significant influence over the financial and operating decisions of the organization. For UN-Habitat, the key management personnel group is deemed to comprise the Executive Director and the Deputy Executive Director.

224. The aggregate remuneration paid to key management personnel includes net salaries, post adjustments and other entitlements such as grants, subsidies and employer pension and health insurance contributions.

225. The organization’s key management personnel were paid $0.6 million over the financial year; such payments are in accordance with the Staff Regulations and Rules of the United Nations, the published salary scales of the United Nations and other publicly available documents.

Compensation of key management personnel

(Thousands of United States dollars)

	Key management personnel	*Close family members*	*Total as at 31 December 2024*
Number of positions (full-time equivalents)	3	–	3
Aggregate remuneration:			
Salary and post adjustment	236	–	236
Other compensation/entitlements	322	–	322
Total remuneration for the year	**558**	–	**558**

226. Non-monetary and indirect benefits paid to key management personnel were not material.

227. No close family member of key management personnel was employed by the organization at the management level. Advances made to key management personnel are those made against entitlements in accordance with the Staff Regulations and Rules of the United Nations; such advances against entitlements are widely available to all staff of the organization.

Related entity transactions

228. In the ordinary course of business, to achieve economies in executing transactions, financial transactions of the organization are often executed by one financial reporting entity on behalf of another. Before the introduction of the Umoja system, these had to be manually followed up and settled. In Umoja, settlement occurs when the service provider is paid.

Note 28
Leases and commitments

Finance leases

229. The organization has no finance leases.

Operating leases

230. The organization enters into operating leases for the use of land, permanent and temporary buildings and equipment. The total operating lease payments recognized in expenditure for the year were $2.6 million. Other expenses include $0.6 million towards donated rights-to-use arrangements, for which corresponding revenue is recognized in the statement of financial performance and presented within voluntary contributions revenue. Future minimum lease payments under non-cancellable arrangements are set out in the table below.

Future minimum operating lease obligations

(Thousands of United States dollars)

Obligations for operating leases	*Minimum lease payments as at 31 December 2024*	*Minimum lease payments as at 31 December 2023*
Due in less than 1 year	1 693	1 723
Due from 1 to 5 years	4 739	4 951
Due later than 5 years	3 033	2 365
Total minimum operating lease obligations	**9 465**	**9 039**

231. These contractual leases are typically between one and seven years, with some leases allowing extension clauses and/or permitting early termination within 30, 60 or 90 days. The amounts present future obligations for the minimum contractual term, taking into consideration contract annual lease payment increases in accordance with lease agreements. No agreements contain purchase options.

Leasing arrangements where the organization is the lessor

232. The organization has no leases as a lessor.

Contractual commitments

233. The commitments for property, plant and equipment; intangible assets; implementing partners; and goods and services contracted but not delivered as at the reporting date are set out in the table below.

Contractual commitments by category

(Thousands of United States dollars)

	Total as at 31 December 2024	*Total as at 31 December 2023*
Goods and services	39 285	32 620
Implementing partners	53 984	40 414
Property, plant and equipment	1 208	609
Intangible assets	–	–
Total	**94 477**	**73 643**

Note 29
Contingent liabilities and contingent assets

Contingent liabilities

234. The organization is subject to a variety of claims that arise from time to time in the ordinary course of its operations. These claims are segregated into two main categories: commercial and administrative law claims.

Contingent assets

235. In accordance with IPSAS 19: Provisions, contingent liabilities and contingent assets, the organization discloses contingent assets when an event gives rise to a probable inflow of economic benefits or service potential to the organization and there is sufficient information to assess the probability of that inflow. As at 31 December

2024, there were no material contingent assets arising from the organization's legal actions or interests in joint ventures that were likely to result in a significant economic inflow.

Note 30
Grants and other transfers

236. The following are the regions in which the funds given to implementing partners have been spent.

Grants and other transfers by region

(Thousands of United States dollars)

	Total 2024	*Total 2023*
Africa	4 887	6 553
Arab States	7 140	4 954
Asia and the Pacific	6 583	5 270
Global	5 644	5 578
Latin America and the Caribbean	520	(99)
Total[a]	**24 774**	**22 256**

[a] Total includes $1.7 million of expenses accrued for implementing partners. This amount represents 6.7 per cent of expenses incurred during 2024.

237. This amount is part of the $31.3 million shown in the statement of financial performance as expenditure under grants and other transfers. The difference of $6.5 million was for end beneficiaries (refer to note 24).

Note 31
Events after the reporting date

238. On 20 January 2025, a temporary suspension of foreign aid was announced by a donor. As at the issuance date of the present financial statements, the overall impact is still being assessed. Since this event occurred after 31 December 2024, it is classified as a non-adjusting event under IPSAS 14, Events after the reporting date, and does not affect the reported financial position of the organization. Management will continue to monitor the situation and make any necessary adjustments to its financial strategies.